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Sweden

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OECD ECONOMIC SURVEYS

2001-2002

Sweden

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BASIC STATISTICS OF SWEDEN

THE LAND

Land area (1 000 sq. km)	411
Lakes (1 000 sq. km)	39
Arable area (1 000 sq. km)	30
Woodland (1 000 sq. km)	228

Inhabitants in major cities, including suburbs (31 December 2000), thousands:	
Stockholm	1 661
Göteborg	796
Malmö	522

THE PEOPLE

Population (31 December 2001), thousands	8 909
Number of inhabitants per sq. km	22
Net natural increase (average 1996-2000), thousands	–3.1

Net natural increase per 1 000 inhabitants (average 1996-2000)	–0.4
Net migration (average 1996-2000), thousands	12.4

THE PRODUCTION

Gross domestic product in 2001 (Kr billion)	2 167.2
GDP per head, US$	23 530

Gross fixed capital formation in 2001:	
Per cent of GDP	17.5
Per head, US$	4 116
Employment, 2001:	
Total civilian, thousands	4 239
Per cent of total:	
Agriculture, forestry, fishing	2.3
Industry	23.8
Other	73.7

THE GOVERNMENT

Per cent of GDP in 2001:	
Public consumption	26.7
General government current revenue	57.3
Public gross fixed capital formation	2.3

Composition of Parliament:	Number of seats
Social democrats	131
Moderates	82
Left	43
Christian democrats	42
Centre	18
Liberals	17
Greens	16
Total	349

Last general election: September 1998
Next general election: September 2002

THE FOREIGN TRADE

Exports of goods and services, 2000 (per cent of GDP)	47.2
Main merchandise exports (per cent of total):	
Forestry products	13.5
Mineral products	8.9
Chemical products	9.4
Energy products	3.4
Engineering products	55.4
Other products	9.4

Imports of goods and services, 2000 (per cent of GDP)	41.8
Main merchandise imports (per cent of total):	
Forestry products	3.3
Mineral products	8.2
Chemical products	9.6
Energy products	9.1
Engineering products	51.9
Other products	17.9

THE CURRENCY

Monetary unit: Krona

Currency units per US$, average of daily figures:	
Year 2001	10.34
May 2002	10.05

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of Member countries.

•

The economic situation and policies of Sweden were reviewed by the Committee on 3 June 2002. The draft report was then revised in the light of the discussions and given final approval as the agreed report of the whole Committee on 19 June 2002.

•

The Secretariat's draft report was prepared for the Committee by Deborah Roseveare and Steen Daugaard under the supervision of Peter Jarrett.

•

The previous Survey of Sweden was issued in March 2001.

Assessment and recommendations

The economy is gradually picking up pace…

The Swedish economy has now started to recover from the relatively brief but sharp slowdown in 2001 in which growth decelerated to 1¼ per cent. The main factors behind the weakening were the slowdown of global demand in general and for telecommunication goods and services in particular, together with waning consumer confidence, prompted by the unwinding of the stock market bubble. These elements aside, macroeconomic conditions generally remained buoyant, thanks to sizeable gains in household disposable income, low interest rates, moderately increasing house prices and a weak exchange rate. Combined with the turnaround in consumer sentiment and world trade around the beginning of the year, these factors have elicited a pick-up in consumption and exports, while investment remained subdued early this year. Sweden is entering the incipient upturn in a generally healthy condition, albeit with underlying inflation well above the target rate of 2 per cent, and with robust surpluses on the government and current accounts, although private saving is relatively low.

… and enters the upturn with relatively little spare capacity

Despite the 2001 slowdown, capacity utilisation is fairly high in some non-manufacturing sectors, and the labour market remains quite tight. However, the slowdown was absorbed mainly by weaker productivity growth, which suggests that employment gains may be modest in the early phase of the upturn. At 4 per cent, unemployment is currently below the OECD's estimate of its structural level and wage inflation has picked up somewhat to above 4 per cent per year. The profit share continues to decline and is now lower than at its previous trough in 1990, suggesting that more vigorous productivity growth or lower wage inflation will be needed in order to sustainably align the increases in the business sector's costs and revenues.

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The outlook requires a tighter policy stance…

Output is projected to rise by around 2 per cent this year, while in 2003 growth could accelerate to 3¼ per cent, assuming broadly unchanged fiscal policy for that year. The implied return to growth rates above the estimated potential rate of 2¼ to 2½ per cent would eliminate the current small output gap by around the middle of next year. As productivity levels are restored, employment is expected to gradually pick up as from the second half of this year, while unemployment is projected to remain almost unchanged. Wage increases are expected to remain relatively high, at around 4½ per cent, and inflation is likely to remain above the 2 per cent target over the projection period, even though the Riksbank is assumed to raise interest rates gradually, to 5¼ per cent by the middle of next year. The risks to the outlook are balanced. Upside risks to activity could result from a less marked increase in the household saving rate or an extension of the expansionary fiscal stance to 2003. Downside risks to activity could materialise if the current weakness in external demand for telecommunications equipment persists. Furthermore, considerable uncertainty surrounds the assessment of the duration of the dis-investment cycle, which may last longer than assumed.

… given persistent upward pressure on inflation

The acceleration of inflation to beyond the Riksbank's tolerance band around the 2 per cent target put the inflation-targeting monetary policy regime to the test, and the Riksbank raised interest rates by ¼ percentage point in March and by the same amount again in April. Unlike other central banks, the Riksbank maintained the repo rate virtually unchanged throughout the downturn and has appropriately embarked on a tightening course earlier. As a result, Sweden has entered the current recovery with higher short-term interest rates than in the euro area and the United States, in contrast with the situation in early 2001 when such differentials were negative. Nevertheless, given the current inflation rates and the prospect of growth returning to above potential rates, interest rates will need to rise further. On current information and the OECD's projections, something like a 1 percentage point hike over the next year would be required, but if fiscal easing continued in 2003 a sharper rise would be necessary to keep inflation within the target range.

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The possibility of joining the euro is being actively considered

Debate on the option of Sweden adopting the euro has flourished of late, as sentiment has become more favourable and the government has signalled a possible referendum in 2003. The focus of the debate has been on comparing the role and effectiveness of stabilisation policy inside and outside the Economic and Monetary Union (EMU). As a full member, it would clearly be more difficult to counter asymmetric shocks through active stabilisation policy in the absence of an independent monetary policy. On the other hand, the greater effective exchange rate stability that would result from joining the EMU would significantly reduce one potential source of such shocks. Moreover, adhering strictly to the present objective of maintaining a general government surplus of 2 per cent of GDP over the cycle would seem to provide considerable room for a fiscal policy response should that be deemed warranted.

Fiscal policy is highly expansionary due to tax cuts…

Further fiscal stimulus amounting to around 1¾ per cent of GDP has been provided in 2002, according to official estimates. A significant part of the fiscal easing that has occurred over the last three years has been in the form of reduced income tax rates, but tax concessions implemented this year also include measures with no supply-side benefits, such as reduced property taxation, lower VAT on books and magazines, and reinstatement of deductibility of union membership fees. A political decision to implement in 2003 the fourth and final step of the tax-cut programme initiated in 2000 has not yet been taken. Such a move would be warranted for its beneficial structural effects and could be undertaken without unduly jeopardising public finances as even now the structural surplus is estimated to be around 2½ per cent of GDP, but the current high inflation rates suggest that adding further fuel to the current macroeconomic expansion would be rather unhelpful. Any eventual tax cuts should be accompanied by offsetting savings on the expenditure side.

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… and discretionary spending increases, which add strain on the expenditure ceiling

The expansionary stance of fiscal policy has increasingly spread to public spending as the central government has taken a number of discretionary measures, including increasing grants to local governments for education and care. Introducing a cap on user charges in elderly and childcare will boost public expenditure by a further ¼ percentage point of GDP in 2002. Another factor is that income taxes dominate local government revenue and their cyclical nature tends to spill over to spending behaviour. This pro-cyclical effect needs to be addressed: one approach might involve smoothing the tax base over the cycle; another could be counter-cyclical adjustment of the block grants to lower levels of government. In any case, the most immediate challenge for fiscal policy is to safeguard the central government's expenditure ceiling, which is under increasing strain as the budget margins have disappeared. The government has adopted measures such as tax expenditures, not only *ex post* to cover up for negative surprises, but also to make room for new discretionary spending that would otherwise not be possible under the ceiling.

Spending decisions need to be better embedded in a comprehensive framework

In the medium term, the expenditure ceiling needs to be fully integrated into the new accruals-based budget framework as well as to be made more robust by re-establishing reasonable minimum safety margins. Stricter budget constraints could be imposed on operating expenses and non-entitlement transfers for the three-year projection horizon, as the expenditure is fully within the government's control and adjustments can be made rapidly if necessary. Entitlement expenditures may require a more complex approach, above all to avoid the situation where savings in these transfers due to cyclical developments are absorbed by other programmes. As well as keeping within the overall expenditure total, trade-offs and priorities amongst expenditure categories also need to be more explicitly addressed, while the net benefits associated with spending programmes should be systematically assessed against the alternative of lowering taxes instead.

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Accountability for public programmes needs strengthening

Efforts are needed to ensure that taxpayers' money is spent more efficiently. Central government activities are generally carried out by state agencies under rather weak governance arrangements. Although these institutions fit logically within a long-established structure for the organisation of government affairs, recent trends in public sector management towards greater operational freedom have actually weakened effective control. More rigorous accountability for outcomes is required, in particular by linking employment contracts for agency heads to delivery of results and by developing more specific performance criteria. Both would require more effective monitoring and control systems.

Education outcomes need to be achieved more efficiently

Although many reforms to public services have been made since the budgetary crisis in the early 1990s, further reforms are needed both to improve the remaining weak spots and to continue pursuing performance enhancement and greater efficiency across the board. One area meriting attention is the education system, which delivers above average outcomes but at a high cost. Consideration could usefully be given in particular to the following:

– Identifying ways of reducing the number of years taken to obtain basic qualifications, *inter alia* by raising classroom productivity and increasing the number of classroom hours per year. Devoting additional time to core subjects, especially mathematics and science might also help to improve standards and meet the government's stated goals in these areas.

– Instituting more systematic testing and evaluation of school performance so that parents and taxpayers can objectively compare different schools as well as monitor performance of the system as a whole through time.

– Obtaining substantial gains in resource use by shortening the somewhat circuitous route to and through tertiary studies. This could be done by tailoring the entry process to course requirements, as well as requiring students to meet some of the costs in tuition fees and further limiting the duration of financial assistance to encourage students to choose courses carefully and complete their studies within a reasonable period.

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Funding in the health sector needs to be weighed against other priorities

Significant productivity gains have been made in health care, in part because of greater use of internal and external markets. Comprehensive evaluation of this experience would help to identify the scope for additional use of private sector alternatives in this sector. Nevertheless, there are some public perceptions that waiting periods for health care are too long and that the sector is under-funded, although it is difficult to find concrete and reliable evidence of this. At the same time, the increasing proportion of elderly in coming years will put resources under pressure. In any case, additional public funding allocated to this sector will need to be weighed against the costs and benefits of meeting other public priorities instead, especially given the well-established tendency towards ever-increasing demand for health services when the patient bears virtually none of the costs. Increasing the well-designed yet currently modest user charges for health care might be an alternative way of closing a perceived gap between supply and demand, but more analytical work would be needed to fully assess the consequences.

Costs as well as benefits of social choices should be clearly spelt out and erosion of labour supply avoided

Another area where costs and benefits should be considered carefully is in support to families. As a matter of social choice, Sweden has one of the more generous arrangements for paid parental leave in the OECD and provides benefits which are designed to even out the impact of children on household costs. This is an example of public policy where value judgements are important, but it is incumbent on decision makers to inform the public as to the economic consequences of the policies followed and in particular the cost of raising the associated tax revenue. It is not clear that this has been done in the recent decision to extend parental leave. Paid parental leave can promote labour market attachment and gender equity up to a point, but prolonged leave, as well as having fiscal consequences, can lead to skills loss and lower labour supply. Policies should be focussed on further expanding the labour supply in the medium term, since this will be a critical element in permitting Sweden to maintain the highest possible living standards in the face of rising dependency ratios. The proposed individual learning accounts are another example of a policy that would take people away from their work, in this case for what may be uncertain economic returns on the additional investment in their human capital.

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Sickness and disability schemes need to refocus on getting people back to work

Increasing the proportion of people in the workforce requires above all addressing the extent to which the sickness and disability schemes are still being used as an early retirement option. Generous benefits and weak controls on access, despite successive efforts to tighten up, have provided a strong incentive for some people to seek state support on medical grounds that are difficult to verify. The schemes need to be restructured to ensure that those who genuinely need assistance and are unable to support themselves continue to enjoy a decent standard of living, while those who are primarily taking advantage of the system are correctly identified and required to support themselves by returning to work. In practice, this will require a multi-pronged strategy along the following lines:

– Requiring employers to take greater financial responsibility for sickness over a longer period.
– Limiting the duration of sickness benefits, while also establishing more effective rehabilitation measures.
– Tightening eligibility for disability compensation, setting clear national criteria governing the transition from sickness to disability and granting disability entitlement for a fixed, but renewable, period.
– Scaling back the relative attractiveness of a disability pension compared with work, which arises from housing allowances, special tax treatment and the payment of national pension contributions on behalf of recipients as well as the direct income replacement.

Tax reforms should concentrate on reducing high marginal effective tax rates in order to boost work incentives

The discouraging effects of high effective marginal tax rates are becoming more manifest, and recorded average hours worked in Sweden now appear to be falling again, although it is less clear that less work is actually being undertaken. Instead, formal activity is sometimes less attractive financially than "do-it-yourself" or contracting services within the "black economy" in order to escape the tax net. The government's tax reform programme has already significantly reduced average and marginal tax rates for many, if not all, households. Looking beyond the completion of the current four-year programme, priorities for tax reform should concentrate on further reducing the highest marginal effective tax rates on labour, and it should

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be possible to design a revenue-neutral package of measures to achieve this. It could include:

- converting the present basic allowance into a tax credit, or an initial zero rate bracket;
- eliminating the second step of the state income tax and either reducing the rate for remaining state tax payers or raising the threshold further so that fewer people pay the tax;
- reducing the particularly negative impact of the income-tested element of housing supplements;
- raising the average effective VAT rate by applying the standard rate to a wider range of goods and services. Regrettably, the government's decision to lower the VAT rate on books and periodicals goes in the opposite direction;
- shifting more of the tax burden from earned income to real property, which is currently taxed well below the OECD average and where there are clear economic grounds for a higher share of the taxation burden.

Housing policy needs reform, most urgently by liberalising rent regulation

The housing sector presents a number of challenges to policy makers. Rent setting remains *de facto* highly regulated, discouraging private investors, and municipal housing companies have largely stopped constructing new dwellings. At the same time, a remarkable dichotomy prevails, whereby some regions have high vacancy rates and increasing rates of demolition, while there is rapidly increasing housing demand in high-growth regions, notably around the three big metropolitan areas. It is disturbing that surging house prices in the latter regions have not prompted any significant increase in construction activity, which generates two concerns. F*irst*, upward pressure on house prices is likely to persist as long as the supply response does not match the increase in demand. In the worst case, this might lead to an asset-price bubble, which could subsequently be painful to unwind. S*econd*, the low construction rates are likely to restrain activity, reduce labour mobility and unnecessarily lock in disparities in unemployment rates across regions. There are a number of options for reform that could counter these risks:

- As a first step, a liberalisation of the rent regulation is urgently needed. In any case, the equity-based arguments

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normally adduced in support of rent regulation appear weak. The allocation of cheap rental accommodation in attractive areas tends to resemble a lottery; the benefits are not particularly concentrated on low-income groups; and the objectives are compromised by spreading sub-letting and black-market activities.

– Efforts to reduce the rate of cost increases in the construction sector should also be pursued, including initiatives to bolster competition and facilitate greater mobility among construction workers.

– Finally, the apparent lack of suitable sites for development should be addressed. Weaknesses in the planning process should be identified and dealt with. Instituting local property taxes might be one way to strengthen the currently relatively weak incentives on local administrations to supply suitable land sites.

Summing up

Sweden's economic performance has remained robust despite the slowdown last year and its prospects are bright. Macroeconomic policies may need to adjust as the economy picks up, while structural reforms are needed to assure better medium-term growth prospects. However, the momentum of structural reform has slackened and further progress is needed across a wide range of policy areas to maintain growth in living standards and to meet the costs of a generous social welfare system and coming demographic challenges. In particular, there are various aspects of the labour market where problems need to be addressed. In the short term, the tight labour market and inflation persistently above the Riksbank's target will require further monetary tightening. To achieve an appropriate level of aggregate demand, fiscal stimulus should be avoided next year and planned income tax cuts should be offset by other measures. Central government expenditures need to be scaled back to provide credible margins within the ceilings. The framework for budgeting could be made more robust and expenditure priorities made more explicit, with the benefits systematically compared with the alternative of reducing taxes. Rigorous evaluation of performance in each area of public service would also help to promote efficiency and identify low-return programmes. More effort could be devoted to reducing unhelpful disincentives to work, most

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notably in the sickness and disability schemes and in the high marginal effective tax rates on labour. Room could be created to reduce income taxes further by raising the effective VAT rate and increasing real estate taxes. Liberalising the housing sector so that a better balance between supply and demand can be achieved would also be beneficial. Overall, the economy is performing well, but the medium-term outlook would be enhanced markedly by taking further structural measures.

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I. Recent developments and prospects for the near term

Overview

The Swedish economy slowed significantly in 2001. At 1¼ per cent, the expansion of output was well below its estimated potential rate of 2¼ to 2½ per cent. Decelerating from a growth rate in excess of 3½ per cent in 2000, the slowdown was more pronounced than in the euro area. Private consumption had already slowed markedly around mid-2000, and remained subdued throughout 2001. Weaker consumer confidence, driven mainly by the bursting of the stock market bubble, was important in this context. The slowing of global demand subsequently acted as a significant further brake on activity, not least because of Sweden's specialisation in information and communication technology (ICT) goods and services. These factors aside, the macroeconomic environment has remained supportive of growth. Fiscal and monetary policies remained expansionary, while increasing house prices and a sizeable exchange rate depreciation also injected stimulus. Notwithstanding some levelling out of late, consumer and business confidence have rebounded since late 2001. Evidence that a recovery is underway has now spread to various indicators of demand and output, including exports, industrial production and retail sales. The 2001 slowdown was accompanied by a cyclical decline in productivity growth, but the pace of employment gains also abated considerably, especially when measured by hours worked (Figure 1). The unemployment rate ceased falling, but it has not risen as it has done elsewhere, and it remains below the OECD's estimate of its structural level. Thus, with unemployment currently at 4 per cent of the labour force, Sweden is entering the recovery with a relatively tight labour market.

Inflation has picked up since the time of the previous S*urvey*. The inflation measure targeted by the Riksbank rose above the 3 per cent ceiling of the monetary authorities' tolerance band in the spring of 2001 and hovered around that level until this spring, when the effects of last year's particularly big price increases were no longer included in the year-on-year comparison. However, underlying inflation remains well above 2 per cent, which is slightly discomforting, given the prospect of an imminent recovery. This is a challenge to policy makers in

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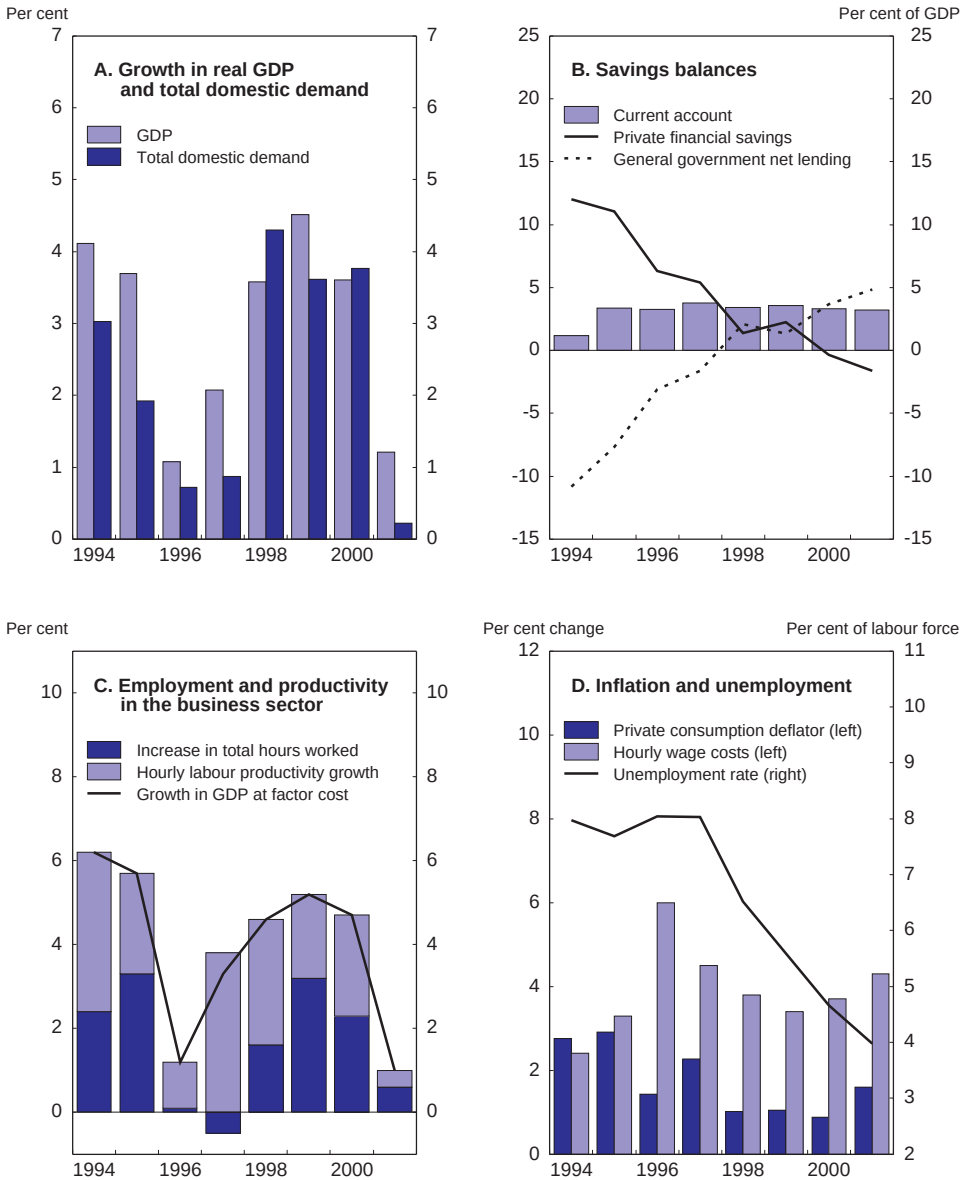
Figure 1. **Macroeconomic performance**



Source: Statistics Sweden; OECD.

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an otherwise benign macroeconomic situation. The pick-up in inflation signals that spare capacity is quite low, which strongly suggests that reforms to boost labour supply should have high priority (Chapter IV).

Output is expected to expand by 2 per cent this year and 3¼ per cent in 2003. With subdued activity at the beginning of 2002, this forecast implies a resumption of growth rates above potential around the middle of this year. The output gap is projected to close by the middle of 2003. A rebound in domestic demand, due notably to private consumption and an end to the de-stocking cycle, is expected to be the main impetus to the recovery. The Riksbank is expected to continue the tighter policy course on which it recently embarked (see Chapter II), but the monetary policy stance was easy at the outset and is only expected to become a restraining factor towards the end of the forecast period. Moreover, an important downside factor has faded with the turnaround in consumer and business confidence. Consumption should henceforth increase at broadly the same pace as household disposable income, the latter benefiting significantly from expansionary fiscal policies. Exports are also projected to accelerate markedly, owing in particular to a recovery of world trade. Inflation is expected to remain above 2 per cent throughout the projection period. The implications for macroeconomic and structural policies of this relatively upbeat outlook are discussed in Chapters II and IV, respectively.

Domestic demand and foreign trade

A *recovery is underway*

Evidence of a pick-up in consumption and exports has spread during the first half of this year, suggesting that the trough of the cycle was passed at the turn of the year. Private consumption grew at an annualised rate of 2 per cent in the first quarter, the fastest pace since early 2000. In particular, retail sales regained momentum, expanding at an annualised rate of some 2½ per cent. Moreover, business confidence has rebounded, possibly reflecting the renewed higher growth in world trade. Thus, goods exports rose 3½ per cent (annualised rate) in the first quarter, in contrast with the decline through most of 2001. In keeping with this, capacity utilisation in manufacturing seems to have stabilised, and incoming orders and industrial production have increased, although from a low level. Furthermore, early indicators of the labour market, such as newly reported and unfilled vacancies, point to an increase.[1] Despite these signs of a renewed pickup, GDP growth remained fairly low (1¼ per cent at annualised rate) in the first quarter, owing to a surprisingly big drop in business fixed investment and further considerable de-stocking, the latter subtracting 1.6 percentage points from output in the first quarter (year-on-year).

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Private consumption was surprisingly subdued in 2001*, but is regaining momentum*

Private consumption started to slow around the middle of 2000 and came to a virtual standstill in 2001 before picking up again in the first half of this year (Table 1). Since real household disposable income rose 3 per cent in 2001, the saving rate increased quite significantly. The sharpness of the slowdown in consumption was somewhat surprising as the macroeconomic environment remained largely conducive to higher household spending. Besides the sizeable increase in disposable income, nominal interest rates remained low and real rates declined; unemployment stabilised at a low level and households' mortgage equity rose as house prices continued to increase, albeit at a more moderate pace than in the preceding years (Figure 2). Nevertheless, consumer confidence fell abruptly in late 2000 and early 2001, and it remained weak until early this year. The unusually close correlation between consumer confidence and equity prices from 1999 to 2001 suggests that the build-up and subsequent unwinding of the stock market bubble was important in this context. It is difficult, though, to determine whether this correlation has stemmed mostly from deliberate assessments by consumers of the importance of equity prices for their own financial situation or whether the evolution on the stock market has instinctively been treated as synonymous with the general condition of the Swedish economy. Since consumers' confidence in their own economic situation remained comparatively firm throughout, the latter factor probably played a part. In any case, the decline in overall confidence certainly did manifest itself in weaker consumption.

A number of special factors help explain the weakness in private consumption last year. *First*, auto sales plummeted by almost 20 per cent, showing a very steep decline in late 2000 and early 2001. Undoubtedly, this was in part

Table 1. **Household income and consumption growth, 1995-2001**

Per cent

	1995-98	1999	2000	2001
Real private consumption[1]	1.7	3.9	3.6	0.2
Household real disposable income[1]	–0.3	3.6	1.9	3.0
Saving rate				
Level[2]	5.9	3.4	2.3	4.8
Change in percentage points[3]	–8.1	0.2	–1.1	2.5

1. The figure for 2000 is adjusted for the effect of the reclassification of the Swedish church from the government to the household sector. Without this adjustment the growth of both consumption and disposable income would be approximately 1 percentage point higher.
2. The figure for 1995 to 1998 is the average level over the period.
3. The figure for 1995 to 1998 is the total change over the period.

Source: OECD.

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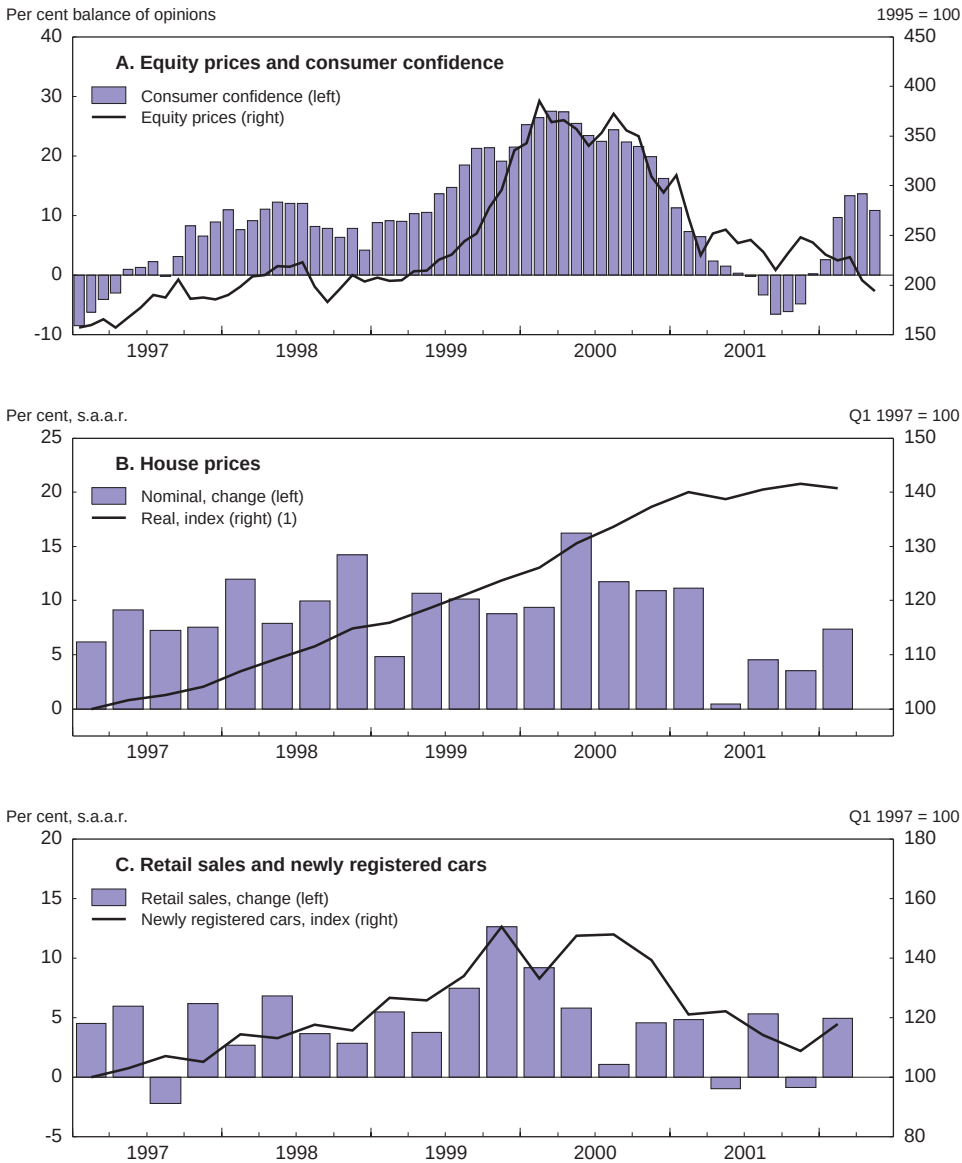
Figure 2. **Forces shaping private consumption**



1. Deflated by the private consumption deflator.
Source: Statistics Sweden; OECD, *Main Economic Indicators, National Accounts.*

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prompted by the general weakness in consumer confidence, but since consumption of other durable goods held up much better, expanding almost 6 per cent last year, it seems likely that part of the fall in auto sales reflected satiated demand after the very large increase in the preceding years. Auto sales stabilised over the course of 2001 and started to recover early this year. *Second*, consumption of financial services was very subdued, in part because it is linked to transaction values, which fell in line with the downturn in share prices. *Finally*, tourist spending shrank 10 per cent as the depreciation of the krona pushed up the price of foreign travel. The exchange rate appreciation in late 2001 and early 2002 (Chapter II) suggests that this effect will not be repeated this year, and may reverse.

Investments weakened in line with declining capacity utilisation

Business fixed investment was virtually unchanged in 2001 (Table 2), with a small decline through the year. While investment decelerated in most industries, it shrank only in goods-producing industries, owing to more subdued activity in manufacturing industries in general and the telecoms equipment industry in particular. The weakness in manufacturing investment originated from the sharp slowdown in goods exports, which caused capacity utilisation to fall significantly throughout the year (Figure 3). Fixed capital formation generally held up better in the services sectors, other than transport. Although investment in the post and telecommunication sector (including telecom operators) was on average 13 per cent higher in 2001 than in 2000, this partly reflected the large carry-over that followed from the more than 50 per cent increase in 2000. Telecom investment shrank precipitously in the first half of 2001 but rebounded strongly in the fourth

Table 2. **Private fixed investment, 1995-2001**
Real annual increase, per cent

	Average 1995-98	1999	2000	2001
Business fixed investment	9.9	10.1	7.0	0.5
of which:				
Goods producing industries	9.3	1.6	2.0	–3.6
Services industries	10.4	17.9	10.9	3.5
Residential investment	–6.7	12.1	9.3	8.3
Newly constructed dwellings	–7.2	21.2	19.7	15.9
Other	–6.3	5.1	0.0	–0.2
Investment ratios				
Business investment[1]	16.6	19.4	19.3	19.4
Residential investment[2]	1.6	1.7	1.9	2.1

1. Per cent of business sector value added.
2. Per cent of GDP.
Source: National Institute of Economic Research; OECD.

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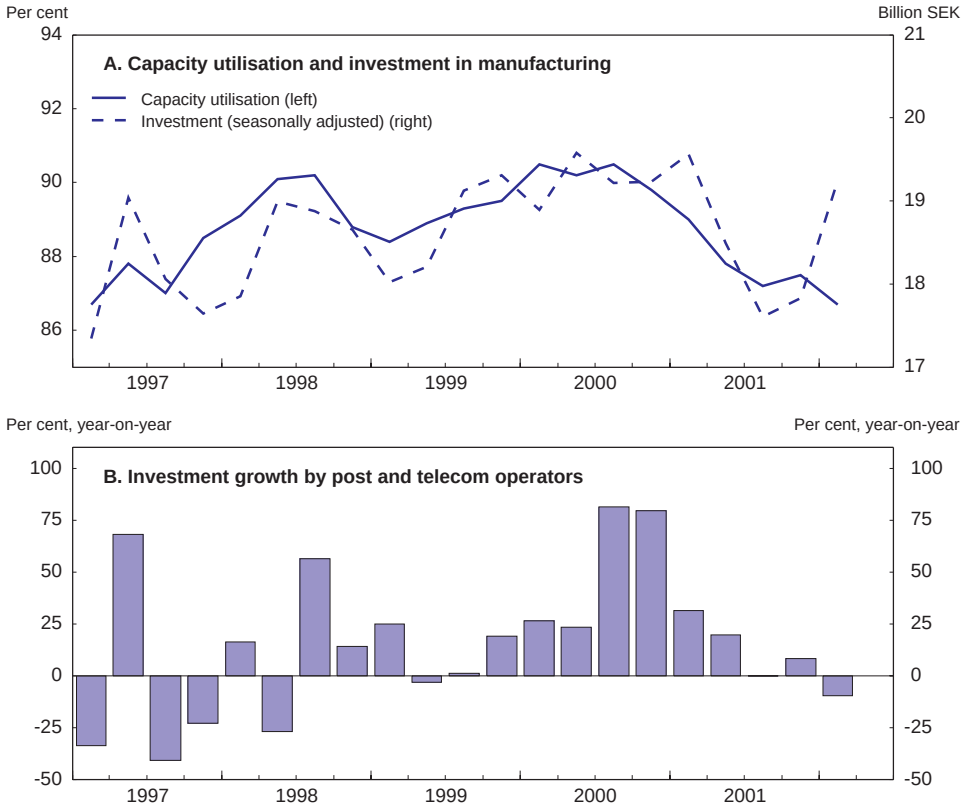
Figure 3. **Investment and capacity utilisation in manufacturing**



Source: Statistics Sweden; OECD.

quarter, to its highest-ever level before declining again in the first quarter of this year. According to the National Institute of Economic Research, investment in third-generation mobile telephone networks contributed ¾ percentage point to overall business fixed investment last year (0.1 per cent of GDP). The retrenchment of business investment intensified in the first quarter of 2002 with a surprisingly big decline of 9 per cent compared with the previous quarter. This drop was concentrated in the services and construction sectors, while manufacturing investment rose quite sharply.

Residential investment rose by around 8 per cent in 2001, continuing its recovery from the collapse in the early 1990s. The increase was entirely due to greater construction of multi-dwelling rental housing, which benefited from the

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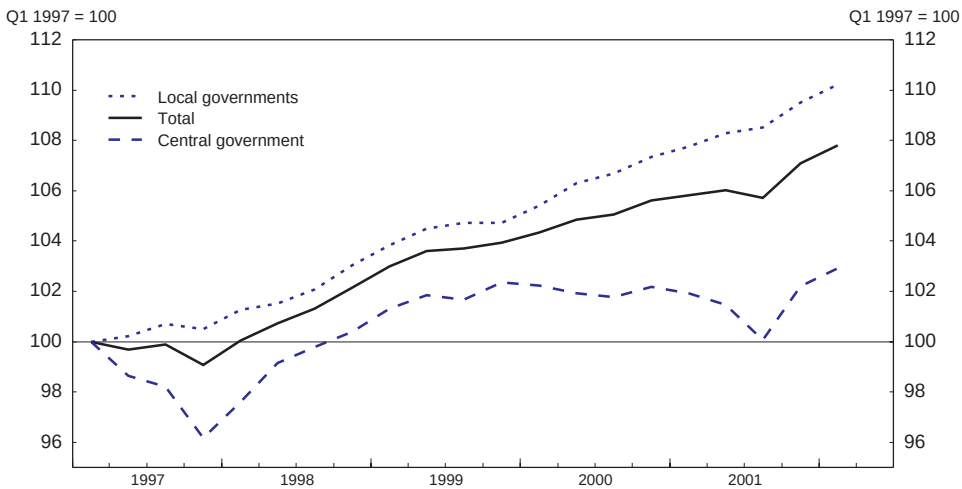
reinstatement of more generous investment subsidies. In contrast, the level of completions for co-operative and owner-occupied housing fell slightly, despite further price increases in the existing housing stock that made new construction more competitive. During the first months of this year, both owner-occupied and rental housing investments have edged up, but overall, residential investment still remains at a very low level by historical and international standards (see Chapter IV).

Government spending is picking up again

Public consumption expanded by close to 1½ per cent in 2001, with a particularly big increase in the fourth quarter (Figure 4). Central government real consumption has edged down in recent years, reflecting most notably, reduced outlays for active labour market measures and less military spending. In contrast, local governments have increased their real consumption by around 10 per cent since 1998, with an expansion last year of close to 2 per cent. This year, the central government is actively supporting higher spending at the local levels of government through partial compensation of higher wage costs in those counties and municipalities that increase their employment.

Figure 4. **Government real consumption**
4-quarter moving sum



Source: Statistics Sweden; OECD.

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Foreign trade contracted sharply in 2001, but turned around early this year

Sweden experienced its first decline in exports in ten years in 2001 (Table 3). Total exports fell 1½ per cent, comprising a 4½ per cent decline in goods and an 11 per cent increase in services, the latter attributable largely to improved tourism outcomes, underpinned by the exchange rate depreciation. Exports decelerated more sharply than market growth, resulting in export performance that deteriorated by some 5 per cent despite the support to competitiveness from the weaker currency. The terms of trade worsened 5 per cent in 2001, indicating that the loss of export market shares was even bigger when measured in current prices. Goods and services imports contracted even more abruptly than exports, decelerating from an 11½ per cent increase in 2000 to a decline of almost 4 per cent in 2001. The import penetration rate fell by 3½ per cent as compared with the trend increase of 1.7 per cent. The most recent information indicates a turning point for total goods exports and imports accrued around the beginning of the year.

Table 3. **Developments in foreign trade, 1995-2001**

Percentage change

	1995-98	1999	2000	2001
Exports				
Total	9.2	6.5	10.3	–1.4
Goods	9.6	5.6	11.2	–4.4
Services	9.0	10.3	6.8	11.0
Market growth[1]	8.5	5.5	11.6	0.4
Performance[1]	0.5	0.6	–0.2	–4.9
Imports				
Total	8.4	4.4	11.5	–3.9
Goods	7.9	3.2	11.9	–6.2
Services	10.4	8.5	10.4	2.8
Import penetration[2]	2.5	–1.7	3.6	–5.3
Memorandum item:				
Terms of trade	–0.2	–2.6	–1.6	–0.9

1. Customs basis. Goods only.
2. Deviation from trend increase. Import penetration is measured as the share of volume imports in total volume supply. The annual trend increase since 1980 is 1.7 per cent.

Source: Statistics Sweden; OECD.

Swedish export outcomes have been very different across markets; exports to North America and the Nordic countries held up fairly well until late in 2001 (Figure 5). In contrast, exports to Germany, the United Kingdom and the Mediterranean countries have declined steadily. Moreover, the weakening of overall exports owed a great deal to the collapse in international demand for ICT

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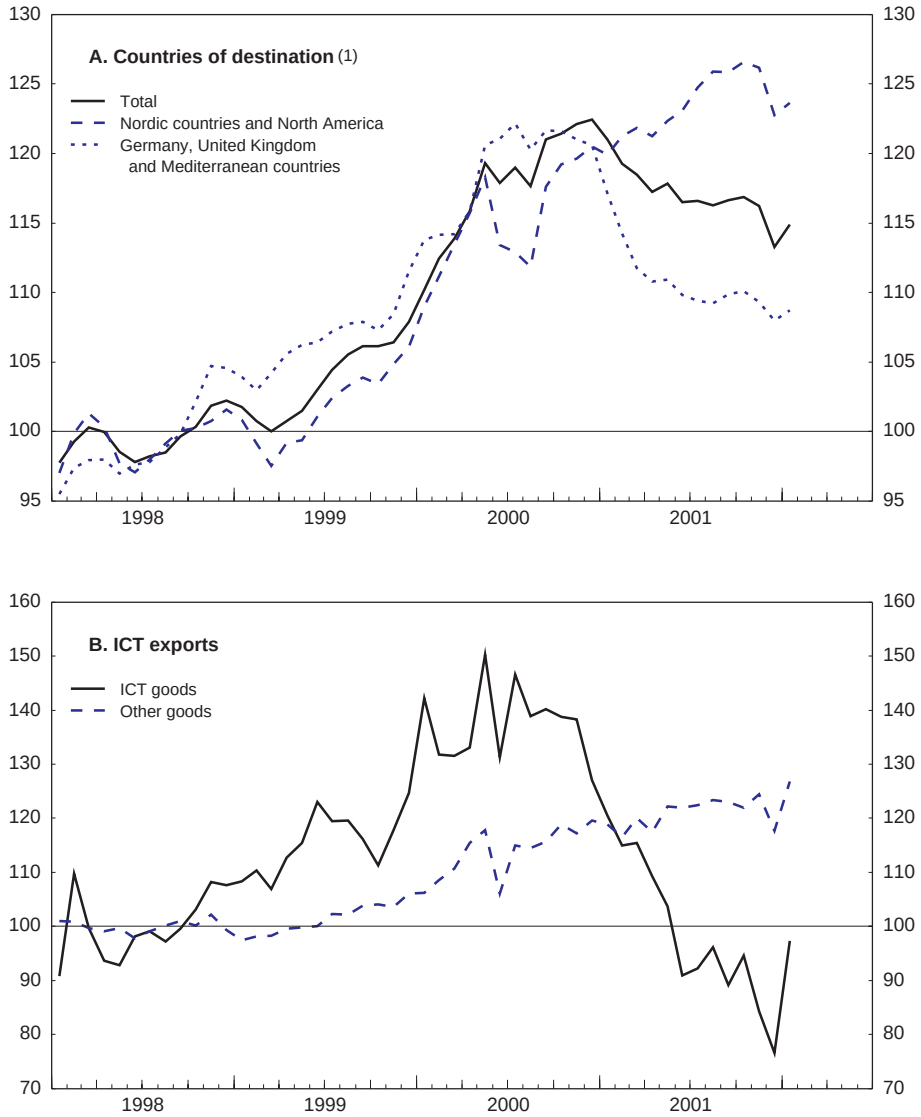
Figure 5. **Goods exports**
Current prices, seasonally adjusted, 1998 = 100



1. 3-month moving averages.
Source: Statistics Sweden; OECD.

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goods and services. Exports of such products accounted for approximately 20 per cent of total Swedish exports in 2000, but their share has declined noticeably since then. From mid-2000 to the end of 2001, exports of ICT goods measured in current prices declined by around half, falling back to 1997 levels.

Sectoral financial balances

It is remarkable that notwithstanding the increase in households' saving rate and the deceleration of investment, private financial saving (*i.e.* private saving minus private investment) declined to a deficit of 1¾ per cent of GDP, from near balance a year earlier (Table 4). The corporate sector's financial position deteriorated by 2¾ percentage points of GDP, to a deficit of almost 4¼ per cent of GDP. This weakness was due both to a squeeze on gross profits (see below) and extraordinarily heavy corporate tax payments, which follow a year behind the underlying earnings. These factors led to a decline of saving in the private sector at large of almost 2 percentage points of GDP, despite the higher saving ratio in the household sector. The saving-to-GDP ratio was near historical lows at 13.6 per cent. However, the OECD's projections (see below) imply a return to a surplus for the private sector's financial balance, owing to a further increase in the household saving rate, a stabilisation of gross profit margins in the business sector, and lower corporate tax payments.

The counterpart of the private sector's lower financial saving last year was an improvement in general government net lending, which rose to 4.8 per cent of GDP (see Chapter II). The current account, *i.e.* the total of private financial savings

Table 4. **Sectoral financial balances**
Per cent of GDP

	1990-94	1995-98	1999	2000	2001
Private sector					
Investment	15.4	13.6	14.7	15.7	15.4
Saving	19.6	19.6	16.1	15.5	13.6
Financial saving	4.2	6.0	1.4	–0.2	–1.8
of which:					
Households	–	3.8	2.0	1.2	2.6
Corporations	–	2.3	–0.6	–1.4	–4.2
General government					
Net lending	–5.7	–2.5	1.3	3.7	4.8
Foreign sector					
Current account[1]	–1.5	3.5	2.7	3.5	3.0

1. The current account is the total of private financial saving and general government net lending.
Source: Statistics Sweden; OECD.

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and net government lending, fell slightly last year, but remained in a comfortable surplus of 3 per cent of GDP. The surplus on the trade balance was largely unchanged at 7 per cent of GDP and the services balance improved by ½ percentage point of GDP while net investment income fell by a similar magnitude.

Persistent labour market tightness

Employment continued to rise robustly until the second quarter of 2001, when the slowdown in output eventually prompted a flattening out in the second semester (Figure 6). Manufacturing employment fell in 2001, while further increases were recorded in construction, private services and the public sector. Aggregate hours worked have also risen considerably during the upturn, although recently less rapidly than the number of employed. Average hours worked shrank in 2000 by 0.9 per cent and in 2001 by as much as 1.4 per cent, reducing the growth in total hours worked to around ½ per cent. The fall in average working hours is attributable both to collectively agreed working-time reductions and surging absenteeism, the latter notably due to a rapid increase in the incidence of sickness (see Chapter IV).

The deceleration of employment was not sufficiently pronounced to prevent a sharp cyclical fall in productivity growth. For the business sector at large, hourly productivity growth weakened to 0.4 per cent in 2001, compared with an average rate of 2½ per cent over the preceding five years. The slowdown was especially severe in manufacturing (1½ per cent in 2001, compared with an average rate of 5¼ per cent between 1996 and 2000), reflecting the particular weakness in the telecommunication equipment industry, in which the level of productivity has been well above that for the whole economy. Productivity growth also slowed considerably in the private services sector, while it improved in construction.

Unemployment levelled off during 2001 at around 4 per cent by the national definition and 5 per cent on the standardised measure, with little change thus far this year.[2] This is approximately 1 percentage point lower than the OECD's assessment of the structural unemployment rate. Labour-market pressures persist, in contrast to what has taken place in the United States and many euro area countries. Some 2½ per cent of the workforce were participating in labour market programmes in 2001, only marginally lower than the year-earlier level. Taken together, the figures for employment and unemployment imply an increase of 1.2 per cent in the workforce, the latter still being below the level of the mid-1990s.

The combination of low unemployment and relatively high wage increases (see below), indicates that the labour market remains relatively tight. However, the picture is not entirely unambiguous. For example, survey data suggest that labour shortages remain much less severe than 1½ to 2 years ago. Recent information on the number of newly reported and unfilled vacancies is mixed; the data

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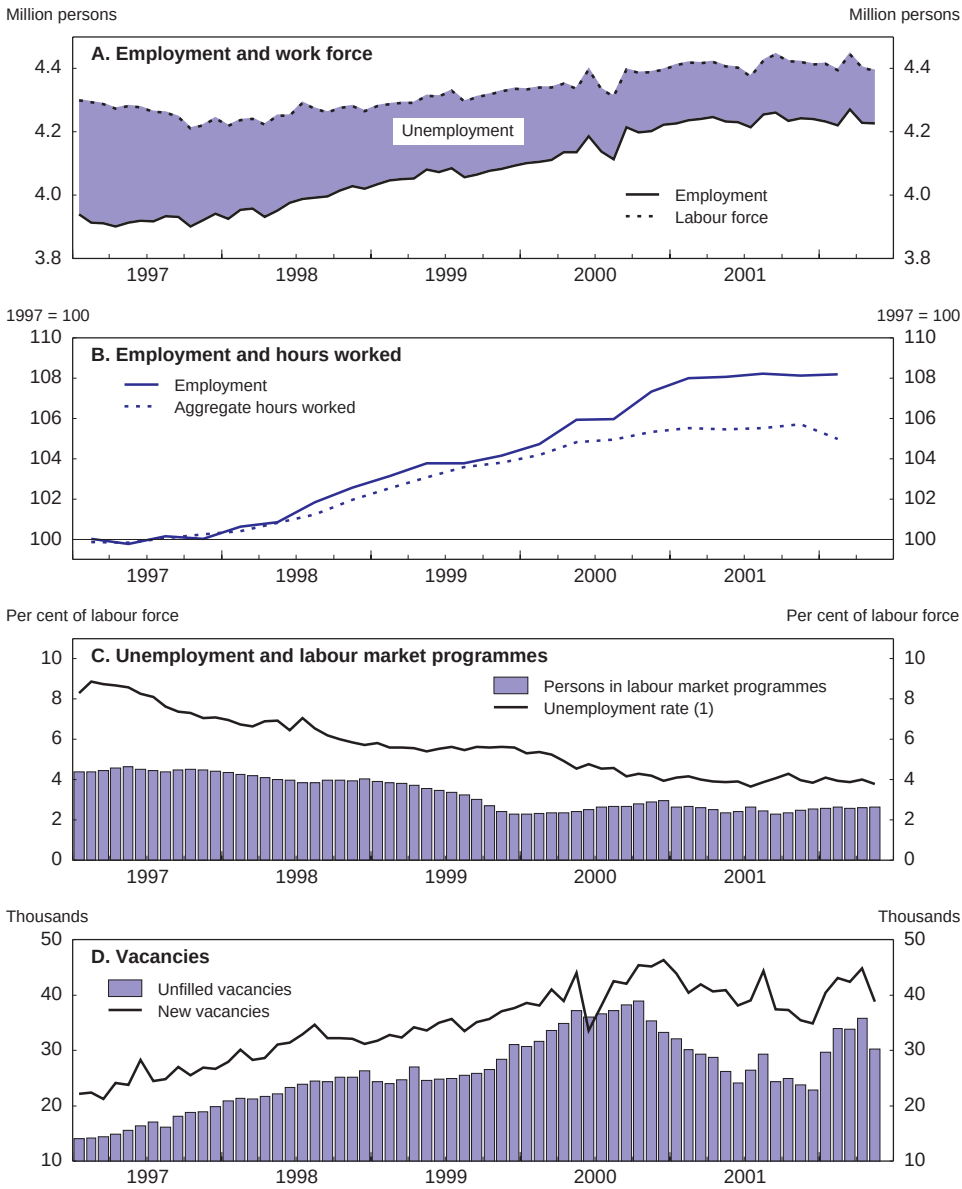
Figure 6. **Labour market developments**



1. National definition.
Source: Public Employment Service; Statistics Sweden; OECD.

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from the Public Employment Service indicate that vacancies jumped back to their mid-2000 levels in the first months of this year, while data from Statistics Sweden appear much less buoyant.

Wage and price pressures continue

Wage increases squeeze profit shares

Wage growth has accelerated, with hourly wages in the business sector rising 4.2 per cent in 2001, ½ percentage point more than the year before and a full percentage point higher than in 1999. Increasing wage inflation was concentrated in the sheltered sectors – construction and private services – while it abated slightly in manufacturing (Table 5). This pattern is consistent with the more robust conjuncture in the domestic sector than in the export industries, which were hit by the global slowdown. The pace of wage increases picked up in the public sector as well, as higher wage pressures at the local government level more than offset lower wage increases for state employees. The modest acceleration of wage increases reflects both more generous deals at the enterprise level and higher wage agreements. There was a slight front-loading of the profile of centrally determined pay increases in many of the three-year collective agreements that were reached in early 2001 (Box 1).

Although the pick-up in hourly earnings has been quite moderate thus far, Sweden enters the recovery with aggregate wage inflation above 4 per cent, a rate

Table 5. **Indicators of wage inflation, 1997-2001**

	1997	1998	1999	2000	2001
	Annual increase, per cent				
Hourly wages, whole economy	4.5	3.8	3.4	3.7	4.3
Business sector	4.5	4.0	3.1	3.7	4.2
Manufacturing	4.5	4.2	2.3	4.1	3.7
Construction	3.9	3.6	4.1	3.9	4.9
Other sectors	4.5	4.0	3.5	3.4	4.3
Government	4.7	3.2	4.0	3.9	4.7
Central	4.4	2.9	4.6	4.8	4.1
Local	4.8	3.2	3.8	3.6	4.8
Non-wage labour costs[1]	0.2	–0.2	0.2	0.3	0.2
Hourly wage costs[1]	4.8	4.0	2.5	4.3	3.9
Hourly wage costs in the business sector[2]	5.4	5.3	2.6	6.3	5.8
Unit wage costs in the business sector[2]	1.5	2.3	0.7	3.8	5.4

1. Manufacturing.
2. Calculated on the basis of national accounts data. Non-wage labour costs are not included, as technical effects related to the recently implemented pension reform cause them to be misleading.

Source: National Mediation Office; Statistics Sweden.

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Box 1. The collective agreements from 2001

Collective agreements covering practically the whole labour market either directly or indirectly were reached in January and February 2001. The majority of private-sector agreements (85 per cent) run for three years, *i.e.* until the first quarter of 2004, although typically with an opt-out clause after two years. All agreements at the state level ran for only one year.

According to estimates from the Mediation Authority, the branch-level centrally-agreed hourly wage increases in the business sector (*i.e.* excluding enterprise-level wage talks) amounted to 2.8 per cent in 2001, up 0.3 percentage point on the rate in 2000, but are set to edge down this year and next. These increases include the costs of reduced working hours, amounting to 0.5 percentage point per year in manufacturing and 0.3 percentage point for the business sector as a whole. The public-sector agreements did not include any reductions of working hours.

The 2001 bargaining round continued the tendency to decentralise wage talks to individual workplaces, particularly for white-collar workers, while maintaining strong co-ordination of the branch-level negotiations. An increasing number of public sector agreements do not include any guaranteed pay increases for individual workers, whereas the tendency in the private sector was rather the opposite. Where individual guarantees are not included, it is left to wage talks at the enterprise level to determine how to distribute pay increases across workers within an overall envelope. The fall-back solution stipulated in the branch agreement only comes into force if such local agreements cannot be reached. The diminishing importance of the branch level agreements implies that it is becoming more difficult to distinguish between "agreed" wage increases and "wage drift".

The negotiations last year had widely been seen in advance as the "ultimate" test of the ability of the wage formation system in Sweden to deliver appropriate outcomes. The test was generally judged to have been successfully passed, as in its annual report on the macroeconomic preconditions for the wage negotiations from October 2000, the National Institute of Economic Research (NIER) concluded that average hourly wage increases of 3.8 per cent would be compatible with the 2 per cent inflation target.

that is at least one percentage point higher than the average EU rate. As world trade regains strength after the sharp slowdown in 2001, the moderation of wage increases in manufacturing in 2001 may easily prove to have been temporary, which would put further upward pressure on aggregate wage inflation unless offset by slowing rates in the sheltered sectors. Moreover, national accounts data suggest that unit wage costs in the business sector have accelerated much more rapidly in the course of 2000 and 2001 than the "headline" wage figures suggest.

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The appropriate rate of wage increases needs to be judged not only against the target rate for consumer price inflation, but also the evolution of output prices. These have generally risen less than unit costs for labour and intermediate goods in recent years, and the business sector's profit share (*i.e.* the share of gross profits in value added) shrank by 3.3 percentage points over the period 1999 to 2001 (Table 6). This came on the back of a 4.7 percentage point fall in the four years to 1998, implying a total decline of 8 percentage points in seven years, although from a very high level. The downward trend in profit shares has been broadly based, albeit more pronounced in manufacturing than in the construction and private services sectors. Although difficult to verify, this may in part be because exporting industries face stronger competition and, therefore, have found it difficult to pass these cost increases fully on to their customers. If so, more vigorous productivity growth is required in manufacturing in order to realign the increases in costs and revenues. In any case, the evolution of profit shares in Sweden has been distinctly different from that in the euro area where they have risen steadily (Figure 7),[3] indicating that cost increases have not yet fed through to prices in Sweden to the same extent as in the euro area at large.

Table 6. **Costs, prices and profitability in the business sector**
Average annual increase in per cent

	Total		Manufacturing		Construction		Non-financial services	
	1995-98	1999-2001	1995-98	1999-2001	1995-98	1999-2001	1995-98	1999-2001
Unit costs of intermediate goods	1.9	2.4	1.2	3.0	2.2	3.7	1.7	1.5
Unit labour costs	2.3	2.5	1.0	–0.6	4.5	4.0	3.0	3.6
of which:								
Hourly compensation	5.6	4.4	5.6	4.2	3.9	4.2	6.0	4.7
Labour productivity	3.2	1.8	4.6	4.8	–0.6	0.2	3.0	1.1
Output price	1.2	1.5	0.5	1.2	2.1	3.7	2.3	2.0
Profit share in value added[1]	–4.7	–3.3	–5.1	–3.6	–6.5	–0.5	–1.2	–1.8

1. Percentage points change over the period.
Source: National Institute of Economic Research.

Price developments

Headline inflation rose to 2.6 per cent in 2001, double the 2000 outcome and the biggest increase since 1995. The underlying inflation rate jumped to 2.8 per cent, well above the Riksbank's 2 per cent target (Table 7). While the

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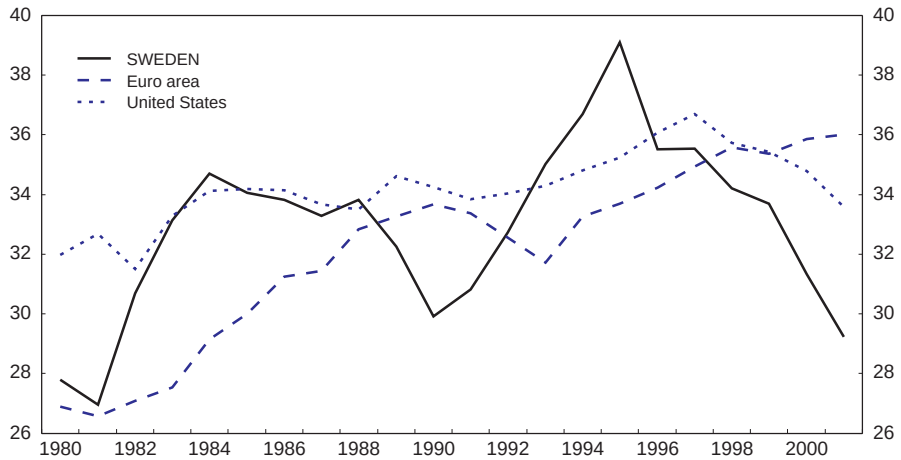
Figure 7. **Profit shares in Sweden, the euro area and the United States**

Per cent of value added, private sector



Source: OECD.

Table 7. **Various measures of inflation, 1997-2002**

	1997	1998	1999	2000	2001	2002
Consumer price index[1]	0.9	0.4	0.3	1.3	2.6	2.6
Underlying inflation (UND1X)[1, 2]	1.4	0.9	1.4	1.4	2.8	3.0
Domestic underlying inflation (UNDINHX)[3]	1.7	1.8	1.8	1.0	3.8	4.3
Harmonised index of consumer prices (HICP)[1]	1.8	1.0	0.6	1.3	2.7	2.5
Excluding food and energy[4]	0.8	0.7	0.8	0.6	2.1	2.0
Private consumption deflator[4]	2.3	1.0	1.0	0.9	1.6	3.4
GDP deflator[4]	1.7	0.9	0.7	1.0	2.0	3.0
Memorandum item:						
Import prices[5]	2.1	–1.0	2.5	7.9	4.7	1.7

1. January to May for 2002.
2. UND1X excludes interest payments on mortgages in owner-occupied housing as well as indirect taxes and subsidies. It is the inflation measure targeted by the Riksbank.
3. UNDINHX excludes the same items as UND1X and in addition goods and services that are predominantly imported.
4. First quarter for 2002.
5. January to April for 2002.

Source: Statistics Sweden.

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national accounts deflator for private consumption increased somewhat more moderately, it still accelerated considerably. Inflation has been picking up pace since early 1999, although initially from an extremely low level. The particularly rapid rise in the spring of 2001 was in part due to temporary factors, such as higher electricity prices, foot and mouth disease and unusually large increases in the prices of vegetables. Indeed, these temporary factors were considered dominant by most analysts, the government and the monetary authorities, and recognition of a broader upward pressure on prices spread only slowly. This may in part be explained by the fact that inflation expectations were also low at that time, but as these have risen on the back of actual inflation, they have not been a reliable indicator of future inflation.

The pick-up in inflation has been attributable mainly to internal pressures, with domestic underlying inflation accelerating to 5 per cent early this year (Figure 8), before starting to abate. The main culprit in this context is the relatively strained capacity situation in private services industries; most services components of the consumer price index have accelerated to rates of increase above 3 per cent. The broadness of the underlying price pressure can also be seen in the implicit retail sales deflator, which rose at a year-on-year rate of around 3½ per cent in the first quarter of 2002, with the biggest contributions coming from non-food items. The implications for monetary policy of this inflation situation are discussed in Chapter II.

The outlook to 2003[4]

Output is expected to expand by 2 per cent this year and by 3¼ per cent in 2003 (Table 8). This implies a return to above-potential growth rates around the middle of this year. The turnaround is prompted by the acceleration of international trade and the unwinding of the stock market-induced confidence crisis that played an important role during the slowdown. As these factors cease holding back growth and de-stocking comes to an end, the otherwise supportive macroeconomic environment should manifest itself in a fairly vigorous pick-up in domestic demand and renewed growth in exports:

- Fiscal policy is highly expansionary this year, contributing 2½ percentage points to the growth in real household disposable income, which increases by as much as 5 per cent in total. For 2003, the projection rests on the assumption that fiscal policy will be broadly neutral, albeit with some modest rise in local government spending. If it is decided this autumn to implement the fourth and final step of the tax-cut programme initiated in 2000, this would imply a further fiscal easing of ¾ percentage point of GDP next year, unless countered by savings elsewhere.

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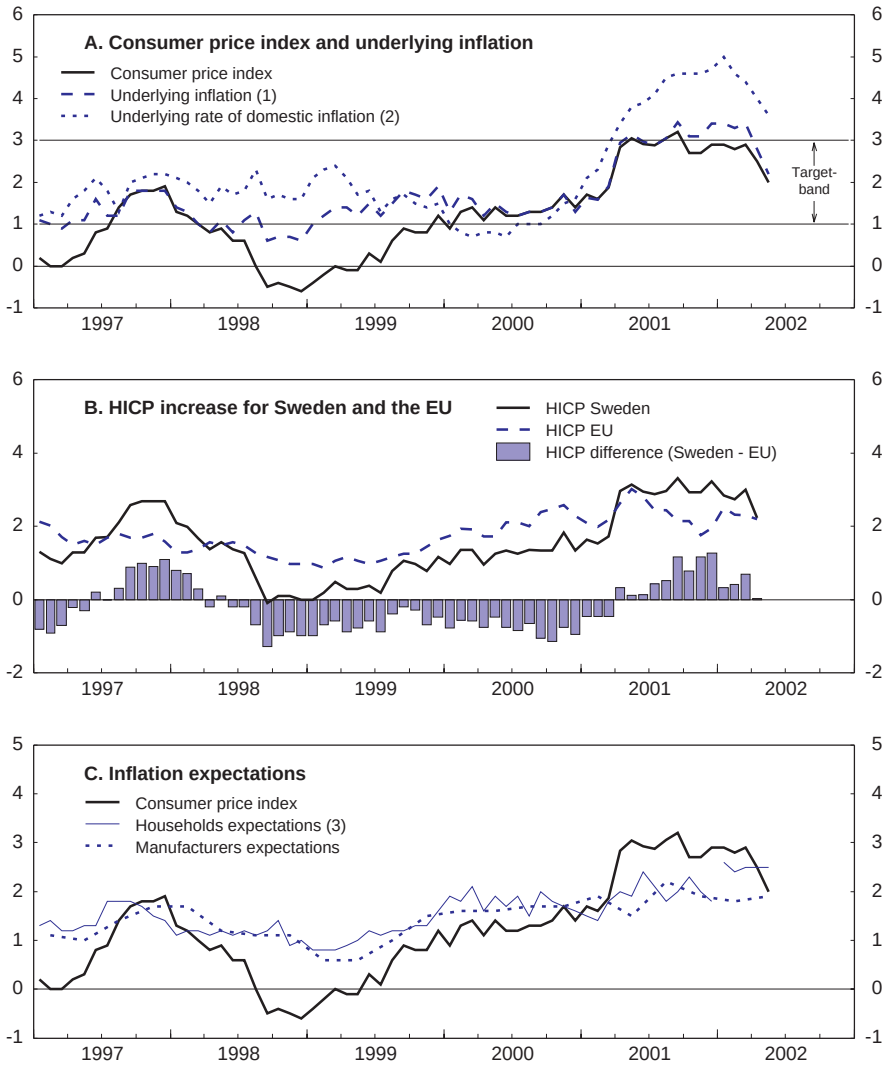
Figure 8. **Inflation and inflation expectations**

Year-on-year percentage change



1. CPI excluding interest payments and direct effects of changes in indirect taxes and subsidies.
2. CPI excluding interest payments, goods that are mainly imported and direct effects of changes in indirect taxes.
3. The break in the series after December 2001 is due to a change in the survey methodology.

Source: Statistics Sweden; Sveriges Riksbank; OECD.

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Table 8. **Outlook for 2002 and 2003**

Percentage change from previous year (unless otherwise noted)

	2000	2001	2002	2003
Private consumption	4.6	0.2	2.5	2.7
Government consumption	–0.9	1.4	1.3	0.9
Gross fixed investment	5.0	1.5	–0.4	3.1
Housing	9.3	8.3	10.0	10.0
Business	7.0	0.6	–2.5	1.9
Government	–8.1	1.4	4.0	4.0
Final domestic demand	3.2	0.8	1.6	2.3
Change in stockbuilding[1]	0.5	–0.5	0.0	0.0
Total domestic demand	**3.8**	**0.2**	**1.6**	**2.3**
Export of goods and services	10.3	–1.4	2.5	9.2
Imports of goods and services	11.5	–3.9	1.4	8.0
Net foreign balance[1]	0.4	1.0	0.7	1.4
Gross domestic product (constant, market prices)	**3.6**	**1.2**	**2.1**	**3.2**
Memorandum items:				
Private consumption deflator	0.9	1.6	2.4	2.4
Underlying inflation	1.4	2.8	2.8	2.4
GDP price deflator	1.0	2.0	2.5	2.4
Oil prices, $US per barrel[2]	28.0	23.6	20.8	25.0
Aggregate hours worked	2.1	0.5	0.2	0.7
Total employment[3]	2.2	2.0	0.2	0.7
Labour force[3]	1.2	1.3	0.4	0.5
Unemployment rate, per cent of labour force[3]	4.7	4.0	4.2	4.0
Effective exchange rate	0.7	–8.3	1.5	0.4
Interest rates				
Short-term, per cent	4.0	4.0	4.1	4.9
Long-term, per cent	5.4	5.1	5.4	5.7
Government balance, per cent of GDP	3.7	4.8	2.1	2.4
Current account, per cent of GDP	3.3	3.2	3.9	4.7
Household savings rate	1.5	4.5	6.3	6.1

1. As a per cent of GDP in the previous year.
2. Crude oil prices are OECD average import unit prices, including cost, insurance and freight, but excluding import duties.
3. Labour Force Survey definition.

Source: OECD, *Economic Outlook* 71.

– Following the interest rate hikes in March and April, monetary policy has moved closer to a neutral position after the very expansionary stance in 2001, but at 4¼ per cent the policy interest rate is still supportive of growth. With the further gradual tightening of 1 percentage point embodied in the projection, monetary policy would become a restraining factor during the second half of 2003, but this would impinge on demand primarily beyond the projection period.

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– House price increases are assumed to continue to moderately outpace inflation, thereby bolstering household balance sheets. The increases in interest rates are likely to have some downward impact on house prices, but this is expected to be more than offset by the impetus provided by the surge in disposable incomes.
– The effective nominal exchange rate weakened 8 per cent in 2001 and, despite some recovery of late, it remains relatively weak, which should make it possible for Swedish export industries to gain market shares abroad.

Against this backdrop, domestic demand is expected to increase by 1½ per cent this year and by 2¼ per cent in 2003. This is driven in particular by private consumption and residential investment, while business investment is not projected to regain momentum until early next year, as capacity utilisation in manufacturing is currently low. Following a rare decline last year, exports are expected to expand by 2½ per cent in 2002 and by a more brisk rate of around 9 per cent in 2003.

Despite some initial abatement, inflation is expected to remain at around 2½ per cent throughout the projection period. For 2002 as a whole, underlying inflation as normally targeted by the Riksbank is expected to be 2¾ per cent before moderating to slightly below 2½ per cent in 2003. The assumed tightening of monetary policy is expected to keep a lid on price increases. However, wage inflation is expected to persist around 4½ per cent and, in addition, the decline in profit shares since the mid-1990s is assumed to come to an end. Employment growth is expected to be modest in the early phase of the recovery, but it should resume a more rapid pace as productivity is restored to its trend level. The counterpart is a modest increase of ¼ percentage point in the unemployment rate this year and a similar decline next year. The general government surplus is expected to shrink from 4¾ per cent of GDP in 2001 to just above 2 per cent this year. However, the private sector's financial balance is set to strengthen by an even greater magnitude as households raise their saving rate and the corporate sector's tax payments decline. As a result, the already comfortable current account surplus is expected to increase further to almost 4 per cent of GDP this year, and a further ¾ percentage point increase is expected next year, reflecting enlarged surpluses in both the general government and private sector.

Upside risks to activity include a less pronounced increase in the households' saving rate than projected and the possibility of a continuation of expansionary fiscal policies in 2003. The projection is based on the assumption that the ICT cycle will lag behind the expected acceleration of international trade in general, but a more persistent weakness of global demand for telecommunications equipment is nevertheless a risk on the side of lower growth. Other downside risks, notably for 2002, relate to the strength and duration of the dis-investment cycle in the business sector (including the run-down of stocks). While business investments were surprisingly weak in the first quarter, the projection rests on an imminent stabilisation of the demand for capital.

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II. Macroeconomic policies

Overview

Macroeconomic policy settings have been highly supportive of growth. Discretionary fiscal easing amounts to 1¾ per cent of GDP in 2002, following a similar stimulus last year. Nominal interest rates remained low in 2001, pushing real rates down to very low levels during the course of the year as inflation picked up and the effective exchange rate depreciated by 8 per cent compared with 2000. However, the decline in equity prices probably significantly reduced the impact of low interest rates and the depreciation on overall financial conditions and, therefore, on output. Thus far this year, monetary conditions have reversed somewhat, as the currency appreciated until the spring and interest rates have risen.

The acceleration of inflation in 2001 to above the Riksbank's tolerance band, with particular pressure coming from domestic sources, indicates that resource utilisation in 2000 was higher than had been expected by the authorities at that time. This is consistent with subsequent upward revisions of GDP and wage increases. While the repo rate was increased by ¾ percentage point during 2000, there are indications that macroeconomic policies were too expansionary that year. The conduct of monetary policy over the course of 2001 and the first half of 2002 may be interpreted as an adjustment towards a more neutral stance. While monetary authorities elsewhere responded to the weakness in demand by lowering policy interest rates, the Riksbank maintained the repo rate virtually unchanged, and with the hikes in March and April this year, it embarked on a tighter policy course earlier than other central banks. With the prospect of an imminent return to above-potential growth rates and underlying inflation persisting well above the 2 per cent target, the Riksbank will have to raise interest rates further over the course of the coming year.

The structural budget surplus is expected to marginally exceed the target of 2 per cent of GDP this year despite considerable fiscal stimulus each year since 1999. The lion's share of the fiscal easing has been in the form of income tax cuts. Lowering marginal rates has helped to strengthen the supply potential of the economy, but less helpful measures have been taken as well, including, in particular, reduced property taxation. The general government consumption-to-GDP

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ratio rose ½ percentage point in 2001 and is set to rise again this year. The scope for further fiscal easing without breaching the surplus target is now largely exhausted. Furthermore, any additional fuel to demand would be unhelpful in the current economic situation and might need to be neutralised through a more forceful response from the Riksbank.

The most urgent challenge for fiscal policy is to safeguard the central government's expenditure ceiling, which is under increasing strain. While the use of tax expenditures and other means of circumventing the ceiling has so far been fairly limited, such measures have not only been undertaken *ex post* to cover up for negative surprises, but also to "make room" for new discretionary spending. The fundamental problem is that there is virtually no safety margin either this year or for subsequent years. Complying with the expenditure ceiling is crucial to maintaining fiscal prudence, and reasonable safety margins need to be re-established for the future. Looking ahead, the room for further tax cuts will be determined by the willingness to rein in public expenditure (see Chapter III), and by the success in broadening tax bases, notably through boosting labour supply (see Chapter IV).

The final section of this chapter addresses some of the issues that have attracted attention in the public debate on the consequences for stabilisation policies if Sweden were to decide to adopt the euro. The current framework for monetary policy has served Sweden well, and without an independent monetary policy it would be more difficult to counter asymmetric shocks through active stabilisation policy. However, adhering stringently to the current target of a cyclically-adjusted budget surplus of 2 per cent of GDP still leaves considerable room for discretionary fiscal easing during a downturn if that is deemed warranted. Nonetheless, there has been some concern that becoming a full member of the Economic and Monetary Union (EMU) might imply greater risks to price stability and even make full employment harder to achieve. This chapter addresses some of the key issues involved.

Monetary policy under strain from higher inflation

Background factors influencing monetary conditions

Within the current framework, the exchange rate impinges on monetary policy decisions only indirectly *via* its impact on (future) inflation. Normally exchange rate developments are of secondary importance, but over the last two years fluctuations in the krona have been substantial and have occasionally affected policy implementation. The nominal effective exchange rate depreciated more than 15 per cent over the fifteen months to September 2001, although it has recovered some 5 per cent since reaching its weakest level (Figure 9). While the evolution of the USD/SEK rate has largely reflected the fluctuations of the dollar, the background for the sizeable fluctuations against the euro is more complex. They can only to a limited extent be attributed to changes in the fundamental

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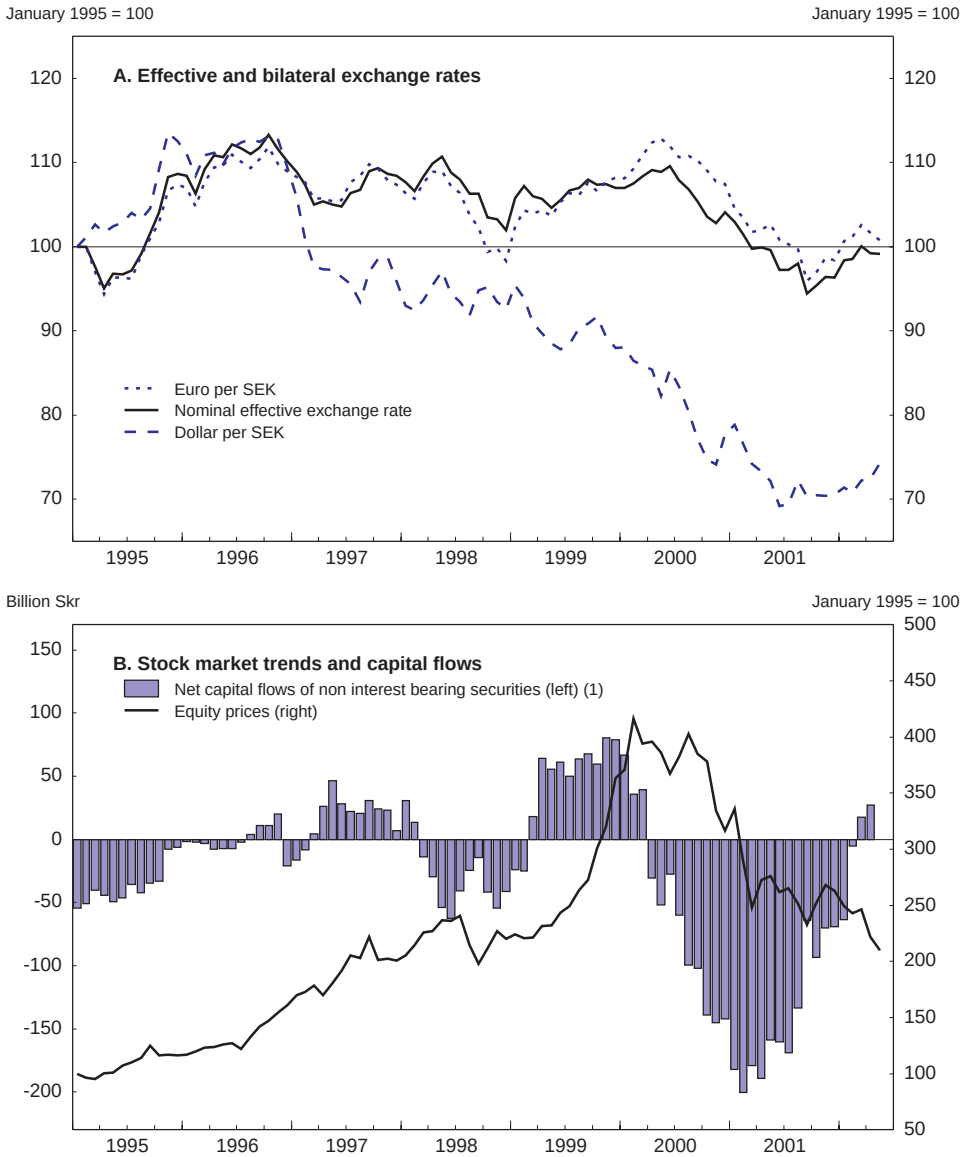
Figure 9. **Exchange rate developments**



1. Total of the current balance, foreign direct investments and portfolio investments in equities. 12-month moving sum.
Source: Statistics Sweden; OECD.

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macroeconomic situation in Sweden, which has remained comparatively robust throughout. Three factors appear to have been important, although their relative significance is difficult to assess.

- *First*, the evolution of the short-term interest rate differential *vis-à-vis* the euro is likely to have had an impact. The exchange rate started to weaken at the same time as the spread became negative, and the appreciation started in September 2001 when the short-term interest-rate differential moved back in favour of the krona.
- *Second*, capital flows related to the stock market bubble (see below) seem to have provided much of the impetus to the appreciation against the euro up to the spring of 2000 and the subsequent decline. During this period, the evolution of the EUR/SEK rate was closely correlated with the trend in the stock market index.
- *Third*, the strengthening of the krona earlier this year to some degree reflects market reactions to potential signals in favour of accession to the euro and the possibility of a referendum in the spring of 2003. This has resulted in an appreciation *vis-à-vis* the euro, as the market moved the bilateral exchange rate towards what it perceives to be a likely entry rate (the consensus is for an entry rate in the range of 8.5 to 8.7 SEK).

As indicated above, the capital flows that have accompanied the sharp decline in share prices (as well as the preceding surge) seem to have had a considerable impact on the evolution of the exchange rate, since some 40 per cent of shares were foreign owned when share prices peaked. Time-wise, the stock market cycle in Sweden has coincided with those in the euro area and in the United States in recent years, but there are also important differences. Sweden is specialised in information and communication technologies (ICT), notably telecommunication equipment, where the fluctuations in share prices have been particularly large since early 1999 (Figure 10). The telecommunication industry accounts for approximately 20 per cent of the total market value, and Ericsson alone accounts for 12 per cent.[5] The ICT sector's important role in the stock market cycle (and the broader economic cycle) has caused the general stock market index in Sweden to fluctuate more than broad-based indices elsewhere, in particular the United States.[6] The market value of all listed shares amounted to some 140 per cent of GDP at the end of 2001, which was 42 percentage points higher than three years earlier but 62 percentage points lower than in June 2000, near the peak of the stock market bubble (Table 9).

Implementation of monetary policy in 2001 *and early* 2002

The Riksbank's response during the slowdown was much more muted than that of monetary authorities elsewhere, including the European Central Bank (ECB), which has cut its policy interest rate by 1½ percentage points since the

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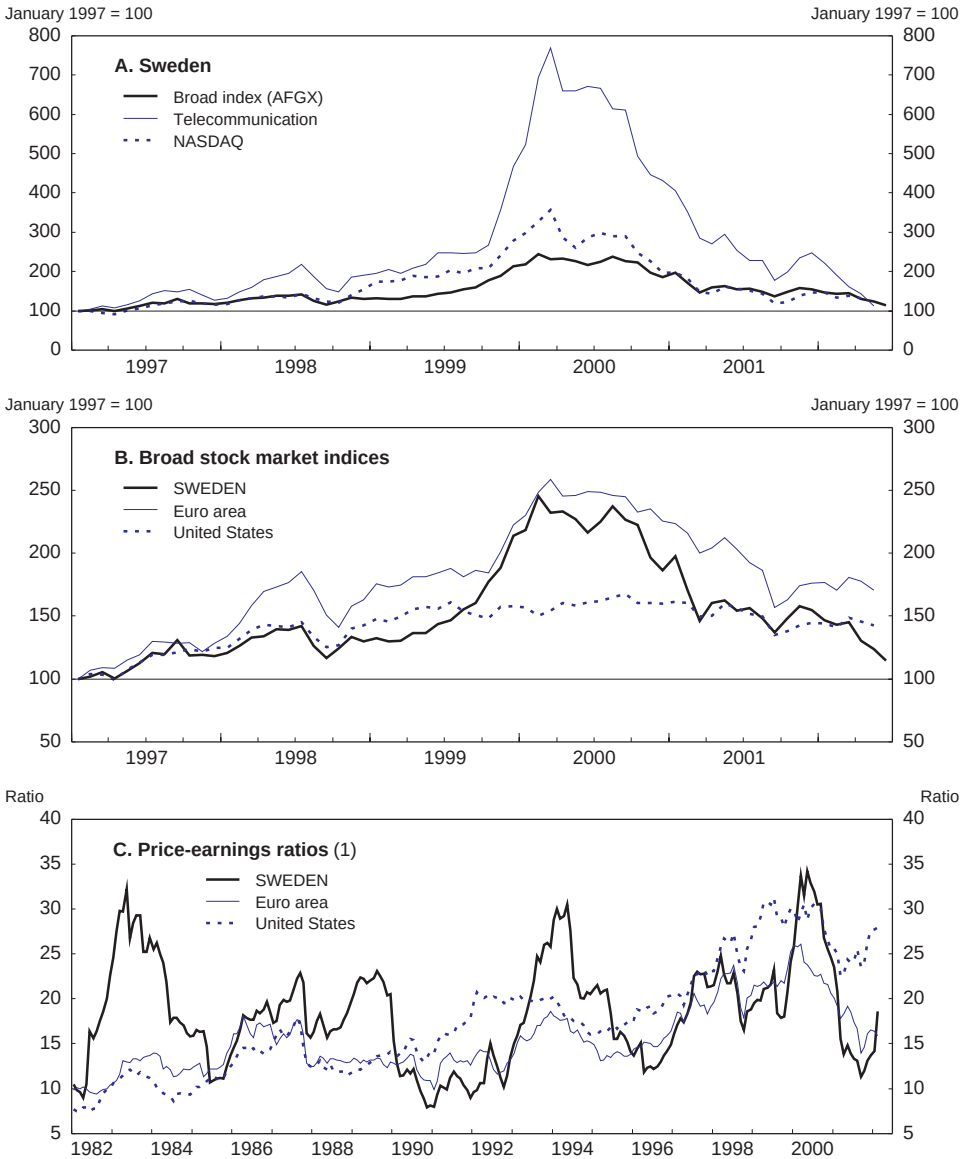
Figure 10. **The stock market cycle in Sweden, the euro area and the United States**



1. Calculated as the ratio of current total market index to total net earnings (from previous year).
Source: Statistics Sweden; Datastream; OECD.

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Table 9. **Ownership of shares in Swedish quoted companies by sector**[1]

	December 1998	December 1999	June 2000	December 2001	Change December 1998 to June 2000	Change June 2000 to December 2001
	Per cent	Billion SEK				
Public sector	7.7	175	433	270	258	–163
Financial enterprises	19.8	452	791	591	339	–199
Mutual funds	9.1	208	331	285	122	–46
Non-financial enterprises	6.9	157	238	220	81	–18
Households[1]	21.9	501	689	488	188	–201
Foreign owners[2]	34.6	791	1 859	1 003	1 068	–856
Total	**100.0**	**2 285**	**4 341**	**2 858**	**2 056**	**–1 483**
As a percentage of GDP[3]	**–**	**99**	**203**	**141**	**104**	**–62**

1. Including shares owned by non-profit institutions serving households.
2. This statistic is based on information from the Central Securities Depository. Foreign owners include all investors based abroad even if they are fully or partly owned by Swedish residents or companies.
3. The figures are calculated using annualised GDP in the respective quarters.

Source: Statistics Sweden.

peak. In contrast, the Riksbank raised the repo rate by ¼ percentage point in December 2000 (to 4 per cent), followed by a further 25 basis points in July 2001 (Figure 11). Subsequently, the repo rate was lowered ½ percentage point following the terrorist attacks in the United States in September 2001 in line with Central Banks elsewhere. It remained at 3.75 per cent until the two ¼ percentage point hikes in March and April this year brought the repo rate up to 4¼ per cent.

Bearing in mind that Sweden entered the downturn with one of the lowest policy interest rates in the OECD area (next to Japan and Switzerland), the Riksbank's more moderate course in part reflects limited scope at the outset.[7] In addition, the manifestation of the weaker conjuncture coincided awkwardly with the marked acceleration of inflation in the spring of 2001 (Table 10). The pick-up in inflation stemmed mainly from domestic sources, with underlying domestic inflation surging from 1.4 per cent in the fourth quarter of 2000 to 3.7 per cent half a year later and to 4.7 per cent in the first quarter this year. As a result, the rise in inflation was more pronounced than elsewhere. Inflation expectations have also risen, although with some delay. Expected inflation 12 months ahead was at, or close to, 2 per cent in the second quarter of 2001 according to both the official household survey and the Prospera Institute's survey of professionals, but had risen to above 2½ per cent, in the first quarter of 2002. It should be observed that interpretation of the household survey is made more difficult by a recent break in the series (see note 3 to Table 10). According to the Prospera survey, expectations of inflation two and five years ahead have also risen to around 2½ per cent.

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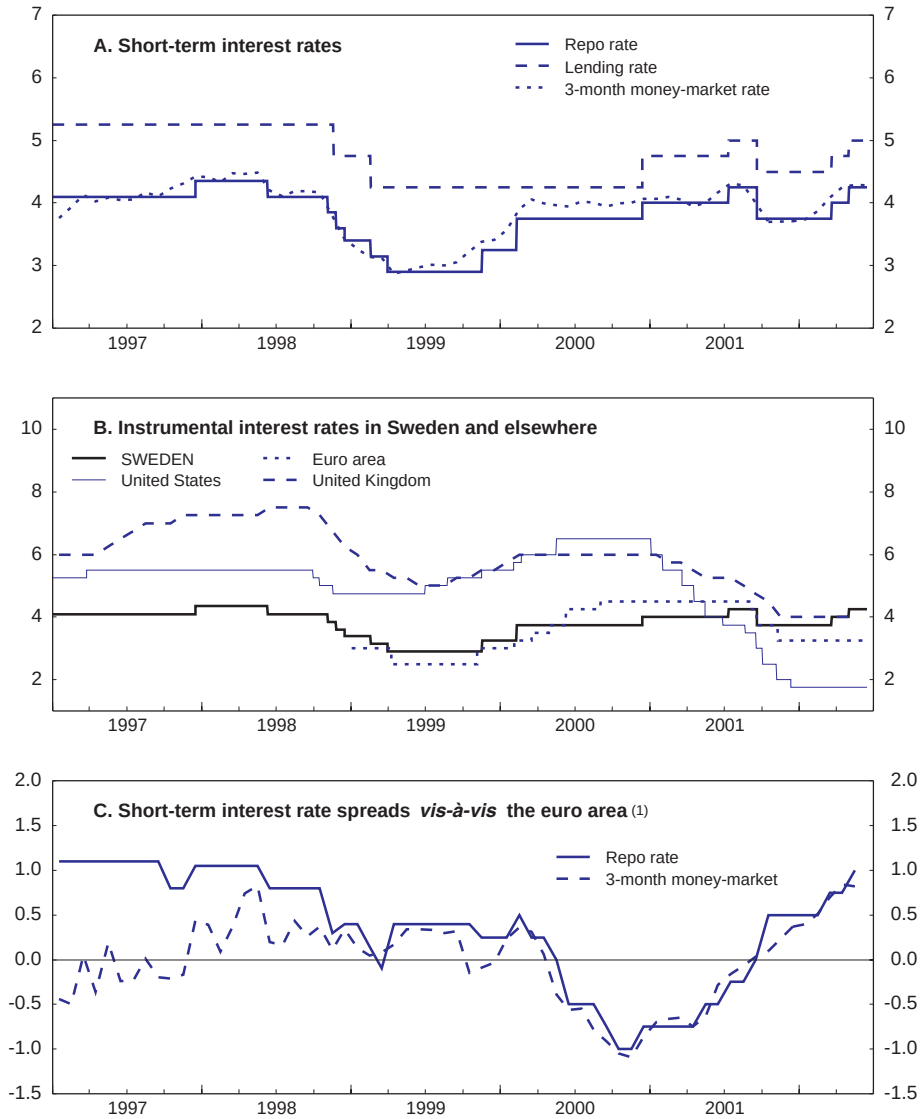
Figure 11. **Short-term interest rates**

Per cent



1. For the euro area German interest rates are used before 1999.

Source: Statistics Sweden; Sveriges Riksbank; Board of Governors of the Federal Reserve System; Bank of England; OECD.

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Table 10. **Inflation and inflation expectations**

	2000				2001				2002
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1
Inflation									
HICP									
Sweden	**1.3**	**1.3**	**1.3**	**1.5**	**1.6**	**3.0**	**3.1**	**3.0**	**2.9**
Euro area	2.1	2.1	2.5	2.7	2.5	3.1	2.7	2.2	2.6
Difference	–0.8	–0.8	1.2	–1.2	–0.9	–0.1	0.4	0.8	0.3
CPI	1.2	1.2	1.3	1.5	1.7	2.9	3.1	2.8	2.9
Underlying inflation[1]	1.5	1.3	1.3	1.5	1.7	3.0	3.1	3.2	3.4
Domestic underlying inflation[2]	0.8	0.8	1.0	1.4	2.4	3.7	4.4	4.6	4.7
Inflation expectations									
Household survey[3]	1.9	1.7	1.8	1.7	1.6	2.1	2.0	2.0	2.7
Prospera survey[4]									
1 year	1.8	1.9	1.8	1.9	1.8	2.0	–	2.6	2.6
2 years	1.9	2.0	1.9	2.0	2.0	2.1	–	2.6	2.6
5 years	2.0	2.1	2.0	2.1	2.1	2.1	–	2.5	2.4

1. As measured by UND1X, which excludes interest payments on owner-occupied housing and indirect taxes and subsidies from the consumer price index.
2. As measured by UNDINHX, which in addition to the items excluded in UND1X also ignores goods that are mostly imported.
3. Expectations about inflation 12 months ahead. The responsibility for carrying out the household survey moved from Statistics Sweden to the National Institute of Economic Research (NIER) as from January 2002. Although no change in the methodology was intended, the shift is likely to have caused a break in the series. In an unofficial parallel survey carried out by the NIER for December 2001, inflation expectations were recorded at 2.6 per cent against 1.8 per cent in the one from Statistics Sweden.
4. The Prospera Research Institute has been commissioned by the Riksbank to conduct a survey of inflation expectations based on interviews with professional players, including the social partners, purchasing managers and money market participants.

Source: Statistics Sweden; National Institute of Economic Research; OECD.

Under the current forward-looking inflation targeting framework, the Riksbank forecasts presented in its quarterly Inflation Reports obviously play an important role in the decision-making process. The forecasts have tended to cluster around the 2 per cent target one to two years ahead (Figure 12). This is also the case when comparing the assessment of expected mean inflation (the inflation forecast including the risk spectrum), on which monetary policy is based. A closer look at the motivation behind the recent changes in the repo rate indicates that the Riksbank has applied a pragmatic approach. The Inflation Report in December 2000 projected underlying inflation (UND1X) to be 1.9 per cent at the end of the projection period, *i.e.* below the 2 per cent target as the main scenario. However, it was argued that taking into account the skewed risk spectrum, inflation would be 2.3 per cent, and the repo rate was accordingly raised ¼ percentage point. In contrast, in the Inflation Report of the end of May 2001, the Riksbank

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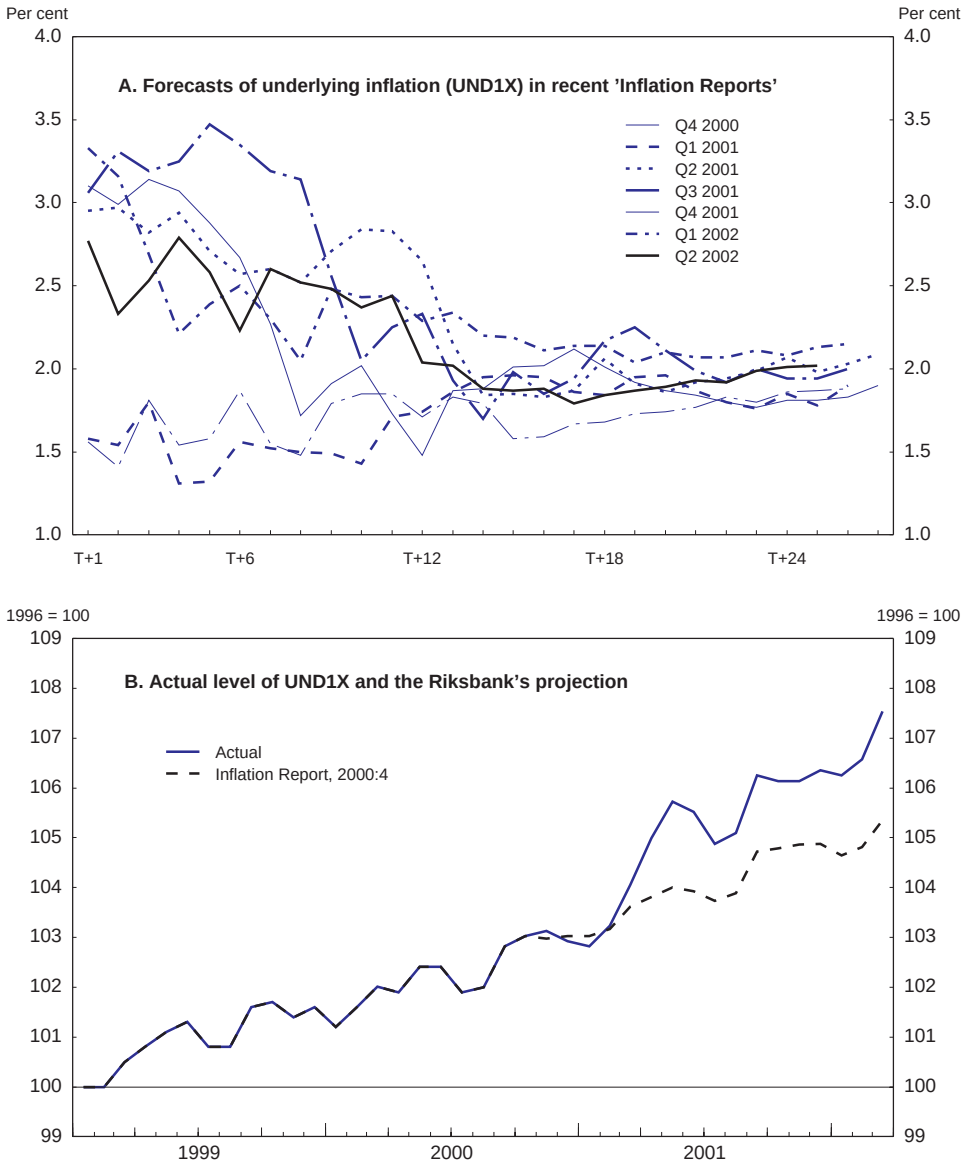
Figure 12. **The Riksbank's inflation forecasts**[1]



1. The figures concern underlying inflation as measured by UND1X.
Source: Sveriges Riksbank.

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projected that UND1X would increase by 2.1 per cent two years out and assessed upside and downside risks to be balanced. The governing board decided not to raise the repo rate, judging that the deviation from the inflation target was too small to warrant a change. In the meantime, the effective exchange rate continued to weaken considerably and inflation expectations increased. Only two weeks after the Inflation Report the Riksbank warned that the overall assessment of the inflation outlook had deteriorated. It also surprised observers by warning of possible currency-market interventions, and, indeed, the Riksbank followed through on this the next day.[8] The main purpose was to signal a less expansionary policy stance as a part of the overall conduct of monetary policy. Indeed, at the next meeting in early July the Riksbank decided to increase the repo rate by ¼ percentage point to uphold the inflation target. With hindsight, it could have justified reacting earlier, given the already manifest weakening of the krona and the considerable pick-up in inflation.

The ¼ percentage point increase in March this year came in connection with the release of the Inflation Report, which projected inflation two years ahead to exceed 2 per cent at an unchanged repo rate. This assessment was based on an upward adjustment of the GDP forecast and concern over current wage increases and inflation expectations. In addition, it was recognised that previous assessments of the spare capacity in the economy had probably been too benign, and that the unexpected jump in inflation in this spring of 2001 was not attributable only to temporary factors. Members of the monetary policy board very clearly signalled the shift in advance, and it was fully priced in by the market. Following this hike, incoming data has remained buoyant, and in contrast to widespread expectations, inflation did not start to abate in March. Against this background and the assessment in the inflation report in March, the repo rate was raised another ¼ percentage point in late April. Looking forward, a significant further tightening of monetary policy will be necessary if demand and output expand at the rates envisaged in the OECD's projections (Chapter I), which are based on interest rates increasing to 5¼ per cent by mid-2003.

The transmission of monetary policy decisions has probably strengthened as a result of the trend towards floating rates in newly issued mortgage loans over the past five to ten years. This mirrors the decline in inflation expectations resulting from the firm credibility of the monetary policy framework. The counterpart is that households are more exposed to changes in the interest rate, thereby reinforcing the importance of preventing fluctuations in inflation expectations that could prompt big rate adjustments. Still, households' choice between floating- and fixed-rate mortgages (the latter typically of a duration of five years) remains sensitive to the interest rate spread. As this spread narrowed from 2½ percentage points in late 1999 to only 1¼ percentage points two years later (Figure 13), floating rate mortgages as a share of new loans fell back from 73 per cent in 2000 to 51 per cent in 2001 (Table 11).

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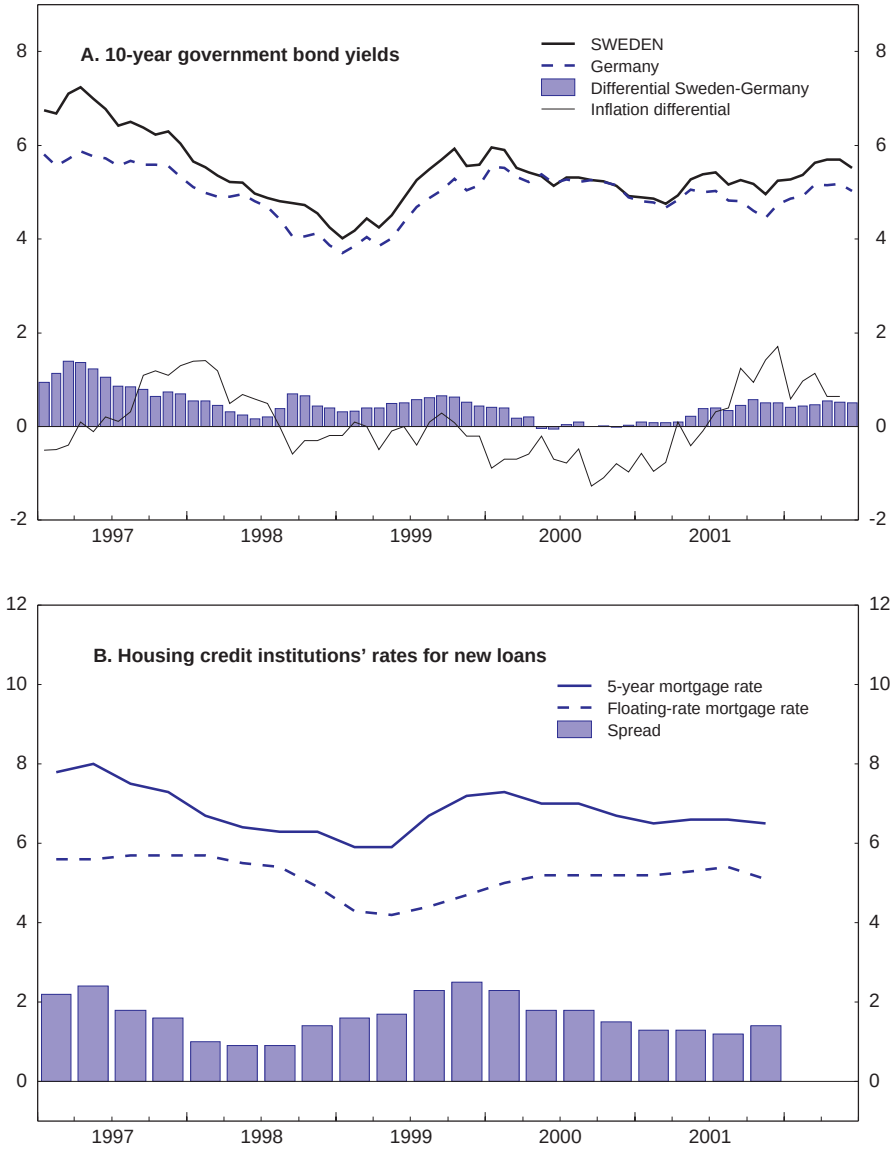
Figure 13. **Long-term interest rates**
Per cent



Source: Sveriges Riksbank.

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Table 11. **Mortgage institutions' lending to households, 1996-2001**

	1996	1997	1998	1999	2000	2001[1]
All new loans (billion SEK)[2]	107.2	113.5	113.2	126.7	122.5	146.0
of which: (per cent)						
Floating interest rate	18.4	23.0	31.5	53.4	72.6	51.4
Fixed interest rate, 1-5 years	56.8	54.8	21.5	21.5	17.2	33.6
Fixed interest rate, 5+ years	24.7	22.1	46.8	25.1	10.2	14.9
All outstanding loans[3] (billion SEK)	489.7	507.6	537.2	581.6	608.6	663.2
of which: (per cent)						
Floating interest rate	9.8	13.0	16.2	25.4	37.1	38.0
Fixed interest rate, 1-5 years	35.7	44.0	34.7	28.0	21.5	26.0
Fixed interest rate, 5+ years	54.5	43.1	49.1	46.6	41.3	36.0

1. January-November.
2. Yearly average.
3. End of period.
Source: Sveriges Riksbank.

The scope for expansionary fiscal policy is exhausted

Fiscal policy remains guided by a three-tiered set of objectives: ensuring a cyclically-adjusted surplus of 2 per cent of GDP for general government; complying with the previously set expenditure ceilings for central government expenditure; and (since 2000) requiring balanced budgets for local governments. These objectives were all met last year, although the strain on the expenditure ceiling was increasingly evident. From a macroeconomic perspective, public finances are admirably sound. In particular, the cyclically-adjusted budget surplus is set to exceed 2 per cent of GDP in 2002 (Figure 14), an achievement for which Sweden stands out internationally. As a result of the robust surplus, gross public debt is steadily declining as a percentage of GDP, and the public sector is likely to move into a net creditor position this year. The main concern over fiscal policy is that the current good position is not being managed optimally. Despite the restraining impact on expenditures intended by the ceiling on central government spending, the general government consumption-to-GDP ratio has increased recently. The room for cutting taxes in recent years has in large part been used appropriately to reduce marginal tax rates on earned income. However, several measures that are counterproductive from a structural policy point of view have been implemented as well, in particular, cuts in property tax rates, higher tax expenditures and reinstatement of deductibility for union membership fees.

Public finances in 2001 *and* 2002

The outcome for public finances in 2001 was heavily influenced by unusual one-off developments. Notwithstanding decelerating demand and output and significant discretionary fiscal easing (see below), the general government

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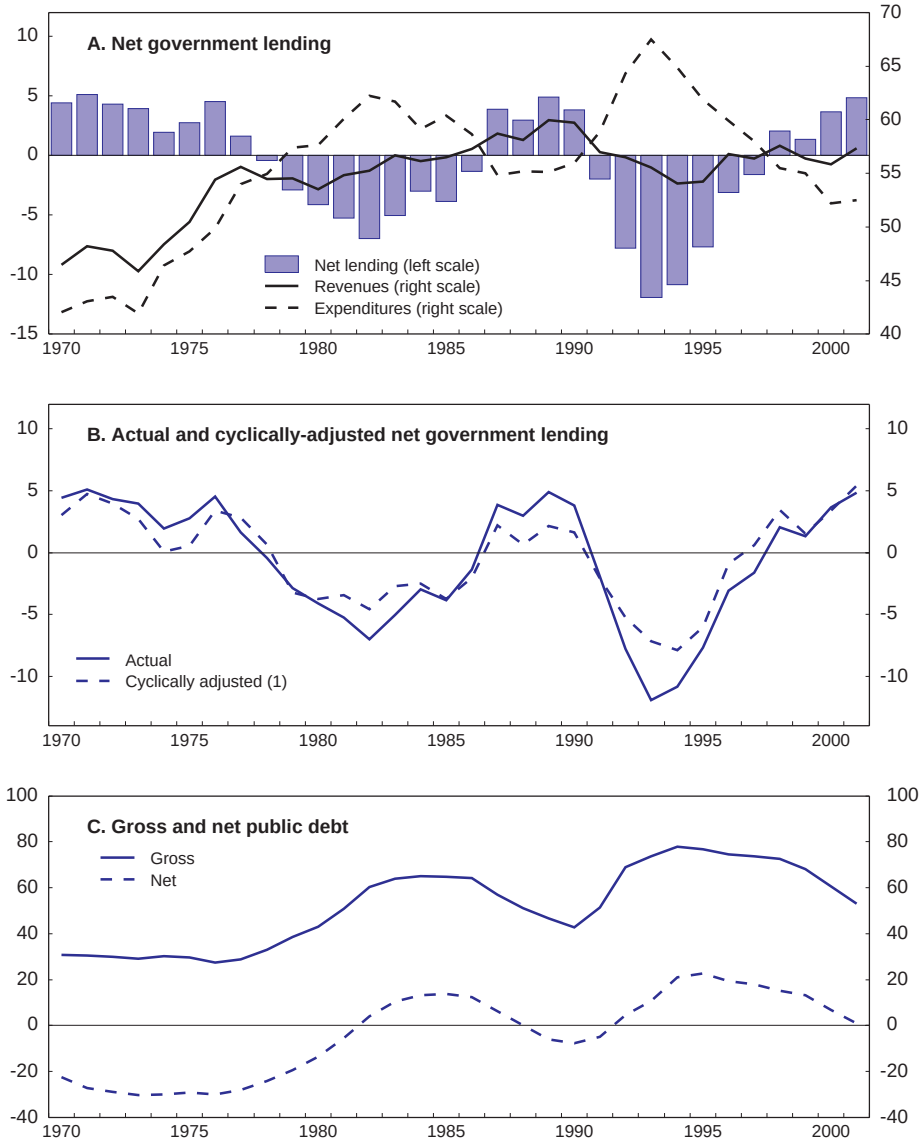
Figure 14. **The fiscal balance and the public debt**
Per cent of GDP



1. As per cent of potential GDP.
Source: Statistics Sweden; OECD.

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financial surplus rose 1 percentage point to 4.8 per cent of GDP. Since Sweden's slowdown was sharper than in the euro area and its automatic stabilisers are generally stronger, public finances would normally have deteriorated more in Sweden than in the euro area. Instead, they fared much better, because high share prices in 2000 had boosted households' realised capital gains and companies' taxable profits that year, but the resulting tax payments from these sources of income enter the government accounts with a lag of one year. Ministry of Finance estimates suggest that such timing effects boosted revenues by 2 percentage points of GDP in 2001, while in 2000 they had reduced revenues by 1.1 percentage points of GDP. Thus, the profile of the budget balance in recent years is smoother when assessed on an accruals basis, peaking at 4.3 per cent of GDP in 2000 before declining to 2.8 per cent in 2001 and an estimated 1.8 per cent this year (Table 12).

Table 12. **The general government budget balance, 1998-2002**[1]

	1998	1999	2000	2001	2002
	Per cent of GDP				
Actual balance	**2.1**	**1.3**	**3.8**	**4.7**	**2.1**
Accrual effects on taxes	–0.1	0.9	1.1	–2.0	–0.3
One-off effects	–0.9	–	–0.5	0.0	0.0
Adjusted balance	**1.1**	**2.2**	**4.3**	**2.7**	**1.8**

1. The actual balance for 2002 is an OECD estimate, while the adjustments are based on the assessment of the Ministry of Finance.

Source: Ministry of Finance; OECD.

In addition, the particular characteristics of the slowdown last year dampened the immediate effect on public finances. *First*, it was driven in large part by weaker goods exports, which unlike domestic demand, do not affect indirect tax revenues. *Second*, the weakness of private consumption was especially pronounced in financial services and tourism, which have only a marginal impact on VAT revenues. Along the same line, the sharp increase in tourism exports, owing to the weak exchange rate, contributed positively to VAT inflows. Thus, although private consumption in current prices rose less than 2 per cent, the revenue from VAT was nevertheless 5¼ per cent higher than its year-earlier level. *Finally*, aggregate employment did not shrink, and no pick-up in unemployment was registered.

Cyclically-adjusted net lending rose from 3.4 per cent of GDP in 2000 to 5.4 per cent in 2001, which on the surface indicates a tightening of fiscal policy (Table 13). However, even these figures are distorted by the highly unusual pattern of tax flows and should be adjusted accordingly to obtain a true picture.[9] The measure of the budget impact of discretionary policy changes provided by

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Table 13. **Indicators of the fiscal policy stance**

	1998	1999	2000	2001	2002[1]
	Per cent of GDP				
Fiscal balance					
Actual	2.1	1.3	3.7	4.7	2.1
Cyclically-adjusted	3.5	1.6	3.4	5.4	2.8
Cyclically-adjusted primary balance	6.2	4.2	5.5	7.5	3.5
Change in fiscal balance					
Actual	3.7	–0.8	2.4	1.0	–2.6
Cyclically-adjusted	2.9	–1.9	1.8	2.0	–2.6
Cyclically-adjusted primary balance	2.4	–2.0	1.3	2.0	–4.0
Discretionary policy decisions[2]	0.2	–1.1	–1.4	–1.7	–1.8
Memorandum items:					
Public-sector employment[3]					
Number of employees	0.0	1.4	–2.4	1.2	1.2
Hours worked	0.7	1.3	–3.0	0.1	1.2
General government consumption to GDP ratio[4]	0.2	0.0	–0.1	0.5	0.2

1. OECD estimates except for discretionary policy decisions.
2. Estimates from the Ministry of Finance.
3. National accounts data except 2002, which are OECD estimates.
4. Percentage point change. The number for 2000 is adjusted for the reclassification of the Swedish church.

Source: OECD; Ministry of Finance; Statistics Sweden.

the Ministry of Finance adjusts for such timing effects. It suggests that, in fact, fiscal policy was strongly expansionary last year and is set to be this year as well. According to this measure, calculated as the total value of all discretionary decisions, fiscal policy stimulus amounted to approximately 1¾ percentage points of GDP in both 2001 and 2002. The main policy decisions are further detailed in the next section.

Major discretionary policy changes

Revenues

Tax cuts accounted for the lion's share of the fiscal easing in both 2001 and 2002, continuing the multi-year tax-cut programme initiated in 2000. These measures have added more than 1 percentage point to the growth in real household disposable income each year. They comprise two main elements:

– A *de facto* phase-out of employees' social security contributions, since these are offset at the individual level through tax credits that will exactly match the contributions paid, once the reform is fully implemented. Subject to certain preconditions, the budget for 2000 held out the prospect that the contributions would be fully compensated over a

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period of four years and the third step was taken with the budget for 2002. It will be decided in the autumn of this year whether the final step can be taken in 2003 without jeopardising the objective of maintaining a cyclically-adjusted budget surplus of 2 per cent of GDP.

– An increase in the threshold of the state income tax scheme, which is the most progressive element in the Swedish tax system. The tax-cut programme aims to gradually reduce the proportion of taxpayers who pay state income tax to 15 per cent, thereby restoring the intentions of the 1991 tax reform.

In addition to these personal income tax cuts, a number of less helpful tax measures have been implemented. Property tax rates have been reduced in both 2001 and 2002: from 1.5 to 1.0 per cent of assessed value for owner-occupied houses, and from 1.2 to 0.5 per cent for rental dwellings. In addition, a cap on individual households' property tax payments has been instituted, implying that households can be charged no more than 5 per cent of their income unless they have taxable income above SEK 600 000 per year. These tax cuts, which cost approximately SEK 8 billion (0.4 per cent of GDP) per year, were implemented mainly to solve a political problem of the government's own creation. The tax assessment values (*i.e.* the tax base) normally follow the evolution of real estate prices, but they were temporarily frozen in nominal terms from 1997 to 2000. Over this period property prices rose some 40 per cent. The subsequent realignment of tax assessment values with market prices in 2001 would, therefore, have resulted in a substantial increase in taxes payable, which the rate cuts were designed to offset. These cuts are inappropriate for cyclical as well as structural reasons; they are likely to further fuel already high house prices (see Chapter I), reduce the room for cutting the more distortionary income taxes, and aggravate asymmetries in the taxation of capital income.

Furthermore, the reduction from 25 to 6 per cent in the VAT rate on books and periodicals implied a continued small-scale erosion of the base for this tax, thereby further weakening overall neutrality. Along the same line, reduced social security contributions in certain regions as well as the reinstatement of the tax deductibility of membership fees for trade unions also contribute to making the tax system less neutral. Taken separately each of these decisions implies only small revenue losses, but in total they nevertheless add up to some 0.3 to 0.4 per cent of GDP.

Expenditures

It is less straightforward to account accurately for discretionary policy changes on the expenditure side of the budget, partly because all central government initiatives must be undertaken within the frame of the overall expenditure ceiling and partly because local government decisions are not easily identifiable.

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However, the National Institute of Economic Research calculates that public expenditure decisions contributed 0.5 per cent of GDP to the fiscal easing in 2001 and a further 0.8 per cent in 2002. The single most important contributor to the overall easing this year is the newly instituted cap on childcare charges (Box 2). Other

Box 2. Reform to the financing of childcare services

A reform to the fees for childcare services entered into force on 1 January 2002. Hitherto, individual municipalities had full discretion to set charges in this area. Most of them had opted for a charging structure where user payments were differentiated according to the number of hours children spent in the day care facilities, and progressive, *i.e.* increasing with household income. Average payment levels, as well as the link between household resources and the charges, varied significantly across municipalities. The progressivity contributed to higher marginal effective tax rates (METRs) on labour income for families with children in publicly financed day care facilities, thereby reducing the economic return to work.

Under the new Capped Childcare Charge system parental charges are capped at SEK 1 140 per month for the first child, SEK 760 per month for the second child and SEK 380 per month for the third and subsequent children. Up to these ceilings, the payment is 3, 2 and 1 per cent of household income, albeit with the possibility that the municipalities may opt for lower charges. The reform lowers the average level of the user charge by some 40 to 50 per cent, particularly as a result of the siblings discount.

The municipalities are compensated for the loss of revenue – assuming unchanged demand and activity – through an increase in their block grants. However, it is likely that the sizeable price reduction will spark some increase in demand both in the form of broader coverage and more hours. This would follow the pattern observed in Denmark, where a reduction of the childcare charges in the early 1990s prompted a surge in demand in the following years. A similar reaction in Sweden would put upward pressure on spending in the coming years, although the evolution of average costs is complicated by the introduction in 2003 of pre-school education for four and five year-olds. The Swedish Association of Local Governments claims that the block-grant compensation is around SEK 1 billion on the low side. The government has committed to provide extra compensation if indeed demand increases significantly. This would put further pressure on the central government expenditure ceiling.

The reform is estimated to reduce the METR by ¼ percentage point for the average household and by 1¼ percentage point for families with children in day care. Approximately 150 000 individuals (3½ per cent of the workforce) would receive a reduction in their METR of more than 3 percentage points. Although a pure flat-rate system (which was originally proposed by the government) could have reduced the average METR even further, diminished progressivity is a welcome step towards reducing disincentives to work.

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decisions include higher unemployment and child benefits and increased funds for primary schools. The general government consumption-to-GDP ratio rose ½ percentage point in 2001 and is expected to increase a further ¼ percentage point this year. This is due mainly to higher local government spending, which is made possible by increased resources from the central government budget to improve health care and education. In addition the cyclical nature of their revenue bases allows local government spending to be pro-cyclical. This is a rather inappropriate feature of inter-governmental financial relations in Sweden.

High stakes with the expenditure ceiling

The overall ceiling for central government expenditure has been a key feature of the framework for fiscal policy since its introduction in 1997, but the original safety margin has gradually eroded, and actual spending was only 0.6 per cent below the ceiling in 2000 and 2001. The strain on the expenditure ceiling is undiminished both this year and next. Continued upward drift in outlays for sickness benefits and, to some extent, higher inflation are two of the main reasons.[10] While assessments from the National Institute of Economic Research and the Swedish National Financial Management Authority suggest that additional measures are required to keep within the ceiling this year, the government's latest projections in the Spring Budget indicate that a minuscule margin of SEK 1 billion would prevail. In any case, the margin is at best very limited and leaves no room for unpleasant surprises in the coming years. As discussed in Chapter III immediate action is, therefore, required to rebuild an adequate safety margin. But no initiatives have been taken by the government in this direction. Instead, policy makers continue to rely on *ad hoc* decisions and have increasingly resorted to tax expenditures to circumvent the constraint. It is particularly of concern that such measures have been adopted not only to balance the accounts *ex post*, but also to actively create "room" for new spending. For example, funds of SEK 3 billion have been allocated to local governments to facilitate higher outlays in the areas of primary education and elderly care. But as the expenditure ceiling has prevented an increase in the block grants, state tax revenues have instead been redirected to the municipalities. In order to safeguard the credibility of the expenditure ceiling approach, such practices should cease.

EMU membership under discussion

Early this year the Prime Minister indicated a tentative timetable for Sweden's possible accession to the EMU, including the possibility of a referendum in the first half of 2003. Entering the EMU would fundamentally change the monetary policy framework, and the issue has attracted considerable public debate. The discussion has been stimulated by the release in March of a report from the committee charged with considering stabilisation policy in the currency

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union (the STEMU committee).[11] The question at the centre of the debate has been whether Sweden would still be able to counter periodic (large) asymmetric shocks through appropriate stabilisation policies if it abandoned the possibility of setting its own interest rates. In particular, the possible effects on the wage formation process and the role of fiscal policy in the EMU have been widely debated.

Wage formation

Two main issues related to the wage formation process have been addressed in the Swedish debate. The first is whether EMU membership is likely to affect real and nominal wage flexibility, *i.e.* the adjustment of wages over the business cycle. The second concerns the possibility of structural effects that might change the non-accelerating inflation rate of unemployment (NAIRU). Increased wage flexibility could partly compensate for the disappearance of an independent monetary policy, but it is unclear how much EMU membership in itself would do to encourage this. Without the possibility of offsetting exchange rate adjustments in the case of excessive wage increases, the social partners may indeed have a greater interest in high nominal wage flexibility, as this could reduce the fluctuations in employment.[12] However, if there is widespread resistance to general reductions in nominal wages, low inflation may limit the scope for declines in Swedish nominal wages relative to other euro-zone countries. Moreover, to the extent that insider/outsider effects are important features of the wage formation process, EMU membership is even less likely to prompt significant changes. The STEMU committee concluded that only relatively small changes in aggregate wage flexibility should be expected to come about endogenously. Some have suggested that greater flexibility could be achieved through discretionary measures, for example by setting up so-called "buffer funds", but these have a number of disadvantages (see Box 3).

Another frequently voiced concern is that negative structural effects on the wage formation process may arise, because once inside EMU monetary policy can no longer respond to excessive Swedish wage increases and thus deter unsustainable wage increases. The importance of the Riksbank's role as a deterrent depends on the degree of co-ordination in the bargaining process, being strongest with bargaining at the branch level (Calmfors 2002).[13] However, in recent years the Swedish system has *de facto* become less easily categorised with both stronger co-ordination (due to the 1997 Industrial Agreement) and greater scope for wage talks at the enterprise level, and, overall, this has probably already reduced the Riksbank's influence. Moreover, while it is evident that the adjustment to excessive wage increases would be less direct in the EMU, it would be unlikely to have much impact on the structural rate of unemployment unless inflation expectations shift upwards permanently. It could also be argued that the disappearance of the possibility of exchange rate adjustments could have an independent disciplining effect on the wage formation process.

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Box 3. Buffer funds

Buffer funds would accumulate reserves during economic upswings that could be used to pay employers' social security contributions in times of weak demand, allowing employers to thereby reduce their wage costs (*i.e.* an internal devaluation). The main proponent of the buffer funds idea has been the Swedish Trade Unions' Confederation (LO), drawing inspiration from Finland, where buffer funds were set up in 1997. In the Finnish case, an important part of the rationale was to avoid the pro-cyclical changes in the contributions that would otherwise be the result given the institutional separation of the state and the social security funds. This problem is not relevant in Sweden, where social security contribution rates do not vary over the business cycle, *i.e.* the central government holds the marginal risk. If the central government were to provide the means for setting up such buffer funds, several complex issues would arise.

- *First*, when balanced against the size of the problem they are supposed to address, the risks outweigh the possible advantages. If it were deemed necessary to reduce normal cyclical variations in employment, this could be more simply achieved by further strengthening the already sizeable automatic stabilisers (see below).
- *Second*, in the event of a large asymmetric shock (for example, a change in Sweden's output gap of 2 percentage points *relative* to that of the euro area), discretionary action might indeed be warranted. However, the likelihood of such a situation arising is very difficult to assess; it might not happen for many years.
- *Third*, adjustments in social security contributions would need to be quite large to impact significantly on the level of employment in the short term; it might require a reduction of as much as 9 percentage points to raise employment one per cent within a short time horizon (SOU, 2002). Adjustments of this scale would be reckless given the uncertainties involved, including the inevitable difficulty of distinguishing accurately trend from cycle except with some time lag. Operationally, it would be necessary to either set up a mechanical rules-based system or to act on discretion. The first option would resemble a reinforcement of the automatic stabilisers, while the second would involve cumbersome decision-making processes, in particular if the social partners were to be consulted. Partly for these reasons, the STEMU committee did not favour the introduction of buffer funds.

Improving the framework for fiscal policy

The generally held view in Sweden is that the scope for using discretionary fiscal policy to stabilise the economic cycle is limited by the time lags involved both in the political process and in the subsequent implementation, a

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conclusion supported by the STEMU committee (see Annex I). Generally, cyclical variations in output should be countered only through the working of the automatic economic stabilisers. However, the committee argued that discretionary fiscal policy can have an important role in situations with large deviations in output from its potential level. Their proposals on fiscal policy aim: *i*) to improve the efficiency of discretionary measures in situations where large output gaps occur; and *ii*) to further strengthen the automatic stabilisers.

A thorough assessment of the implications for fiscal policy if Sweden decides to join the monetary union is beyond the scope of this chapter, but two observations related to the STEMU committee's recommendations seem worth making.

- The suggestions to rebuild a safety margin under the expenditure ceiling (to absorb cyclical surprises) and to reduce the cyclical variations in the local governments' tax bases are well founded. Both proposals would strengthen the automatic stabilisers without increasing the level of taxes and expenditures; these changes are warranted irrespective of whether Sweden becomes a full member of the monetary union.

- The recommendation to raise the target for the cyclically-adjusted net government lending in order to make more room for stabilising discretionary fiscal measures is less straightforward.

  - F*irst*, the proposed criterion for when discretionary measures are appropriate from a stabilisation point of view (an output gap greater than ±2 per cent) is not entirely logical. Inasmuch as significant symmetric shocks would be countered through monetary policy decisions by the ECB, it would be more natural to define the criterion on the basis of deviations in the Swedish output gap from that of the euro area as a whole.

  - S*econd*, circumstances could arise where two rules would be in conflict, and it is unclear which one would have priority, for example, if the output gap were below –2 per cent of potential GDP and at the same time, the cyclically-adjusted net government lending were below the proposed target of 2½ to 3 per cent.

  - T*hird*, the suggested increase in the general government surplus from 2 per cent of GDP to 2½ or 3 per cent seems rather arbitrary and it is not obvious that a higher target rate is necessary. Studies of the strength of the automatic stabilisers in Sweden suggest that a cyclically-adjusted budget surplus of 2 per cent leaves considerable room for discretionary measures without violating the provisions of the Stability and Growth Pact (Dalsgaard and de Serres, 2000).[14]

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III. Enhancing the effectiveness of public expenditure

Introduction

The Swedish welfare state comprises a fine-mesh social insurance safety net, along with the provision of a broad range of free or almost free public services. This inevitably implies extensive public outlays and a considerable amount of redistribution of income and consumption. Despite the economic burden that these choices impose on the tax-paying public (see Chapter IV), this broad approach seems to enjoy widespread support. Nevertheless, given the challenges facing the country (see Box 4), it is necessary to consider what changes to the institutional framework governing public expenditures and to the design of public policies might help to ease the stress arising from financing the welfare state in the future.

This chapter focuses on the key policy issues and starts by setting out the main features of public expenditure in Sweden and comparing them in an international context. It then examines the institutional settings within which decisions are made about the overall level of public spending and the resources applied to different programmes. Local authorities play a major role in the delivery of public services, and the relations between different levels of government are another issue covered. The following section considers aspects of some of the key programmes that absorb a large proportion of total public resources: education, health, care for the elderly, and social benefits. The roles for instruments, tools and techniques such as benchmarking, user charges and outsourcing are also explored. The final section provides conclusions and policy recommendations.

Public expenditure in perspective

Public expenditure currently amounts to around 52 per cent of GDP, down significantly from its peak of 67 per cent of GDP at the depth of the economic crisis in 1993 (Figure 15). This rapid reduction reflects a combination of dramatically improved economic circumstances and a major consolidation effort to eliminate the general government deficit, *inter alia* by reducing the generosity of social benefits, cutting back public subsidies, reducing net capital outlays and trimming

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Box 4. Challenges and pressures facing public expenditure

In analysing and assessing public expenditure, a number of challenges cut across all types of outlays. The rest of this chapter will deal with specific areas and dimensions, but these can only be effectively addressed against a broader backdrop. These more general considerations are of two broad types.

Policy challenges in optimising the use of public funds

- *Keeping the gains already made.* The deep budgetary crisis of the early 1990s forced Sweden to make a number of important changes to the institutional framework concerning public finances, as well as to scale back a number of programmes significantly. But as public finances have been brought back onto a sound footing, there have been calls for reversing those earlier cutbacks, which underline concerns that the constraints of the budgetary framework may be eroding.
- *Establishing the appropriate level of public expenditure.* Financing government spending inevitably entails economic costs because of the impact of taxation on resource allocation. Although this is a question of how much voters are willing to pay, relatively little empirical work has been done on this subject in Sweden or elsewhere; such research requires reliable information on the true economic cost and benefits of public services and financing them.
- *Getting the best mix of expenditures.* Resources are wasted if the mix of public spending policies does not match the collective priorities of the population or if the policies and programmes chosen are not the most efficient way to achieve the outcomes sought. Although prices make it easy to identify costs and consumer valuation for market-based activities, most public spending is not subjected to market testing. Even though user charges can provide useful signals about preferences, they generally need to be supplemented by other reliable information on peoples' preferences in order to optimise the use of resources.
- *Improving cost and operational efficiency.* Productivity gains are an important part of minimising the burden of public expenditure and maximising economic output. In the absence of marketplace transactions, it is a challenge to develop appropriate incentives on producers to search actively for productivity improvements. Management tools such as performance contracts and performance-related pay can help, but it is important to take account of difficult-to-define service dimensions that are often the reason for public provision in the first place.

Constraints impinging on public expenditure choices

- *Rising real unit costs.* The age structure of public sector employees in education, health and care services is heavily skewed towards older groups. At current relative wages, significant shortages of skilled personnel may arise in the future even if these services are partly contracted out to private sector providers, putting further upward pressure on expenditure.

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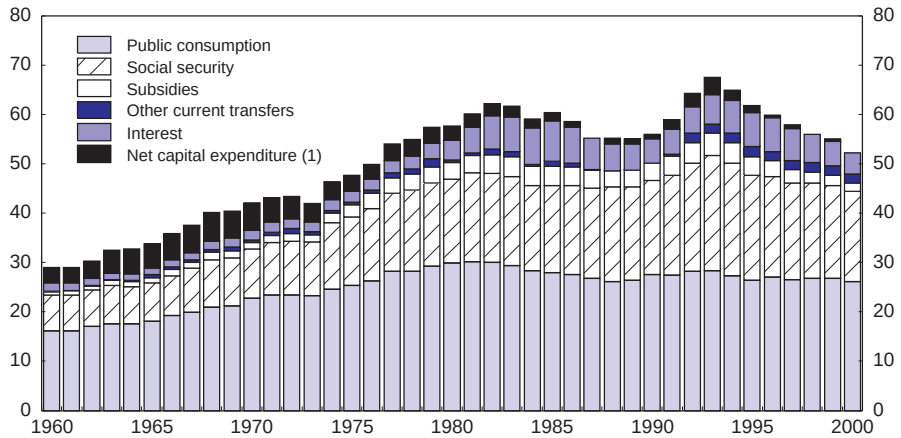
Box 4. **Challenges and pressures facing public expenditure** (*cont.*)

– *Mounting demographic pressures.* Population ageing, other things equal, will generate increased demand and upward pressure on public expenditures on health and care services, even though the public pension regime has been reformed in a way that should ensure that it presents no threat to public finances.

– *Financing pressures.* Despite a significant fiscal surplus and a programme of tax cuts, financing may become increasingly difficult. As well as the negative labour supply effects of high taxes, tax bases are becoming more mobile, while demographic developments will gradually erode revenues.

Figure 15. **Composition of public outlays**

Per cent of GDP



1. Small negative values in 1987 and 1998 are not shown.
Source: Statistics Sweden; OECD, *National Accounts*.

public consumption. Notwithstanding these cuts, Sweden's total current outlays relative to GDP remain the highest in the OECD, as do net cash social expenditures[15] (Table 14). Sweden also stands out as having the highest public consumption ratio of all OECD countries, although once again such cross-country

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Table 14. **Public outlays in OECD countries**
Per cent of GDP, 2000

	Public consumption	Social transfers	Other transfers	Subsidies	Interest payments	Current outlays	Net cash public social expenditures[1]
Australia	18.8	8.5	1.9	1.0	2.2	32.5	18.4
Austria	19.4	18.8	2.2	2.6	3.5	46.5	26.0
Belgium	21.2	14.2	2.1	1.5	6.8	45.7	28.6
Canada	18.3	–	10.8	1.1	7.2	37.4	19.0
Denmark	25.1	17.1	2.5	2.2	4.2	51.1	30.8
Finland	20.6	12.1	6.4	1.5	2.9	43.5	28.9
France	23.3	18.0	1.6	1.3	3.3	47.4	–
Germany	19.0	18.8	1.7	1.7	3.4	44.5	27.8
Greece	15.5	16.3	8.3	0.2	8.4	48.7	–
Ireland	13.4	8.2	2.0	0.7	2.1	26.4	19.3
Italy	18.0	16.7	1.3	1.2	6.5	43.6	26.6
Japan	16.7	10.0	0.9	0.9	3.3	31.9	14.9
Netherlands	22.7	11.9	1.6	1.5	3.9	41.7	22.7
Norway	19.0	13.9	1.9	2.2	2.3	39.3	27.6
Portugal	20.1	12.1	2.4	0.9	3.1	38.6	–
Spain	17.4	12.3	1.3	1.1	3.3	35.4	–
Sweden	**26.2**	**18.3**	**1.8**	**1.9**	**4.3**	**52.4**	**31.3**
United Kingdom	18.6	13.3	2.3	0.4	2.8	37.4	23.4
United States	14.4	10.6	–	0.4	3.7	29.1	15.5
Average, unweighted	19.4	15.2	2.9	1.3	4.1	40.7	–

1. *Memorandum item*, as a per cent of GDP in 1997, net of direct taxes and social contributions which are paid on income benefits in some countries but not others.

Source: OECD; Adema (2001).

comparisons should be interpreted with caution, allowance should be made for differences in demographics on demand for public services, and variation in the instruments used to achieve public policy goals in different countries.

Sweden's spending reflects social priorities, as highlighted in the latest Spring Fiscal Policy bill, which sets out the degree of redistribution achieved through transfers and subsidised public services, as well as through the tax system (see Annex II). In 1999, the top 20 per cent of households had 8.4 times the disposable income of the lowest 20 per cent, but once public spending is taken into account, the ratio is reduced to 2.3 times. Net cash public social expenditure, as measured by the OECD's social expenditure database, amounted to 32 per cent of GDP, with old-age cash benefits amounting to more than one quarter and health close to another quarter (Figure 16). This high level of spending by OECD standards reflects both generous benefits and wide coverage of the social safety net. Sweden also has a higher proportion of the population over 65 years than virtually all other countries, which would result in a higher proportion of GDP being allocated to this age group, all else being equal.

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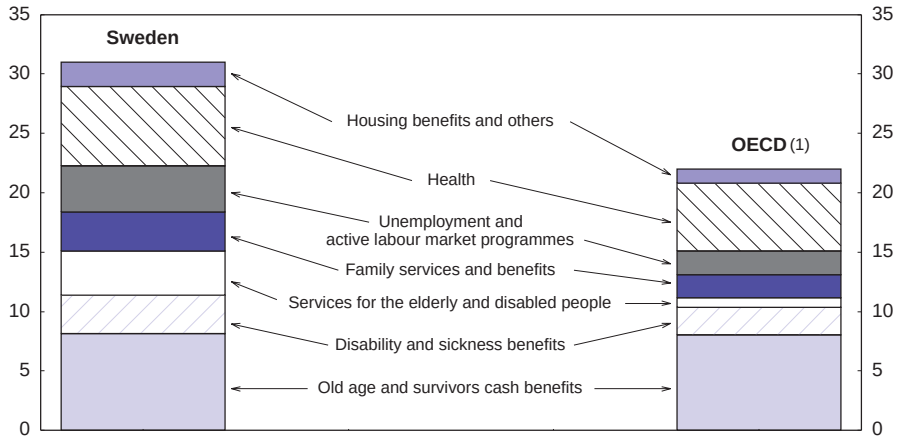
Figure 16. **Composition of publicly-funded social expenditure**
1998, per cent of GDP



1. Unweighted average, 28 countries.
Source: OECD, Social expenditure database.

Sweden has a very decentralised approach to public consumption of services, with municipalities responsible for childcare, non-tertiary education, and care services for the elderly and disabled; county councils are responsible mainly for health care (Figure 17). Overall, general government services provided under local authority control amount to around 23 per cent of GDP, a proportion surpassed only by Denmark. Swedish local authorities also have more extensive taxing powers than in any other OECD country, with taxes on earned incomes providing the main tax base. Local direction of a wide range of matters is a long established tradition. Successive amalgamations have resulted in the present structure of 289 municipalities[16] and 20 county councils.

Institutional arrangements and the policy-making process

Strengthening the central budget process

Major reforms have been made to the institutional framework and process governing central government expenditure since the crisis of the early 1990s. The present budget process, in place since the budget for 1997, has instituted top-down control of outlays: Parliament approves a ceiling for total expenditure, and the budget envelope for each of 27 different expenditure areas. As a further move

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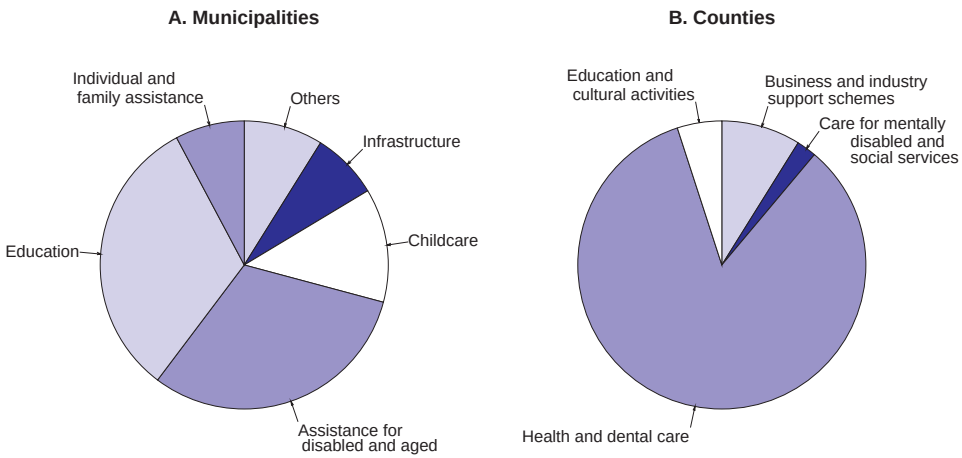
Figure 17. **Composition of local expenditures**
2000, per cent of total



Source: Statistics Sweden.

to enhance expenditure management and control, the government is planning to shift to accrual budgeting starting in 2004,[17] which will provide clearer information about the true resource cost of spending decisions.

The expenditure ceiling approach has provided a key tool in constraining the growth of total central government spending, excluding debt servicing. The ceilings are set by Parliament on a rolling three-years-ahead basis,[18] and are codified in the budget law. Although they are only a guideline decision, and can be changed simply by a new decision by Parliament, the present government has repeatedly signalled its commitment to them and other political parties have also shown strong support. Parliament first takes a decision on total government spending, then how it will be allocated to each of the 27 expenditure areas. Both the expenditure ceilings and the top-down budget bill approach are deliberately designed to encourage Parliament to make trade-offs among alternative spending priorities, instead of simply raising higher taxes to finance new expenditures.

The expenditure ceilings have shown clear signs of strain in recent years; even though the ceilings themselves have been technically respected each year, the safety margins originally provided have been steadily eroded. Already in 1998, actual expenditure was only SEK 2 billion under the ceiling, and in 1999

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Table 15. **Expenditure ceilings**
Billion SEK

	1997	1998	1999	2000	2001	2002	2003	2004
Expenditure ceiling[1] (1)	723	720	753	765	791	809	844	878
Expected outlays[1] (2)	708	702	731	764	788	807	842	871
Actual (3)	699	718	752	760	785			
Ex ante safety margin (1 – 2)	15	18	22	1	3	2	2	7
Actual minus ceiling (3 – 1)	–24	–2	–1	–4	–6			
Actual minus expected (3 – 2)	–9	+16	+21	–4	–3			
of which:								
Macroeconomic assumptions	1	–6	–15					
Discretionary spending increases	7	26	41					
Discretionary savings	–4	–1	–7					
Residual	–13	–3	2					

1. Data for 1997 to 1999 are from the spring budget 1996, while those for 2000 to 2003 are from the 2001 budget. The numbers for 1999 have been adjusted for a technical effect related to the reform of the old-age pension system.
Source: SOU (2000a); Ministry of Finance.

the gap was down to SEK 1 billion (Table 15). These results arise despite the favourable effects of strong economic growth and unusually low inflation. This "good fortune" was redistributed to other programmes. Now there is virtually no room left for actual outlays to exceed budgeted levels in 2002 without breaching the ceiling (see Chapter II). Furthermore, there has been increasing recourse to tax expenditures, most notably with further abatement of social insurance contributions in category A development areas and general tax relief to municipalities (to be distributed in proportion to their employment in 2002). These measures, amounting in total to SEK 3.8 billion channel additional expenditure to local authorities and companies respectively. Delivering such increases through the tax system rather than through the outlays side of the budget damages the credibility of the expenditure ceilings themselves and undermines their role in forcing the government to prioritise expenditure within an overall constraint.

The experience with the expenditure ceilings suggests that although they have undoubtedly provided stronger expenditure control than the previous system, they need to be strengthened in order to more effectively restrain the political pressures to raise public spending. The planned switch to accruals-based budgeting in 2004 provides a timely opportunity to reshape the policy approach into a more effective instrument. Another important tool is the proposed minimum size of the safety margin planned for introduction from 2005. Beyond that, a useful starting point in establishing a better system for overall expenditure would be to recall the three main objectives that motivate such rules, namely: *i*) to constrain overall

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expenditure so as to minimise the damaging economic effects of high taxes, without accumulating public debt; *ii*) to force a prioritisation of expenditure and eliminate low-priority programmes; and *iii*) to place downward pressures on costs.

Under the proposed accrual budgeting framework, a separate ceiling could be developed to cover operating expenses and non-entitlement transfers. This could then be established on a 3-year ahead basis as a hard budget constraint and even placed on a clearly specified downward path, if Parliament wished to go further in reducing the expenditure burden, to provide scope for tax cuts or more room to manoeuvre later *inter alia*, in responding to ageing pressures. A strict limit is more difficult to apply to entitlement expenditures: the government can estimate spending in the out-years but not cap it without legislative changes. This distinction could be acknowledged by operating a separate entitlements ceiling with a significant safety margin that could not be reallocated to non-entitlement expenditures if unspent. This margin would *inter alia* provide room to absorb fluctuations in the economic cycle. However, an appropriate balance needs to be found: introducing too many fiscal targets may reduce their strength and also complicate the budget process.

Expenditure trade-offs are already made under the present approach, but the windfall gains on entitlements have considerably eased the effective pressure to prioritise. One option might be to require that each new spending proposal be accompanied by proposals to cut elsewhere to focus the attention on trade-offs and prioritising among expenditures at the margin. This approach might also provide a counterweight to the tendency for the political process to generate upward pressures. But to work well, such savings proposals need to be concrete and credible. Another tactic adopted by some OECD countries is to enhance transparency and more systematically draw linkages between spending proposals and their tax impact. This approach is intended to encourage citizens both to place more downward pressure on outlays and to more clearly and knowledgeably signal their priorities and willingness to pay through the political process.

The ceiling can also be used to encourage the public sector to "do more with less", which could provide a rationale for building a downward bias into the spending limit. The appropriations for operating expenditures are currently indexed to the difference between wage developments in the manufacturing sector and the 10 year moving average of productivity growth in the private services sector. However, this confronts the question of the extent to which a "productivity dividend" can be squeezed out simply by reducing funding, the risk being that service dimensions may be cut instead. It is at least evident from experience in other countries that productivity gains are more likely to be achieved when reinforced by clearly specified outputs and appropriate incentives on management performance. Nonetheless, in this context, an explicit prioritisation approach would provide some protection against cutbacks that compromise quality or quantity, by providing the option of re-instituting a higher budget allocation after careful scrutiny of the actual expenses involved.

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Re-balancing the envelopes

With the advent of accrual accounting, management of the state sector has undergone significant reform. The budget has already been organised into 27 expenditure areas so as to shift away from inputs budgeting to concentrating on policies and outcomes, and to provide a closer alignment between the objectives and performance of government agencies and their financial resources. Parliament decides on the amount to allocate to each of these areas, which in principle provides a mechanism for reallocating between the different policy areas. However, the definition of expenditure areas depends on the committee structure in the Parliament and in the 2002 budget the 27 categories vary in size from SEK 1 billion for "working life" to SEK 108 billion for "financial security for the sick and disabled". This suggests that the prioritising exercise may be lopsided, with undue time spent on a few smaller spending areas at the expense of sufficient attention being paid to the allocation of significantly greater resources within the larger areas. In addition, the reallocations might be more effective if a comprehensive assessment of priorities within each of the larger envelopes were periodically undertaken, to supplement the present approach, which only reallocates at the margin. Simultaneous review of all spending programmes could also help to curb tendencies of the welfare state to "overshoot" the spending and taxation preferences of the people as a whole (Lindbeck, 2001).

Exercising firmer control over state agencies

The Swedish model for state administration was established in 1634 and makes a clear distinction between ministries, whose role is preparation, planning and co-ordination, and independent agencies charged with carrying out responsibilities under a written mandate from the relevant minister. Currently there are 10 ministries and the Prime Minister's office, which collectively form the Chancery. Apart from the Ministry of Foreign Affairs, the Ministries are generally small and together employ only around 2 000 to 2 500 persons.[19] In contrast, there are around 300 agencies employing about 250 000 civil servants (Larsson, 2001). This organisational structure receives widespread support, and Parliament has resisted all attempts to establish implementation functions within Ministries themselves (Rexed, 2001). However, from an expenditure point of view, this may no longer be entirely satisfactory, as the shift towards greater managerial freedoms and client orientation over recent years has replaced some of the earlier input-based constraints on agencies' operations.

The government's ability to direct these agencies through their mandates now depends more on setting targets and measuring results. Yet it is a difficult exercise to identify appropriate and measurable performance indicators and it is even harder when there are principal-agent problems involved. The government's priority is outcomes, whereas the agencies are created to deliver certain outputs.

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Managing conflicts in objectives and getting a better alignment of incentives with objectives and, thus, more efficient use of public resources requires ministries as supervisory bodies to be able to overcome the significant information disadvantage that they face compared with the agencies. They also need to have sufficiently high calibre teams, which are appropriately organised to carry out effective monitoring and control. To complicate the picture, the trend away from a rules-based administration to a "citizen-centred" organisation has made it more difficult to hold the agency head accountable for performance, and it would appear that it is difficult for the government to remove a director-general that fails to deliver the performance expected. More generally the process of appointing senior managers to agencies is an identified weakness of the system. The appointments are made by Parliament, formally according to criteria such as tenure and skills, usually for six years.[20] In practice, filling these posts has become political and controversial (Larsson, 2001). However, since the agencies play an administrative role in implementation rather than designing policy itself, the skills and experience of senior managers should match closely the operational tasks required.

Agencies are entitled to set their own wages, and their annual budget allocation is calculated on the assumption that wages increase at the same rate as the private sector average. In principle, an agency that awards higher wages must find offsetting savings elsewhere in their budget. In practice, some agencies with "case-load" based costs are able to hold the government hostage under these arrangements. The National Courts Administration provides an illustration. It recently awarded high salary increases to judges and offset this by reducing court capacity, producing a growing backlog of cases waiting to be heard. The judges themselves argue that the government reduced capacity by not providing the necessary additional funding, while at the same time they have opposed government proposals to make efficiency improvements through streamlined procedures and a reorganisation of the number of courts to gain economies of scale. As a result, the government finds itself with higher unit costs, upward pressure on overall outlays and a lack of an effective instrument for obtaining efficiency improvements.

Decentralised responsibilities and intergovernmental relations

With the ability to set their own income tax rates, Swedish local authorities have the scope to choose the mix of services and match that with local revenues,[21] rewarding efficiency gains in service provision with lower tax rates or expanded activities. Conversely, a municipality can sustain inefficiencies through a higher tax rate as long as the residents are willing to pay: the capacity for Swedish residents to "vote with their feet" is limited in practice by the rigidities of the housing sector (see Chapter IV). There has been a conscious effort to develop high-quality information to enable citizens to benchmark the performance of their administration against others. For example, the Swedish Association of Local Authorities compiles "What

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do programmes cost in your municipality?" and has also developed a method for municipalities to use to assess the views of its citizens on municipal operations. The Federation of County Councils has undertaken a similar initiative. Efforts over recent years to upgrade the quality of financial information and accounting standards have also helped to improve the quality of comparisons. In addition, the decentralised Swedish approach provides scope for innovation and experimentation. Individual authorities that wish to establish different delivery mechanisms or approaches to management have complete freedom to do so, unless and until the state places restrictions on them. This has included a move away from an inertial, inputs-based approach for allocating expenditure to a prioritisation on the basis of outputs, either by "needs-based budgeting", which establishes objective criteria for assessing the need for services, or *via* a purchaser/provider model for encouraging competition and enhancing efficiency.

In addition to redistribution of resources through the equalisation transfer system (see Annex III), all municipalities and county councils also receive general state grants to enable them to carry out their mandated tasks. These grants are mainly calculated on the basis of the number of inhabitants, although a small part (less than 10 per cent for 1997 to 2004) are based on the age structure. Until 1992, 90 per cent of the value of grants were earmarked, with extensive regulation over the way the money could be spent. But it was concluded that this led to an inefficient use of local resources and inhibited innovation; block grants would be more appropriate, except for activities where local governments are primarily acting as agents for the state, for example, in labour market policy. Currently some 25 per cent of total grants remain earmarked. Nevertheless, the local authorities provide a range of services in which the state has a legitimate interest, and to control this, the state uses two main devices: legislation that obliges local governments to provide specific services, and state monitoring and performance evaluations.

There is an inherent tension between the priorities of the state and the choices made at the local level in any decentralised system of government, as can be seen in the ongoing debate in other countries about whether certain grants should be earmarked or untied according to central priorities or dissatisfaction with the choices made by certain local authorities (for example in Italy, OECD, 2002a and the United Kingdom, OECD, 2002b). In Denmark, micro-management of local authority spending by the state has become a significant concern (OECD, 2002c). By comparison, the Swedish arrangements are much simpler, more clearly defined and less contentious. However, there are two areas where central government has recently sought to rein in the freedom of local authorities:

– The first is in the disposal of public housing, where it has prevented councils from selling housing stock and using the proceeds to fund operations (see Chapter IV). It should be noted that this housing stock was built using extensive subsidies from central government.

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– The second and more significant area for public expenditure has been the constraints placed on user charges for child and elderly care, imposed in the last budget. The particular concern motivating the introduction of maximum charges in these two areas was the degree of dispersion of the charges being levied by different municipalities. In the case of childcare, high charges were undermining labour supply objectives at the national level.[22] For care of the elderly, wide variation in user charges is considered inequitable.

Assessing expenditure and outcomes in selected areas

It is beyond the scope of this *Survey* to provide a comprehensive assessment of how well spending policies and programmes are performing in delivering good outcomes that enhance the welfare of Swedish residents to the greatest extent possible. This section provides a selective analysis of several spending areas – childcare and schooling, tertiary education, health, care for the elderly and social insurance – which account for a large proportion of public outlays. Many important reforms have been put in place and in some cases, a full and complete assessment of the outcomes achieved cannot be made until several more years have passed because of transition effects, even though initial results are promising. This section focuses on the remaining points of pressure and weaknesses that may need further attention to find ways of achieving even better results.

Childcare and schooling

The government has instituted important reforms in the organisation and funding of schools and childcare in the past decade (see Box 5). The shift to an outputs-oriented approach for managing the state's interest reflects a model for local school management that appears to have indeed delivered significant benefits in promoting better organisation and management of resources, while making transparent and reinforcing the state's role in ensuring quality and standards of results. Allowing school choice has been a difficult issue for many countries, and the Swedish approach seems to rather elegantly avoid the most important concern, that private schools would be able to deliver better results by "cream-skimming" the best pupils or having a stronger financial base. It is too early to fully evaluate the success, since the system is clearly still working through an adjustment process, with rapid growth in private schools. Nevertheless, there is a clear demand from parents for places in independent schools. Initial evidence suggests that independent schools have not had an adverse effect on the performance of public schools[23] (Bergström and Sandström, 2001). The recent reforms to improve access to pre-school childcare for all children including those of non-working parents and to establish free pre-school classes for all 4 and 5 year olds are particularly important and positive measures given the very high social returns

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Box 5. Reforms for better management and greater choice

Major reforms have taken place in education in the past decade embodying three major changes:

- There was a shift from detailed state control of inputs *via* earmarked grants to an outputs-oriented approach with the curriculum and syllabus for each subject established at the central level, while devolving all responsibility for delivery to municipalities, with funding via the block grant.
- Parents were given the right to choose their children's school. Concurrently, independent schools can be established on the approval of the National Agency for Education. Municipalities are obliged to provide funding to independent schools, while the schools are required to be open to all pupils and are prohibited from charging tuition fees. These reforms have led to a rapid increase in independent schools, with some 350 in the 2000/01 school year, covering around 3 per cent of all pupils. The distribution of private schools across municipalities is currently quite diverse: around half all municipalities have no independent schools at all, while, at the other extreme, one municipality has almost 20 per cent of its pupils in independent schools.
- Responsibility for childcare (pre-school and after-school) was shifted from the Ministry of Health and Social Affairs to the Ministry of Education in order to strengthen the integration of care and education. From 1998, municipalities were obliged to offer pre-school classes (usually around 3 hours per day) to all 6 year-olds. From 1 January 2003, free pre-school classes will be offered to all 4 and 5 year-olds (Compulsory schooling is from age 7 to 15).

that can be obtained from investing public resources in high quality early childhood education and care (OECD, 2001a).

Sweden's education scores quite well by international standards, as measured by the PISA international comparisons[24] of average reading, science and mathematics performance of 15 year olds, ranking 7th, 8th, and 11th among 28 OECD countries in each of these areas (OECD, 2001b). In assessing performance it is also relevant to examine the spread of results and Sweden seems to have been particularly successful in reading literacy, since its weakest 5 per cent of students still read at least as well as the least competent in several other countries that have better average skills, and well above the average for the 5th percentile across the OECD as a whole. However, the PISA study shows a wider range of performance across science, especially mathematics, where 13 countries deliver better absolute scores for the bottom 25 per cent of pupils. In any case,

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Table 16. **Student performance and educational cost**

	Reading	Science	Math	Average	Cumulative expenditure	
					$ PPP	Ratio to GDP per capita
Japan	522	550	557	543	53 255	2.17
Korea	525	552	547	541	30 844	1.94
Finland	546	538	536	540	45 363	1.99
Australia	528	528	533	530	44 623	1.83
United Kingdom	523	532	529	528	42 793	1.92
Ireland	527	513	503	514	31 015	1.23
Austria	507	519	515	514	71 387	2.90
Sweden	**516**	**512**	**510**	**513**	**53 386**	**2.32**
Belgium	507	496	520	508	46 338	1.91
France	505	500	517	507	50 481	2.31
Norway	505	500	499	501	61 677	2.23
United States	504	499	493	499	67 313	1.99
Denmark	497	481	514	497	65 794	2.50
Germany	484	487	490	487	41 978	1.78
OECD average	500	500	500	500	–	–

Source: OECD (2001), Programme for International Student Assessment (PISA).

this performance seems to come at a relatively high cost: of countries returning better average results than Sweden, only Austria spends a higher ratio of cumulative education spending to GDP per capita for barely better results, while several others deliver stronger educational attainment for significantly lower spending ratios (Table 16).

In another perspective on educational competence, it is estimated that some 10 per cent of pupils leave compulsory school without meeting the required standard in basic skills. This prevents them from moving on to the national or specially designed programmes in upper secondary school, which are the main study paths for further education and which provide eligibility to continue on to the tertiary level. Failure to successfully complete compulsory education also leaves young people at a disadvantage if they wish to directly enter the labour market. Another concern is that almost a quarter of upper secondary students do not complete their studies within four years, even though courses are designed to span three years. Of those who do graduate from upper secondary school, the number of students who have the right qualifications and interest in continuing their studies in engineering or sciences at tertiary level is not sufficient to fill the available student places: only half of those who complete the science programme at upper secondary school continue those subjects at university. The government has instituted additional preparatory courses for natural science and technology and intends to extend this approach, with the specific goal of raising the numbers

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pursuing university studies in these disciplines. At the same time, the return on the resources invested in vocational courses at upper secondary school is undermined by the fact that only half of those who obtained their qualification were employed in that profession or studying, one and a half years after leaving school, although the reasons for this remain somewhat unclear.

Despite the success of the reforms to date and improvements in the delivery of education over recent years, more could be done to raise the overall productivity of the sector in order to maximise the results obtained from the resources devoted to education. Sweden's spending per pupil each year looks rather high in comparison with other OECD countries, particularly for primary education, although this may to some extent reflect the inclusion of some cost items, such as school meals, which are provided free in Sweden, whereas parents pay some or all of these costs in a number of other countries, and more expensive school transport and building requirements due to geography. Teachers salaries do not appear high either by international standards, or compared to other occupations (Table 17). The teacher-pupil ratio is one of the lowest in the OECD at the primary level (Figure 18), although there appears to be a rather large gap between the ratio and typical class sizes.[25] The reason for this is unclear, and it may reflect the use of teachers for concentrated work with students in particularly difficult situations. It would be helpful to more closely investigate the reasons for this phenomenon, especially given the recent public debate about class sizes.

As a further challenge to the management of resources, the demographic bulge[26] currently passing its way through the system will need to be managed efficiently, especially given the expected retirement of a large proportion of teachers. Increasing the number of training places for teachers to meet all the shortfall may not be the optimal solution, since the increased demand is temporary. Instead, more effort will be needed to retain teachers to a greater extent and to ensure better utilisation of the qualified teachers in the system as a whole. Increased financial rewards targeted at experienced teachers nearing retirement might be worth considering, especially since major teacher shortages would probably lead to higher wages in any case. It would also help if there were sufficient flexibility to shift resources from one part of the education sector to another as the largest group of students age. Another option might be to re-examine after-school day-care, where an increasing proportion of staff is tertiary-qualified and where scarce skilled teaching resources may be under-utilised. More extensive use of good quality technology-assisted learning might provide some additional scope for easing the potential shortage of teaching resources, although the potential here should not be over-estimated.

Efforts could also be made to truncate the educational process by lifting the pace of education, by increasing the number of hours per year spent in instruction towards international averages, and shortening the overall years of

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Table 17. **Teachers salaries in selected OECD countries**

	Starting salary US$ PPP	Ratio to Swedish salary	Ratio starting salary to GDP per capita	Ratio salary after 15 years to GDP per capita	Wage premium for 15 years experience
			Primary		
Sweden	**18 581**	**1.00**	**0.81**	**1.07**	**1.32**
Australia	25 661	1.38	1.04	1.50	1.44
Denmark	28 140	1.51	1.07	1.24	1.16
England	19 999	1.08	0.89	1.38	1.55
Finland	18 110	0.97	1.08	1.29	1.19
Germany	29 697	1.60	1.26	1.53	1.21
Ireland	21 940	1.18	0.85	1.38	1.62
New Zealand	16 678	0.90	0.91	1.78	1.95
Norway	22 194	1.19	0.78	0.91	1.17
United States	25 707	1.38	0.76	1.03	1.35
			Lower secondary		
Sweden	**18 704**	**1.00**	**0.82**	**1.07**	**1.30**
Australia	26 638	1.43	1.08	1.50	1.39
Denmark	28 140	1.50	1.07	1.24	1.16
England	19 999	1.07	0.89	1.50	1.69
Finland	20 394	1.09	0.89	1.23	1.38
Germany	33 196	1.77	1.41	1.63	1.16
Ireland	23 033	1.23	0.89	1.39	1.56
New Zealand	16 678	0.89	0.91	1.78	1.95
Norway	22 194	1.19	0.78	0.91	1.17
United States	25 155	1.34	0.74	0.99	1.34
			Upper secondary general education		
Sweden	**20 549**	**1.00**	**0.90**	**1.15**	**1.28**
Australia	26 658	1.30	1.08	1.50	1.39
Denmark	29 986	1.46	1.14	1.52	1.33
England	19 999	0.97	0.89	1.50	1.69
Finland	21 047	1.02	0.92	1.29	1.40
Germany	35 546	1.73	1.51	1.77	1.17
Ireland	23 033	1.12	0.89	1.39	1.56
New Zealand	16 678	0.81	0.91	1.78	1.95
Norway	22 194	1.08	0.78	0.91	1.17
United States	25 405	1.24	0.75	1.07	1.43

Source: OECD (2001c).

schooling. Schooling tends to be a somewhat drawn-out process in Sweden, with children spending on average more years in full and part-time schooling than in any other OECD country.[27] This means that Swedish students generally leave education later than in most countries, which is also an issue for labour supply (see Chapter IV). At the same time, the annual hours of instruction are generally lower than elsewhere: for example, Swedish 12 to 14 year olds spent less time in

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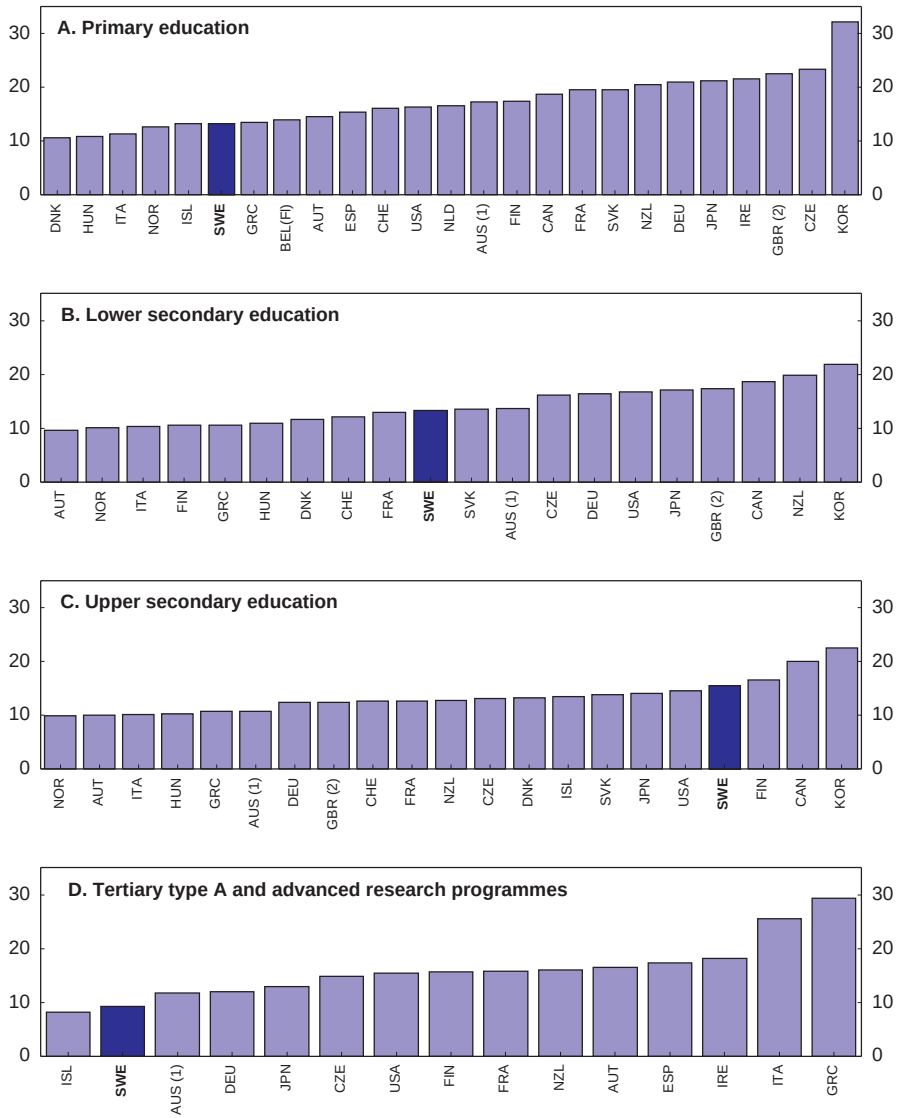
Figure 18. **Ratio of students to teaching staff**
1999, public and private institutions, full-time equivalents



1. Includes only general programmes at lower and upper secondary education.
2. Includes only general programmes at upper secondary education.

Source: OECD.

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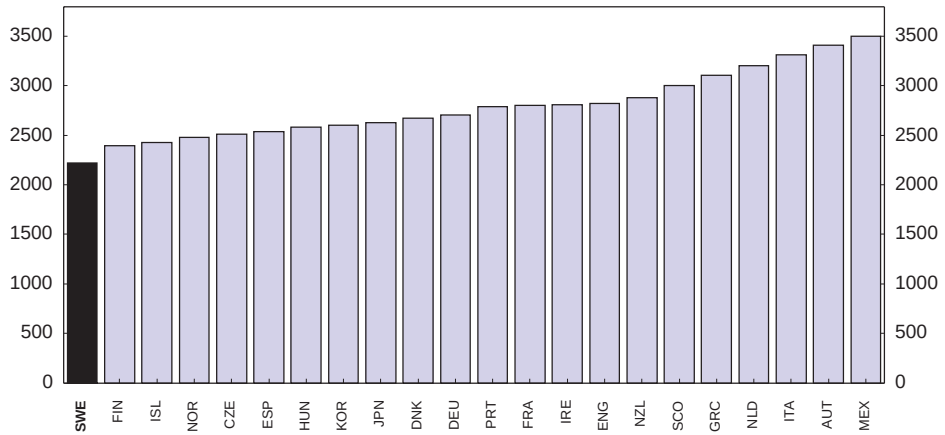
Figure 19. **Intended instruction time**

Hours per year for students 12 to 14 years of age[1]



1. Averaged over the relevant three years of schooling; 1999.
Source: OECD.

instruction than in any other OECD country (Figure 19). However, with the high take-up rate of after-school care, there may also be some scope for adjusting the balance between instruction time and after-school care. In strengthening the foundations for future learning, the introduction of pre-school classes for 4 and 5 year-olds could provide an opportunity to reassess the pace of subsequent progression through schooling and facilitate bringing forward the age of completion.

Improving the productivity of the education sector also requires concerted efforts to maximise the learning benefit generated by each krona spent. This needs to be based on extensive information on the standards achieved in each year of education. In autumn 2001, the National Agency for Education started publishing the results for each school of the 9th grade standard tests, together with results for the commune and the country as a whole. This is a good first start, but to pinpoint the value-added of the classroom, and most importantly to identify the best techniques and the optimal use of available resources, more comprehensive testing is needed. This would also help considerably in clarifying the impact of such important matters as class size on results.[28] While this sounds ambitious, a high quality national testing programme could be established for a very small sum in the context of overall educational budgets (Hoxby, 2002b). This could also help to identify why Sweden appears to be relatively weak in mathematics and science and currently unable to deliver consistent, high performance

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by international standards, or the number and quality of graduates consistent with national goals.[29] This might be a more cost-effective long-term strategy than the present approach of adding additional remedial classes to bridge the gap between upper secondary and tertiary courses.

Tertiary education

Providing additional resources to boost access to tertiary education has been a high priority for the government. Swedish tertiary institutions are almost 90 per cent publicly funded, in contrast to the OECD average of just over 75 per cent and countries such as Australia, Canada, Japan and the United States, where the public funding covers around half of institutions' expenditure. A major reform to the funding arrangements was put in place in 1993, with the aim of encouraging institutions to tailor the courses they offer to the demand from students and to maintain high performance standards. Under this voucher-type system, each institution receives an educational "assignment" which specifies the minimum number of degrees to be awarded over a 4 year period (including specific professional degrees where appropriate), the minimum number of full-time annual student equivalents and the maximum total remuneration to be provided (including for annual performance achievement). Within this framework and with some restrictions, the institutions can reallocate their resources between courses as they see fit.

The number of tertiary students has increased by more than 50 per cent over the 1990s. But there is still substantial excess demand, with only just over half of the applicants being offered a place in autumn 2000: some programmes receive ten applications for each place, while others could not find students for all available slots. It has been particularly difficult to fill places in natural sciences and technology, and institutions have been encouraged to compensate with additional places in arts, social sciences and law instead. Of those who gain places, the median age is almost 23 years old, which partly seems to reflect the nature of the national admittance process.[30] The current entry procedure not only encourages students who miss out on a place to pursue further courses as an adult student at upper secondary school, in an attempt to raise grade averages and increase their access chances,[31] but also tends to encourage irrelevant study because of efforts to raise grades *per se* rather than concentrating on those courses most relevant to the future course of study (Brandell and Kim, 2000).

Once in university, the study process seems to be rather drawn out. The average years of study required to obtain a qualification has increased from 2.7 years to almost 3.7 years during the 1990s, as the requirement for a number of degree programmes have been extended to four years.[32] Nevertheless, only around a third of new students are enrolled in a professional degree programme and it is hard to identify how many of the remaining students intend to complete a general degree, since universities in Sweden also provide a significant amount of

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lifelong learning. However, only two-thirds of the professional degree programme students had completed their degree after 7 years. This may be attributable in part to the still relatively weak economic incentives for students to complete their studies in a reasonably timely manner. Students pay no tuition fees at all, while in the 2001 academic year, full-time undergraduate students could receive SEK 64 700 in grants and loans (around 27 per cent of the average production wage), with additional study support for certain groups. Support is also generous in duration as students can continue receiving it for a maximum of six years at university, regardless of the subject studied, although they also need to maintain grades to continue qualifying for study finance. It has been argued that generous student support is necessary to compensate for a quite compressed wage structure,[33] but at the same time, the generous support reduces the incentive for students to complete studies in the most expeditious manner.

Addressing the outstanding problems of excess demand for places and boosting effective participation in tertiary education might be helped by building stronger price signals into the system. Having students pay even modest tuition fees would complement the current voucher-type arrangements used to fund the institutions and provide additional incentives for students to choose their courses carefully and complete their coursework more quickly. Private participation in the costs of tertiary study is generally considered justified by the high private returns that accrue to such education, as long as safeguards are in place to ensure that able students are not excluded on economic grounds (OECD, 2001c). Indeed, experience with imposing tuition fees in other countries suggests that there is little adverse effect on participation, particularly in the presence of student loans (OECD, 2001d). It should also be noted that those countries where students have to contribute to their tertiary expenses also show some of the highest take-up rates. It could also be appropriate to review the system by which students earn the right to a voucher, which is currently conditional on winning a place at a specific institution.[34] It could also be useful to limit the duration of the voucher to, say, one year more than the minimum years of study required for the course chosen; this would encourage students to complete their studies expeditiously.

Health care has been restructured

Swedes are in relatively good health, despite an older age structure, rating well on lifestyle factors that would normally be associated with higher health care expenditures (Figure 20). The Swedish health care system provides universal coverage and is integrated, *i.e.* physicians, including general practitioners, are employed by the county and receive a salary. Public funds covered around 84 per cent of total health care expenditures, a decline of almost 10 percentage points since 1980. Despite an ageing population, per capita expenditures remain relatively modest, towards the lower end of comparable countries

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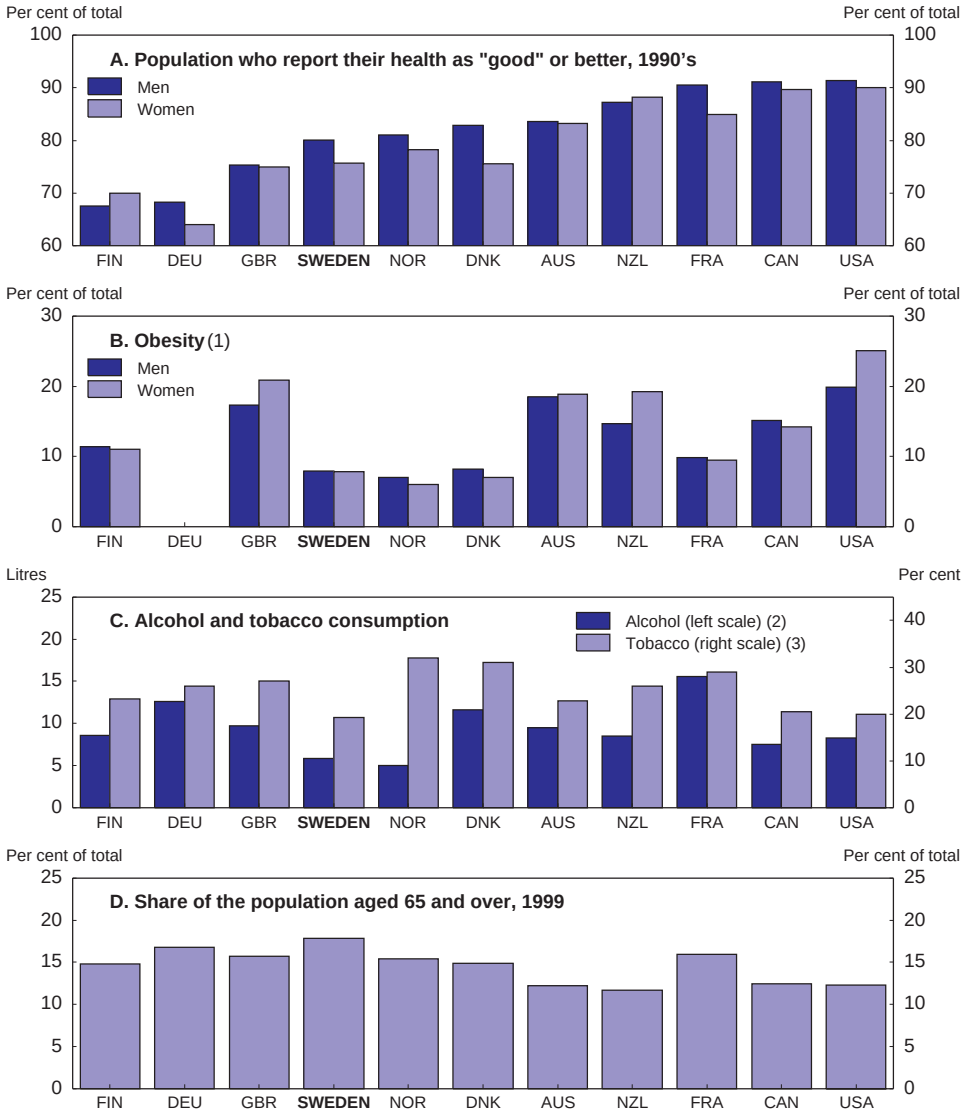
Figure 20. **Health status indicators**



1. Measured as body mass index over 30 per cent, population aged 15 years and over; latest year available.
2. Alcohol consumption per person, population 15 years and over; late 1990s.
3. Self-reported proportion of daily smokers; persons 15 years and over; latest year available.

Source: OECD, Health database.

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(Figure 21). Acute hospital admittance is around the average for OECD countries, while the length of stay is around 20 per cent shorter. In addition, Swedes consult doctors less than half as often each year as patients in other countries. This may reflect the traditional preponderance of hospital-based consultations with specialists and an under-developed primary care network. It may also reflect the relatively important role played by nurses in primary health care: they carry out a range of tasks normally done by doctors in other countries (Or, 2002).

To some extent the health care sector is still in a state of transition (see Box 6). Given the system's decentralised nature, some counties are more innovative than others, and best practices take time to spread throughout the country. This process would be facilitated by more comprehensive and rigorous evaluation and follow-up of changes implemented (European Observatory on Health Care Systems, 2001). There have also been some problems with conflicting approaches, for example, giving patients greater choice and establishing purchasing organisations, which may then find they have entered into contracts which do not match what local patients want. There is also a widespread belief that the quality of purchasing can be poor in part because of inadequate monitoring (Rehnqvist, 2002).

It is not clear to what extent the apparent public misgivings about the performance of the Swedish health care sector are justified. To the extent that it is possible to assess, the system delivers good medical outcomes, for example, Sweden has the highest breast cancer survival rate of OECD countries for which data is available. In any case, more systematic information linking outcomes and costs would either dispel doubts or pinpoint where improvements are necessary. The national quality registers designed to disseminate valuable information about clinical performance could provide a structure for also collecting high-quality cost data. At the county level, more could be done to demonstrate that existing resources are being applied in the most efficient way. Until more comprehensive information is available, it would be unwise to conclude that the sector is under-resourced and in need of more public funding.

It will be a further challenge as the elderly proportion increases to obtain higher productivity in health services and to find a mechanism that establishes the appropriate level of public health service provision, priorities for treatment and the extent of patient co-payment. The potential impact of an ageing population can be seen in the age distribution of days spent in hospital, which accelerates sharply at around 60 years of age, although the rate of increase has become less steep since 1994 (Figure 22). Projections of the evolution of health care expenditures due to ageing are complicated by a number of uncertainties including whether health improvements are increasing faster than life expectancy (*i.e.* the degree of compression of morbidity) and the scope for productivity improvements (Lagergren and Batljan, 2000). One set of estimates suggests that demographics might increase outlays for health and care for the elderly in Sweden

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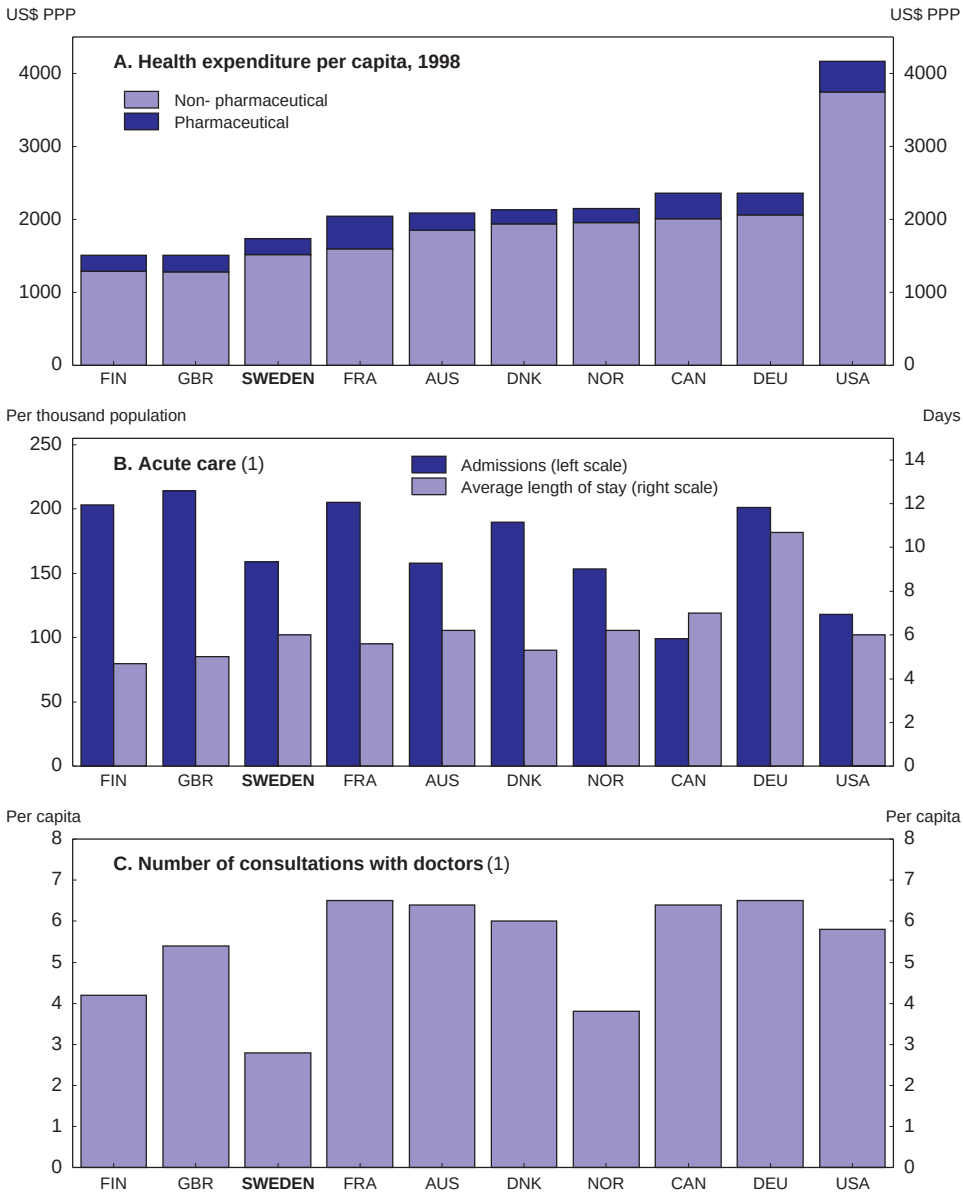
Figure 21. **Key features of health expenditure**



1. 1998 or closest available year.
Source: OECD, *Health at a Glance.*

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Box 6. Reforms to the health care sector

The sector has undergone major changes in the past decade, aimed at increasing productivity and addressing quality and equity concerns. The reforms undertaken had three main elements.

The first element has been a significant efficiency drive by county councils, most of whom have introduced a purchaser/provider split for at least some of their health services. Under this approach, hospitals can manage their resources with extensive freedom and receive payment for services provided, usually based on diagnostically-related groups. The task of hospitals in managing resources was significantly enhanced by the move in 1992 to shift financial responsibility for long-term care to the municipalities, who are now required to pay the hospital for care services for patients who are no longer in need of hospital-based medical treatment. Private providers are able to compete alongside public suppliers, although the development of private hospitals has so far remained limited. Stockholm has sold several hospitals but is currently prevented from selling hospitals with emergency care facilities by the central government. The impact of these various management changes is difficult to assess, but one estimate suggests that the switch from a budget-based allocation to performance-based funding has enhanced efficiency, with estimated potential savings of around 13 per cent (Gerdtham *et al.*, 1997).

The second element has been the increase in user choice and the provision of guarantees of service. Since 1994, Swedes have been free to choose a health centre, hospital or family doctor anywhere in the country, although they may need a referral to go to a hospital outside their county. In addition, since 1991 there has been a system of guarantees that provide for patients who cannot get the services they demand from their local area within three months: they must be offered the same care somewhere else, at the county's expense. This scheme was introduced to deal with waiting lists and applied to 12 priority procedures, including hip replacements, surgery for coronary artery disease, cataracts, gallstones and hernias. This measure did reduce waiting lists substantially for those operations and also led to better management of waiting lists, although the impact was mainly to raise productivity and improve throughput in operating units with long queues, rather than patients being sent to hospitals elsewhere (Or, 2002). It would appear that these efficiency gains have been retained, even though the 12 priority areas were replaced by a more general access guarantee in 1997. The current agreement is that primary care services should offer help on the same day and a medical consultation within eight days. For specialists, the limit is three months wait, which is reduced to one month if there is doubt about the diagnosis. There are also guidelines for which types of medical conditions should be given priority.

The third element was decentralisation of pharmaceuticals expenditures to the counties, to permit a more integrated approach to managing costs. Sweden has a system of modest patient fees, which involve co-payments up to a maximum annual amount. For medical visits, the fees are set by each county and vary between SEK 100 and SEK 140 for a general practitioner and between SEK 120 and SEK 250 for a specialist consultation. There are also co-payments for other paramedical services, such as physiotherapy, and a hospital fee of SEK 80 per day. The annual ceiling for user co-payment is SEK 900 (approximately 0.4 per cent of household disposable income), after which services are provided free for the rest of the year. However, children under 20 receive all services free of charge. Pharmaceuticals operate under a similar but separate system. The patient pays the entire cost up to SEK 900, and then there is a rising scale of subsidy so that no one pays more than SEK 1 800 in any 12-month period.

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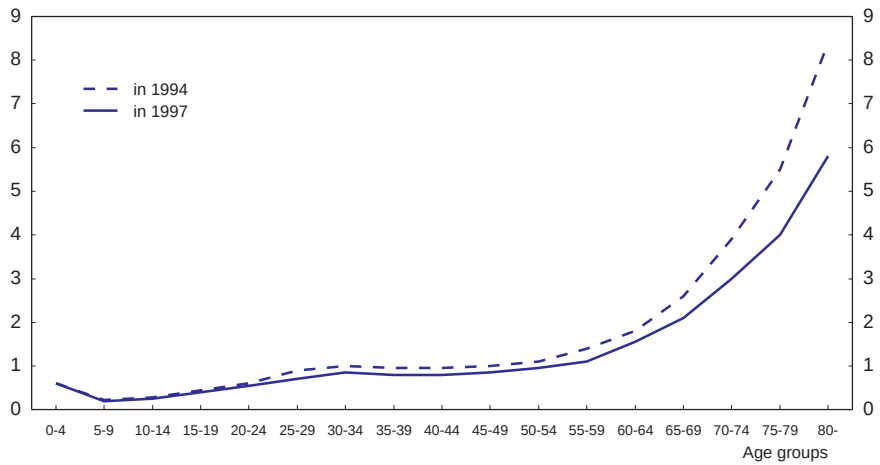
Figure 22. **Inpatient hospital care by age groups**
Days per person, per year



Source: Epidemiologiskt centrum.

by some 3¼ percentage points of GDP by 2050 (Casey *et al.*, 2002). The current emphasis on strengthening patient choice may raise expectations about future public funding that may prove to be unsustainable, and an informed debate is needed on how the balance of publicly-funded services, private insurance[35] and user co-payments should evolve, particularly in the face of mounting demographic pressures.

Caring for the elderly

Care services for the elderly were fully shifted to municipalities in 1992, when they assumed responsibility for nursing homes. Since Sweden has the largest share of over-80 year olds in the OECD (Figure 23), it is not surprising that Sweden also spends a higher proportion of GDP on elderly care than all other countries, except Norway, and has a relatively high proportion of over-65s in institutions and receiving formal help at home (Table 18). Nevertheless, care services have been significantly restructured with a decrease in the percentage of elderly in institutions and curtailment of household help.[36] Of those in the 80-plus group, 23 per cent lived in institutions and another 20 per cent had home help. Between 50 and 80 per cent of non-institutional time is now spent on assisting with personal care. Average hours per household are around 30 per month,

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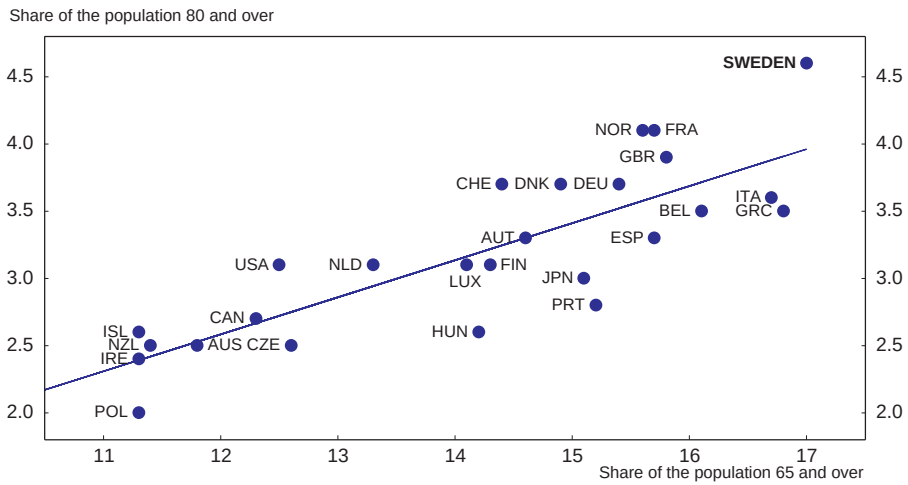
Figure 23. **Shares of elderly and very elderly in OECD countries**
1997, per cent



Source: OECD, Health database.

although the distribution is quite large; a majority of recipients receive less than 10 hours per month and 5 per cent receive 120 hours or more. Family care also plays a role that is, as far as can be assessed, similar in extent to other countries,[37] although around 8 per cent of the elderly in Sweden have never been married and 18 per cent are childless, limiting the scope for family support in those cases.

The organisation of care services is up to the municipality, and some at least have shifted to a purchaser/provider split, with about 10 per cent of care provided by the private sector, especially in institutions. About 10 per cent of the costs are covered by user charges, but there has been wide variation across municipalities, which recently led the government to impose a maximum charge to address equity concerns. The highest charge that can be levied for health and elder care will be SEK 1 516 per month and those who pay charges are guaranteed that they will have a minimum monthly income after charges of SEK 4 087 for single people and SEK 3 424 per person for couples.[38]

Significant gains in efficiency have been made, with excessive care trimmed back and better management of service provision. The main concern now is whether unit costs may have been squeezed to an unsustainably low level, since wages are quite modest, and some recruitment problems have been reported as employment prospects have improved elsewhere. Additional productivity gains could prove

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Table 18. **Comparisons of long-term care systems**

	Estimated total spending on long-term care (1992-95)	Estimated public spending on long-term care (1992-95)	Share of population aged 65 and over in institutions	Share of population aged 65 and over receiving formal help at home	Share of private beds among institutions	Share of spending towards institutions in total public spending on long-term care
	Per cent GDP		Per cent of total			
Australia	0.90	0.73	6.8	11.7	26	73
Austria	1.40	n.a.	4.9	24.0	n.a.	n.a.
Belgium	1.21	0.66	6.4	4.5	49	53
Canada	1.08	0.76	6.2 to7.5	17.0	38	67
Denmark	n.a.	2.24	7.0	20.3	n.a.	80
Finland	1.12	0.89	5.3 to 7.6	14.0	12	86
France	n.a.	0.50	6.5	6.1	32	59
Germany	n.a.	0.82	6.8	9.6	33	48
Japan (5)	n.a.	0.15/0.62	6.0	5.0	n.a.	n.a.
Luxembourg	n.a.	n.a.	6.8	n.a.	n.a.	n.a.
Netherlands	2.70	1.80	8.8	12.0	n.a.	76
Norway	2.80	2.80	6.6	17.0	10	63
Sweden	**2.70**	**2.70**	**8.7**	**11.2**	**n.a.**	**n.a.**
United Kingdom	1.30	1.00	5.1	5.5	44	70
United States	1.32	0.70	5.7	16.0	100	67
Ireland	0.86	n.a.	5.0	3.5	47	n.a.
Italy	0.58	n.a.	3.9	2.8	33	n.a.
Spain	0.56	n.a.	2.9	1.6	n.a.	n.a.

Source: OECD (1999).

relatively difficult to realise in this sector, unless there is a further reduction in institutional care[39] and/or a shift to greater reliance on technology. As well as the challenge of obtaining further improvements to the supply of care services, demographics are likely to significantly increase demand in the coming 20 years. Given other pressures likely to weigh on public finances at that time, not least pensions and a shrinking working-age population, one option would be to establish prepayment of care services through insurance arrangements, as Japan and Germany have done. This would make a clearer link between contributions and services supplied to individuals, provide assurance that care will be financed and reduce the risk that funds will be unavailable when the time comes to deliver the services required. Such a scheme would have to incorporate provisions for those unable to contribute adequately for themselves and might require some mechanism to adjust for any future mismatch between funds available and future demands. However, given the moral hazard arising from the fact that Sweden would be extremely unlikely to deny care to anyone, setting up such funding arrangements may be economically indistinguishable from ear-marked taxes.

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Social insurance

Social insurance is pervasive in Sweden, providing pensions or benefits of one sort or another to 2.1 million people (*i.e.* one in three over age 18) in 2000, not including unemployment benefits, at a cost of SEK 343 billion or 16½ per cent of GDP (Table 19). Old-age pensions alone amount to more than 8 per cent of GDP, and although Sweden has put into place a new pensions scheme designed to keep expenditures in line with resources, it will not come into full force until 2020 (see Chapter IV). In any case, it would be inequitable to trim back benefits to existing pensioners, who have virtually no capacity to supplement their incomes by re-entering the workforce. With projected increases in the proportion of elderly in the population, the share of resources that will be pre-empted by commitments to old-age pensions is projected to peak at 10½ per cent of GDP by 2035, before tapering off slightly (Casey *et al.*, 2002). Although this ratio is currently higher than in many OECD countries, as would be expected given an older population, by 2050 total old-age pensions relative to GDP will be near the OECD average, largely because other countries will have caught up.

Financial support for families is extensive and universal, motivated by the wish that all households should be able to maintain the same financial status regardless of their family situation. Contrary to popular belief, Sweden does not

Table 19. **Social insurance expenditures**

	2000	
	SEK billion	Per cent of GDP
Financial security for families and children	51.1	2.5
of which:		
Child allowance	18.9	0.9
Parental insurance	16.8	0.8
Maintenance support	4.8	0.2
Housing allowance for families with children	4.4	0.2
Financial security in sickness and disability	104.3	5.0
of which:		
Sickness benefit and rehabilitation allowance	36.5	1.7
Disability pensions and housing supplement	49.7	2.4
Work injury benefit	7.3	0.3
Attendance allowance	7.0	0.3
Financial security in old age, etc.	170.0	8.1
Other payments	8.8	0.4
Administration	9.0	0.4
Total social insurance expenditure	343.1	16.4

Source: National Social Insurance Board.

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offer the most generous family support in the OECD, although it stands out for the clarity and transparency of its approach.[40] Sweden's family benefits comprise three main types. The first is parental insurance to replace loss of income due to absence from work because of young children. This element is probably the most generous in the OECD. Between them, parents may take 13 months full-time leave for each child, taken at any time up until the child is eight years old, and receive 80 per cent of previous income up to the social insurance ceiling.[41] Parents are also entitled to a temporary parental cash benefit for up to 60 days per child under 12 per year to cover child illness. The second is a child allowance of SEK 11 400 per year, paid for each child under the age of 16. Supplementary allowances are provided for third and subsequent children. These benefits are currently disbursed to some 1.6 to 1.8 million children. In addition, housing allowances for families with children were paid out to almost 350 000 households in 2000 (see Chapter IV). The third is maintenance benefits for single parent households, which include payments made by the non-custodial parents.

Sweden has made a deliberate social choice to provide extensive redistribution towards families. During the period of budgetary consolidation, parental insurance was made less generous, and the child allowance was reduced. However, the benefit levels were restored once public finance was back onto a sounder footing, and the government has now proposed that an additional 30 days parental leave be granted. It is difficult to make a judgement of the appropriate amount of state-financed parental care on economic grounds alone, although the dead-weight costs associated with raising taxes should be included in the assessment (see Chapter IV).

Some tools and techniques for getting better results from public spending

A number of ways of improving the efficiency and the effectiveness of public outlays have been tried in OECD countries. Possible techniques include greater emphasis on transparency and benchmarking, creating internal competition and contracting-out, user charges and consumer choice. Each of these techniques has been used to some degree in Sweden. This section looks at some of the experience with these approaches, both in Sweden and elsewhere, and considers aspects of possible extension to other areas of expenditure.

Transparency and benchmarking are two techniques that focus the attention of taxpayers and providers on how performance of one unit compares with that of others. At the local authority level, a considerable amount of benchmarking is already taking place: the high degree of flexibility in delivery of services afforded to municipalities and counties already provides considerable scope for innovation and identification of best practices. Many local councils make a significant effort to inform their citizens of the costs and benefits of different services provided. The internet as a diffusion tool has been particularly helpful here, and

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Swedes can find a range of data to assist them in assessing the performance of their local authorities. One striking absence is information on school performance, where more meaningful indicators need to be developed and made available to the public. More generally, further work on refining unit costs for all activities would assist municipalities themselves in identifying where efficiencies could be realised.

Nevertheless, more could usefully be done at the central level to make more transparent the link between outlays and the economic costs of raising the revenue to fund them and to present clearly the trade-offs involved in spending choices. This is particularly true in the light of the upward pressures that have emerged recently to restore the generosity of programmes and benefits to their pre-crisis levels. It could also help to focus attention on this issue if more systematic information could be collected on the public's preferences for different levels of overall spending and on programme priorities, given the deadweight losses associated with taxes. While the argument that paring back programmes was essential to restore sound public finances was a powerful motivation for otherwise unacceptable cuts at the time, the downside is that now that public finances are strong once again, there is a sense that the earlier cuts were temporary. More recognition could be given to the underlying benefits of the gains achieved and a careful assessment of the costs and benefits of reinstating earlier levels of generosity undertaken. International benchmarking of performance in particular areas such as education, health and caring for the elderly can also provide an important perspective on Sweden's performance and pinpoint areas where improvements could be sought. Simplistic comparisons should be avoided, but careful assessment of relative performance could help to encourage an informed debate, better use of funds and more realistic expectations. In any case, it would make sense to ensure that any additional funding to particular areas were accompanied by rigorous monitoring and control to ensure that the expected gains in performance are actually realised.

Another feature of Sweden's service provision is the use of internal competition and contracting out of services, most notably in the health area, where the purchaser/provider split has been applied quite extensively. Contracting out of day-care centres and programmes for the elderly and disabled have also to some extent generated additional choice. At the municipal level, contracting-out, at least as measured by purchases as a share of total operating costs, has increased quite sharply from under 4 per cent in 1995 to 8 per cent in 2000, with the largest expansion in upper secondary and adult education. Measuring efficiency gains in the hospital sectors is complex given the way budgets are organised, but two Swedish studies have found that internal markets clearly improved efficiency (Gerdtham *et al.*, 1997; Tambour and Rehnberg, 1997). However, there is still no consensus on the long-term outcome of contracting out and there is a need for more extensive and comprehensive evaluation.

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It should be noted, however, that not all public services can be successfully contracted out. Some services are difficult to assess for quality, and equity is often also a high priority in those areas. In these situations, where contracts covering every aspect of services to be supplied are difficult to establish, it may be a better alternative to provide a voucher to consumers and allow them to assess for themselves which supplier they prefer. Care for the elderly and childcare are two prime candidates, and policies in Sweden have indeed gone in this direction.

User charges are another technique for managing demand in situations where there is a risk of excess demand. Health and other care services are a case in point. Sweden's framework for user charges in these areas is a logically appealing one, particularly in striking a balance between co-payments and a modest "stop-loss" maximum to avoid imposing unduly high expenses on some households. However, there are limits to the extent to which reasonable user charges can curb an overall upward trend in demand for health services, and an alternative may be to concentrate greater efforts in establishing priorities in treatment for which the taxpayer should pay and those where supplementary private insurance could fill the gap. Concerns about the standard of "hotel" services provided in hospitals could, for example, be accommodated through supplementary payments. Patients could also be expected to provide items themselves where this is standard practice elsewhere.[42]

Compulsory education is an area where user payments cannot play any role in curbing demand for schooling since coverage is 100 per cent. Nevertheless, Sweden is unusually generous in providing everything free, including school meals and materials, items which would require some financial contribution from parents in many OECD countries. Pre-compulsory education is a more contentious area, where views differ about the appropriateness of user charges. Previously, out-of-pocket expenses for pre-school care for a family with two children in care for 40-hour per week ranged from nothing to SEK 4 200 per month. On average, charges covered 16 per cent of costs. The problem is complicated by the unusually late start in school for most Swedish children since in a number of other OECD countries, virtually all children are in school for 5-6 hours per day and in a few countries from as young as 3 years. Effectively this provides free (and generally highly educational) childcare to all these children, against which Sweden's care looks both expensive in unit costs and highly priced for some parents. The move to providing pre-school classes for 4 and 5 year-olds brings Sweden closer in line with international practice, although school will only be approximately 3 hours per day until age 7. Demand for childcare outside these hours and for younger children will vary according to the costs of other childcare alternatives, including parental care. Concerns about variability of childcare charges have led the state to provide an incentive for municipalities to set income-tested, maximum monthly user charges ranging from SEK 300 for one child and low incomes to SEK 2 280 for 3 children and high incomes (see Chapter II).

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User charges could be used much more extensively in the post-compulsory sectors and especially in tertiary institutions. Requiring students to pay some portion of the costs for their education would both free up public funding for other purposes and provide helpful incentives on demand, by encouraging students to make more careful assessments of what they should do, to consider carefully the trade-offs between different study routes, and to finish their courses within a reasonable period of time.

Box 7. Policy recommendations

The specific policy recommendations emerging from the analysis in this chapter are the following:

- Strengthen the expenditure ceilings by operating the ceiling for operational and non-entitlement transfers as a hard budget constraint on a three-year ahead basis, and building in an explicit safety margin on a separate ceiling on entitlement spending.
- Rebalance the budget envelopes and bolster the incentives for prioritising expenditures within and between expenditure areas.
- Strengthen the accountability of the state agencies and ensure that they have clear and measurable performance targets to achieve.
- Identify and pursue cost-effective ways of improving the performance of the education system, particularly in mathematics and science.
- Look at ways of truncating the years spent in school, by raising the number of hours spent in instruction each year towards international averages and re-examining the balance between instruction time and after-school care.
- Invest in developing better quality indicators of school performance both to increase transparency for parents, municipalities and the national educational authorities, and to enable the identification of factors influencing outcomes.
- Strengthen the voucher element and institute a system of tuition fees for the tertiary sector, allowing institutions to offer whatever courses and places they wish, while encouraging students to complete their studies in a shorter time frame.
- Undertake more rigorous evaluation of the costs associated with outcomes in the health care sector, and consider integrating detailed cost data into the national registers on clinical outcomes.
- Consider whether the annual maximum for patient co-payments could be raised to provide additional resources to the health sector and examine the pros and cons of allowing private insurance markets to assist in dealing with the upward pressures likely to arise as the population ages further.

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Individual learning accounts are a new proposal from the government (see Annex IV) which contains a number of unhelpful elements from a public expenditure perspective, as well as having a dubious impact on labour supply (see Chapter IV). These accounts embody a subsidy element although they are delivered as tax expenditures, which makes them less transparent and more difficult to monitor, as well as placing them outside the expenditure ceiling framework. In the present proposal, this subsidy is explicitly intended to be spent on courses of the employees' own choice, and it is unclear what economic benefit will be likely to ensue from the studies pursued. A further concern is the long financial commitment and public liability being built into this system, making it a difficult policy to reverse if it should be found unsuccessful or other priorities become more pressing in the future. Lastly, it appears to require complex administration. Overall, it would be better to rely on market signals through wages to help people determine what skills acquisition they should seek. If government action is really required, it would be more appropriate to provide vouchers and record the expenditure directly in the budget.

Conclusions and policy recommendations

Sweden has gone a considerable way towards improving both the quality and efficiency of public expenditure, achieving a reduction of the overall level of expenditures as a proportion of GDP and the corresponding burden on the economy. However, some of the instruments used could benefit from further improvement, not least to better equip the country to face the upward pressures that are likely to arise in the future. Enhancing the institutional framework within which spending decisions are made should be a priority. The country has made major changes to the operation of education, health and care services and could provide a model for others, particularly in the voucher system providing school choice and the purchaser/provider split and the design of user charges in health. Nevertheless, there are shortcomings that need to be addressed in order to improve the efficiency of services provided and achieve better outcomes for the public money spent. Some specific policy recommendations are set out in Box 7.

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IV. Raising Sweden's economic capacity

Momentum for structural reforms to further improve Sweden's economic performance seems to have slackened. To some extent, there may be some reform fatigue following the wide range of policy changes that have already been enacted since the economic crisis of the early 1990s. The growth rate of annual total factor productivity had risen by around ½ percentage point by the end of the 1990s, boosting potential output growth. A pick-up too in the rate of expansion of the capital stock and trend labour force participation can be partly attributed to liberalisation of product and capital markets, along with greater flexibility in labour markets as a result of earlier efforts to free up the economy. However, the exceptionally strong and ultimately unsustainable rates of economic expansion of the late 1990s may have led to a degree of complacency about the need for further efforts to address the various aspects of the economy that still do not function particularly well. Addressing these shortcomings will help the nation to face more effectively the impact of demographics on future living standards.

This chapter addresses some of those key policy issues and challenges. The first section reviews the long-term growth developments and illustrates the possible future growth prospects on a "business as usual" basis, given projected demographic developments. Next the role of social insurance transfers and active labour market policies on labour force participation is examined. The following section looks at policies affecting hours of work, especially among women. The role of tax policies in discouraging market work is considered in the next section. The distortions in the housing market are analysed in the final section.

Long-term growth trends and prospects

Despite last year's economic slowdown, Sweden has recovered well from the deep recession of the early 1990s (Figure 24). However, while living standards, measured as GDP per person, have also risen steadily over the last few years, the gap between overall growth and the improvement in living standards has actually widened slightly further since the recession. This is not because of an increase in the dependency ratio, which rose during the 1990s but has recently fallen back to slightly below its 1990 level: the main factor has been the sharp drop in the labour

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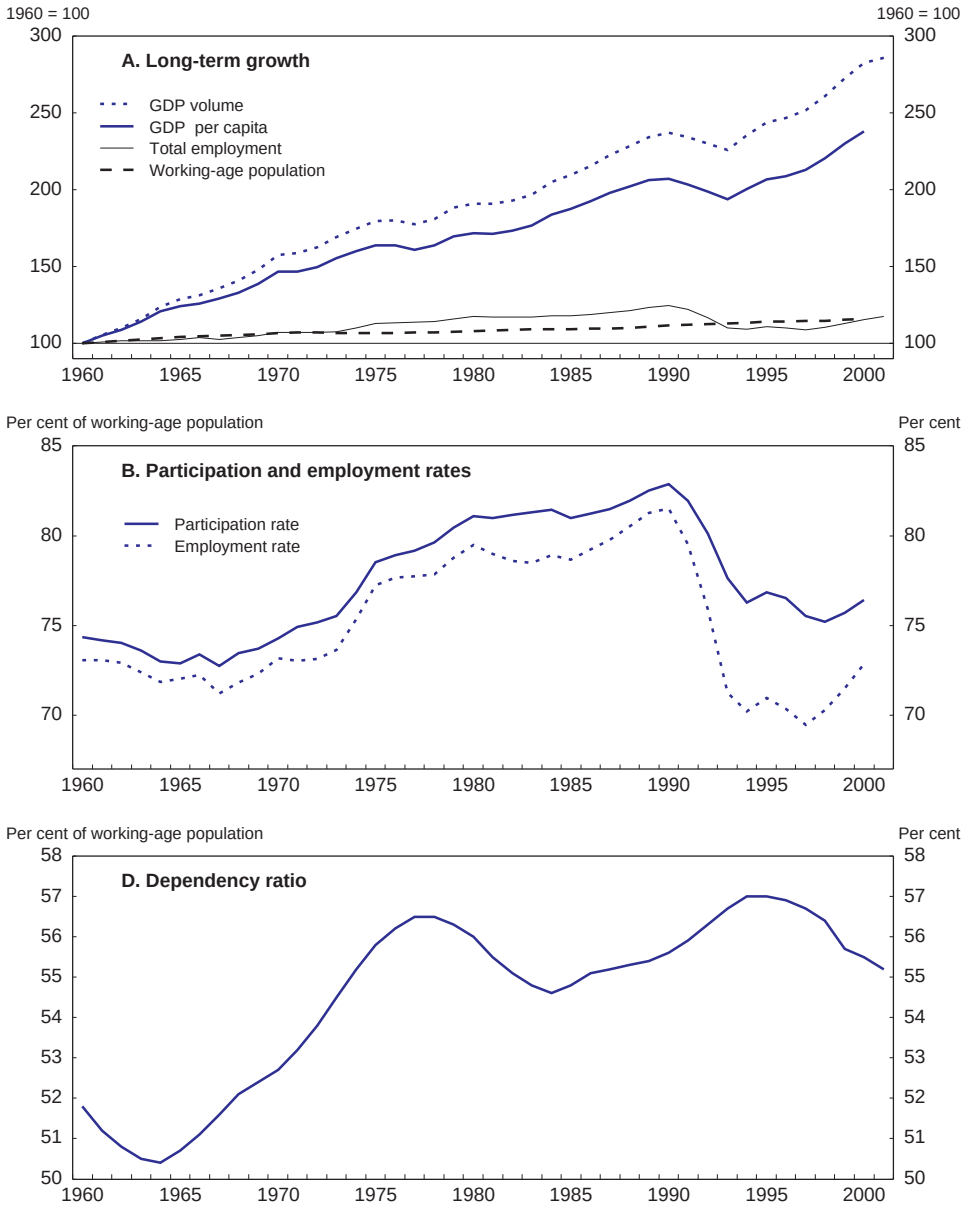
Figure 24. **Long-term growth patterns**



Source: OECD.

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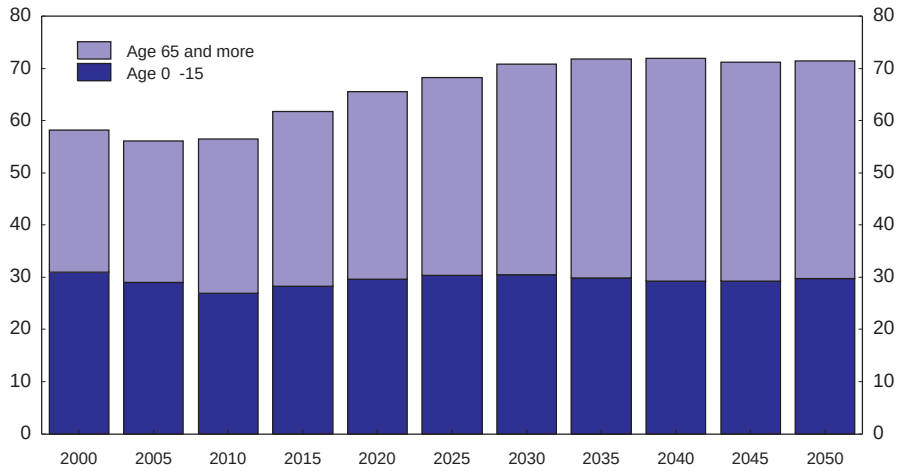
force participation rate, which, though still high by OECD standards, remains some 6 percentage points lower than ten years ago.

Boosting living standards in Sweden over the coming years will require a combination of raising the labour supply and increasing hourly productivity. This becomes an increasing challenge as Sweden's age structure means that the working-age population is projected to start shrinking from 2008 onwards, while the dependency ratio will climb (Figure 25). Less output available to be shared with non-workers will pull down GDP per capita growth. But these developments can be offset to some extent by raising labour force participation rates and/or increasing the hours worked per person.

Figure 25. **Dependency ratios**
Per cent of 16-64 age population



Source: Statistics Sweden.

To illustrate the possible magnitude of adjustments necessary and ways of achieving it, several illustrative scenarios have been carried out (Figure 26).

- The projected path of labour supply over the next 30 years, assuming current hours worked and participation rates for men and women in each age cohort remain constant (Table 20), is shown in the baseline scenario.
- Participation drops sharply for those in the age group 55-64 years old. If participation among this group could be raised 10 percentage points, this would produce a labour supply some 2.7 per cent higher in 2030 than in the baseline. This is shown as the "higher older participation" scenario.

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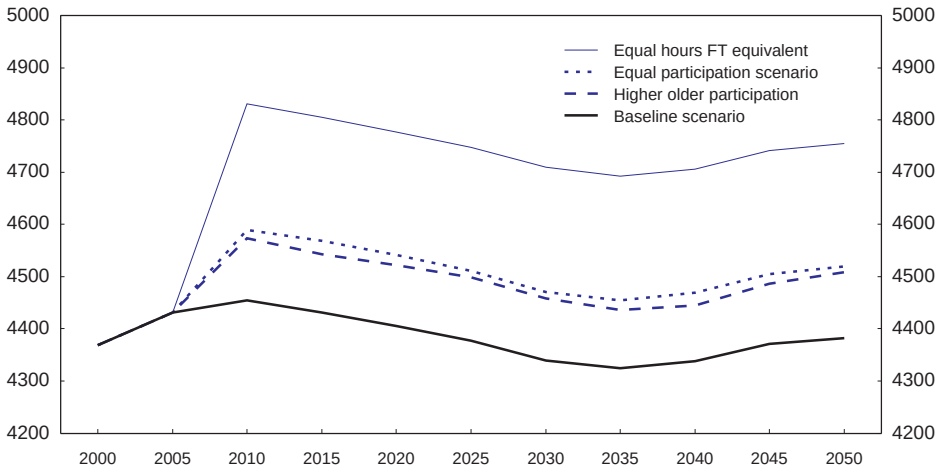
Figure 26. **Scenarios of labour supply**

Thousand persons



Source: OECD calculations.

Table 20. **Participation and hours for men and women**

	Men	Women	Total
	Participation rates, 2001		
16-19 years	30.5	37.3	33.8
20-24 years	69.3	63.6	66.5
25-34 years	88.9	81.4	85.2
35-44 years	90.9	87.5	89.3
45-54 years	87.7	86.2	88.0
55-64 years	72.9	66.9	69.9
All ages	80.5	76.2	78.4
	Hours[1]		
16-19 years	24.8	20.2	22.4
20-24 years	37.3	31.7	34.7
25-34 years	40.3	33.8	37.5
35-44 years	41.4	33.9	37.9
45-54 years	41.4	35.1	38.4
55-64 years	39.0	32.9	36.1
All ages	39.6	33.5	37.1

1. 5-year average weekly hours 1997-2001.

Source: National Social Insurance Board; Statistics Sweden.

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– Participation rates of women are lower than those of men for all age groups except 16-19 year-olds. If participation rates for women were to equal those of men, this would boost labour supply by 3.0 per cent by 2030, as presented in the "equal participation" scenario.

– Average weekly hours worked are considerably lower for women than for men for all age groups. If hours of women were raised to those of men, this would add some 8.5 per cent to the labour supply by 2030. This is the "equal hours" scenario.

These scenarios are simply a sample of a wide range of possible alternatives that Sweden could pursue in order to achieve a higher level of output to support the population. However, they do point to particular areas where policy attention might be concentrated: addressing the reasons why older workers are disproportionately absent from the workforce, and identifying measures that would promote more equal participation by women and provide greater financial rewards for shifting from part-time into full-time work. The rest of this chapter examines options and policy reforms that might help to achieve higher labour supply in each of these areas.

Raising the participation rate

Promoting later withdrawal from the workforce

Early withdrawal from the labour force seems to have become a socially-accepted phenomenon in Sweden, and one survey of attitudes reflected the general belief that people should retire at age 65 at the latest and preferably at 60 (National Social Insurance Board, 2000). The average age has indeed fallen between the late 1980s and the late 1990s, by around half a year to 63 years and four months for men and from just over 63 years to 61 years and nine months for women (Figure 27). Although participation rates for all age groups are higher in Sweden than in OECD countries on average, there is still a drop of some 18 percentage points in participation between the 45-54 years age group and the oldest working-age group of 55-64 years. This drop is smaller than elsewhere in the OECD, but, nevertheless, it seems hard to justify on biological grounds and it would seem likely that economic incentives play a role. Somewhat disturbingly, there seems little hope that participation will simply increase with time: a survey by the National Social Insurance Board carried out in 2000 showed that for men and women aged 35 to 59, around 40 per cent across all age groups want to leave work before they reach the age of 65.

In 1998, Sweden decided on a new pension system, which is being gradually phased in between 1999 and 2020 (see Annex V). This places a specific emphasis on providing stronger incentives for people to work longer through an unlimited entitlement to continue earning pension rights with actuarial adjustments

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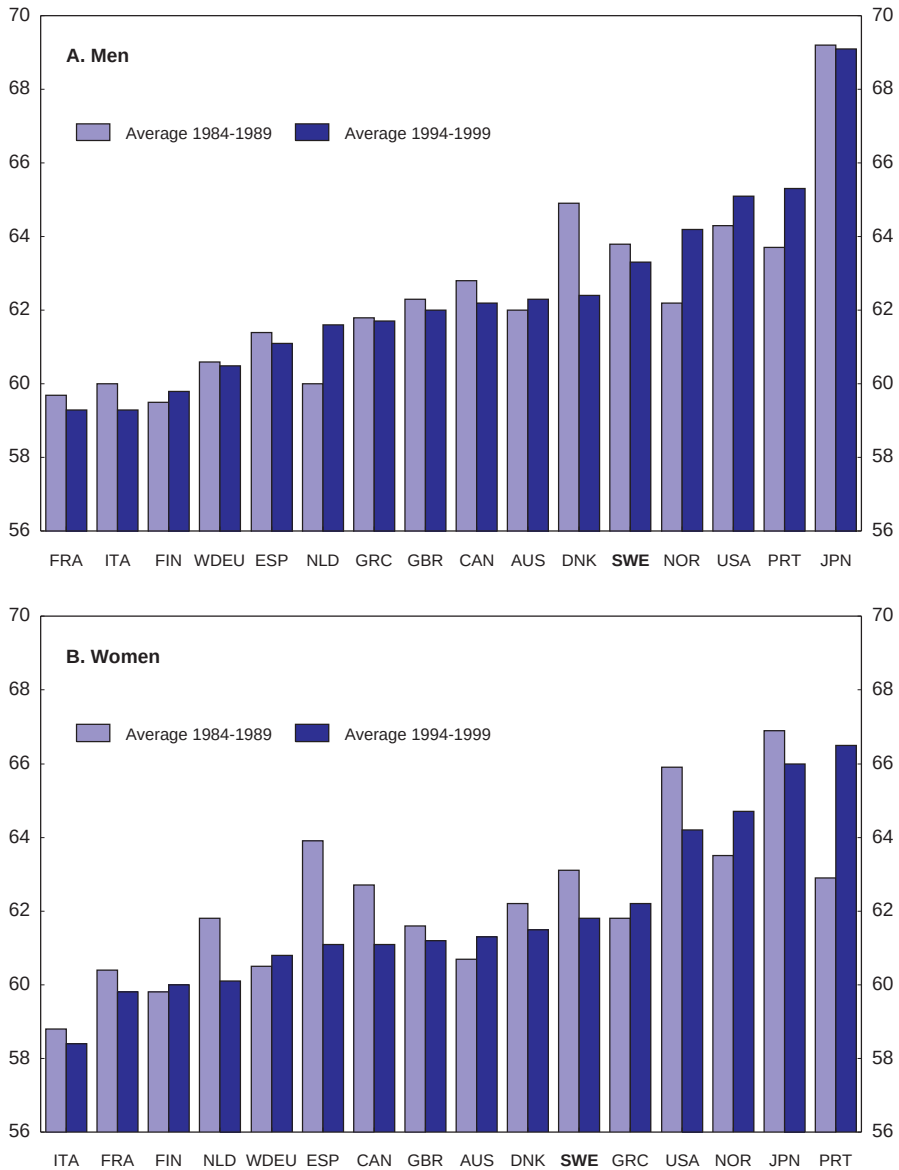
Figure 27. **Average age of withdrawal from the labour force**

Years of age



Source: Scherer (2001).

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for early withdrawal. So far this has had a surprisingly weak effect on attitudes towards the age of retirement.[43] However, the introduction of the new pension scheme seems to have deflected public attention from the incentives embodied in the present schemes and which continue to have an adverse influence on labour force participation amongst older workers.

For those under age 65, there is a complex interaction between the option of taking early retirement public pension, the occupational pension scheme arrangements, and the differential tax treatment for old-age pensioners, which will be abolished in 2003. An early retirement pension can be taken, but with a financial penalty: currently only around 23 000 persons between 61 and 64 are receiving such pensions. In the economic trade-off between work and retirement, the choice depends quite heavily on the amount of income from work, because of the unusual income profile of the basic allowance on taxation of earned income and separate allowances for pensioners. Many people also qualify for occupational pensions on top of the public pensions. There are four main pension plans: in the private sector there are STP for blue-collar workers and ITP for white-collar workers, and there are two separate schemes for employees of the state and the local authorities. The STP pension is paid out only from the contributor's 65th birthday, but the parameters of the system mean that he or she would receive no reduction in net pension wealth for quitting any time from age 58 (Palme and Svensson, 1997). The ITP pension can be claimed from age 62 with a permanent actuarial reduction in the pension of 0.6 per cent for each month of early retirement, although contributions cease at 62 anyway, whether or not retirement is taken. This also means that there is no loss in net pension wealth if the person withdraws from the workforce at 62 and draws the pension from age 65.

For those who withdraw early from the workforce, there is a strong incentive to search for some "bridging finance" to cover the period from effective retirement to age 65 so that pensions can be drawn without actuarial adjustment. The prime candidates are disability pension and sickness benefit. Indeed, several empirical studies have drawn the link between disability pensions and their past use as a mechanism for managing labour supply rather than being strictly for health reasons (Palme and Svensson, 1997). They were also commonly used as an exit route for older workers during downsizing, as a way of circumventing strict seniority rules that would normally apply to give employment protection to longer-serving staff (Wadensjö, 1996).[44] Tightened eligibility rules for disability pensions now make this harder to arrange, especially once the labour market connection was formally eliminated. But instead a private insurance market has sprung up which enables firms to provide an "early retirement" buy-out option as a way around the seniority constraints. Although this private alternative is not a fiscal burden, it nevertheless has unhelpful consequences for labour supply, especially as firms seem to believe that their own older workers are less productive and they are reluctant to hire others (National Social Insurance Board, 2000).

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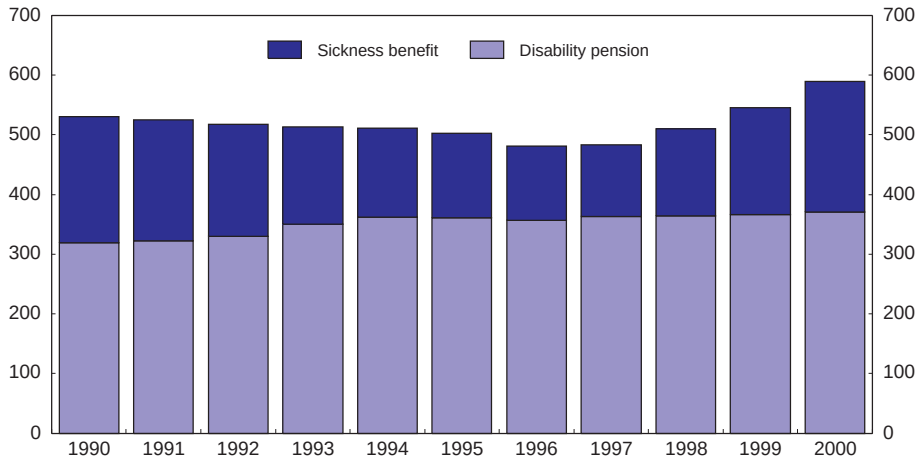
Figure 28. **Sickness and disability beneficiaries**
Thousands, full-time equivalents



Source: Ministry of Finance.

Sweden has a very high stock of older persons on disability pensions (Figure 28). Some 438 000 individuals were receiving disability pensions at the end of 2000, equivalent to almost 8 per cent of the working-age population.[45] Of these working-age pensioners, 70 per cent are at least 50 years old, and the majority of those are women.[46] The true rate of disability is relatively difficult to identify in practice, although even on surveys of self-assessed disability, Sweden scores highest in the OECD. Furthermore, only 15 per cent of those self-assessed as disabled in Sweden do not receive any kind of public benefit, whereas the OECD average is that more than half of those who rate themselves as having some incapacity receive no financial assistance from the state (OECD, 2002e).

Notwithstanding the rule-tightening in 1997 to remove labour market considerations, Sweden still had a higher rate of annual inflow to disability pensions than the OECD average in 1999, reaching 2 per cent for those aged 55 to 59 years and more than 3 per cent for the 60 to 64 age group (Table 21). This suggests either that Sweden has a health problem that needs urgent attention, or the economic attractiveness of disability needs to be reduced, or controls on access and continuation need to be significantly tightened. The first hypothesis seems discounted by the evidence from the Eurobarometer survey which showed that Sweden had the lowest rate of physical strain at work among those aged

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Table 21. **Age-specific disability benefit inflow rates**
1999

	Inflows per 1 000, by age group					
	20-24	35-44	45-54	55-59	60-64[1]	20-64
Australia	3.2	5.1	8.6	17.7	14.6	6.3
Austria	0.7	2.2	9.5	34.9	5.1	5.8
Canada[2]	0.4	1.0	2.4	4.7	4.1	4.3
Denmark	1.6	3.1	7.0	11.1	11.1	5.7
France[2]	0.2	0.7	1.9	4.7	0.0	4.8
Germany	0.6	2.3	6.9	18.5	16.6	5.3
Italy[2]	0.1	0.4	2.8	1.4	1.5	7.1
Mexico	0.0	0.1	0.3	0.7	4.1	0.3
Netherlands	8.3	11.6	15.6	12.0	12.5	10.4
Norway	3.3	8.5	18.2	36.9	60.0	12.1
Poland	1.6	7.1	18.1	11.7	2.7	7.9
Portugal	1.2	2.0	7.7	19.8	30.5	5.7
Spain	0.4	1.6	3.6	8.4	9.0	5.8
Sweden	**1.9**	**5.0**	**9.6**	**19.8**	**31.6**	**7.6**
Switzerland	2.4	4.4	8.5	14.1	12.4	6.0
United Kingdom	9.7	12.4	17.8	22.3	11.8	12.9
United States	2.7	4.5	7.8	13.9	12.8	6.0
OECD	2.3	4.2	8.6	14.9	14.1	6.7

1. No or reduced inflow for this age-group in countries with statutory retirement ages below 65 (men and women in France, and women only in Australia, Austria, Italy, Poland, Switzerland and the United Kingdom).
2. Contributory programmes only rather than both programmes.
Source: OECD database on programmes for the disabled persons.

45 years and older, apart from Luxembourg (Figure 29): this may reflect the leading cause of exit, namely muscular-skeletal disease. However, it seems unlikely that this disease is not only more prevalent than elsewhere, but also more debilitating in Sweden than in other European countries. Such a conclusion is not borne out by examination of consumption of health services (see Chapter III).

The second possibility would be to address the several dimensions that make the disability pension a more attractive financial option than work. Unfortunately, using the term "pension" itself may send a signal to recipients that once they have entered the scheme, they are no longer expected to make an effort to return to the workforce, further blunting economic incentives. It is extremely difficult to establish reliable cross-country comparisons of effective replacement rates for those receiving income support for disabilities. But in Sweden's case, the implicit tax on additional work that is generated by the disability pension in the mid-1990s was estimated at more than 100 per cent of the average production worker's net income because of the interaction of different tax regimes and the housing supplements available to disability pensioners (Palme and Svensson, 1997).[47] This is almost certainly at the generous end of the OECD spectrum.

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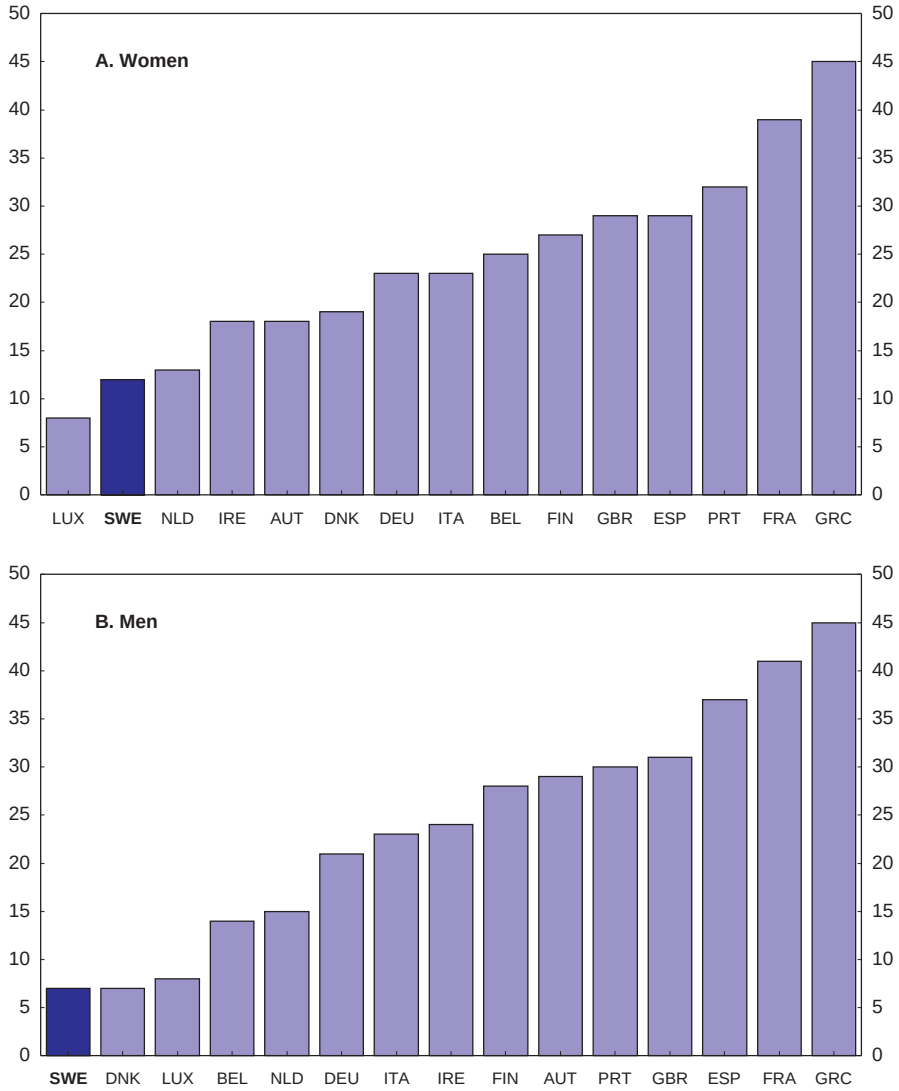
Figure 29. **Physical strain at work**[1]

Index[2]



1. Professionally active people aged 45 and older.
2. Index is based on the Eurobarometer 1996, where questions were asked relating to the occurrence of tiring work postures, heavy lifts and repeated movements. A lower figure indicates less strain.

Source: Ilmarinen (1999).

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Lowering effective replacement rates could go a long way toward reducing the attractiveness of these benefits and therefore their high take-up rate. However, this would also penalise the genuinely disabled.

The third option would be to tighten control over the administration of disability benefits. Many other OECD countries have faced up to the same necessity (see Box 8), and there could be lessons for Sweden from examining successful

Box 8. Policy guidelines for disability and work in OECD countries

Policy principles

A paradigm shift is taking place within OECD countries in the approach taken towards to disability, with more emphasis on separating the concepts of "disability" and "ability to work" (OECD, 2002e). At the same time, integration into the workforce rather than passive compensation for loss of income is becoming a more important policy objective in almost all OECD countries.

Following the logic of a social insurance scheme, this implies that efforts should be made to provide cost-effective individually tailored assistance to reintegrate beneficiaries back into the workforce. If unable to do so, the "insurer" pays a penalty of the form of income compensation. In return, more responsibility is thrust back onto the disabled individual to do their best to participate in the labour market, and failure to do so implies sanctions, most directly through loss of benefits.

Disability is notoriously difficult to assess objectively, and dealing with moral hazard – where people make less effort to help themselves because of the presence of a third-party payer – can be a particular problem. This also reinforces the need for effective sanctions on beneficiaries who do not co-operate, while endeavouring not to penalise those cases of true need.

Recent reforms

Reforms have been undertaken in many OECD countries. The common threads are: the introduction of anti-discrimination legislation; a significant rise in employers' responsibilities towards people with disabilities; the promotion of streamlined administration and one-stop service centres; the introduction of various forms of work incentives; and continued recognition of disability status while benefits are interrupted because the recipient takes up work.

A number of countries have also tightened transfer policies, with more regulation of access through standardised and tighter medical assessment procedures, broadening the labour market criterion and assessing ability to work in a less restricted range of occupations, reducing benefit levels or making benefits temporary. Details of specific country experiences are being compiled and will be published by the OECD later this year.

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examples from other countries (OECD, 2002e). Although Sweden has made efforts to tighten controls on disability in recent years, it still appears to be relatively lax in regularly checking that benefits are paid only to genuine cases. The National Social Insurance Board is hampered in its efforts by the autonomy of its local offices, which are each responsible to their own politically-appointed board. The system would benefit from more stringent gate-keeping over the initial award of disability pensions. This could involve applying the existing criteria for assessment more strictly. Assessment is currently carried out by a medical practitioner employed by the social insurance board, which is an improvement on the earlier procedures, where a company doctor or the applicant's physician could certify disability. But the decision on each case is made by the county board itself and more consistent application might be achieved if the governance structure were redesigned to place more control over decisions in the hands of the national agency. The eligibility criteria themselves could perhaps be made more stringent. The higher ratio of people remaining in work despite self-assessed disability in other countries suggests that Swedish expectations of self-reliance may be unrealistically low, which may in turn make the system more vulnerable to moral hazard. In any case, the higher inflows than elsewhere suggests that serious efforts could be employed to reduce the entry rates to more typical levels.

Another type of monitoring involves checking to ensure that beneficiaries are not engaging in activities incompatible with their disabled status.[48] This could be heavy physical activity that belies the medical diagnosis on which the disability is based, or engaging in informal work which indicates a capacity to support themselves economically, even if a disability is present. Unannounced home visits would be one way of checking: these are carried out by the social security system in France to verify the status of those on sick leave. This approach requires public acceptance, resource prioritisation and acknowledgement that Swedish social insurance is susceptible to moral hazard as are all public insurance systems in other countries and, therefore, relying on honesty is not sufficient: control, verification and sanctions are also necessary. It should be noted that the mere risk of being checked and having the entitlement put in jeopardy can provide a significant disincentive to engage in inappropriate activities, which, for those seeking to exploit the system, would make it less attractive. At the same time, those who do merit the pension would not be seriously inconvenienced by such anti-fraud techniques.

More active review of ongoing entitlement, with a stricter assessment of capacity to work, while strengthening the scope for moving off disability and back to work would also help. Once a disability pension is awarded in Sweden the only apparent exit is at 65 years old when the person switches into the old-age pension regime. There is the option of suspending benefits for those who wish to attempt re-entry without jeopardising entitlement, but this provision seems rarely used. In contrast, a number of OECD countries now apply some sort of periodic review of

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beneficiaries, particularly for those on partial benefits. Re-entry to work has two dimensions. The first involves medical efforts to restore health or at least as close to full capacity as possible, an exercise that requires the combined efforts of the individual and the rehabilitation services. However, in Sweden, once a person receives a disability pension, no further resources are put into rehabilitation. The second dimension is reattachment to the work-force, which may require extensive case work once work habits are broken.[49] Once again, this is left unaddressed. As noted above, the difficulties faced by older job applicants suggest that considerable efforts will be needed to make re-employment a viable alternative. As studies of rehabilitation have shown, it is most effective when intervention occurs as early as possible. This requires reassessment of the sickness benefits regime, where many people spend time before moving to a disability benefit.

Sickness benefits could be described as the Achilles heel of the Swedish welfare state. In just three years from 1998 to 2001, the number of sickness benefit days jumped by more than 70 per cent, while outlays more than doubled to an estimated SEK 43 billion (2 per cent of GDP) as the average payment per day also increased by almost 20 per cent over the same period. Part of that increase in benefit generosity is the decision to add national old-age pension contributions to all benefits, from 1999 onwards. The provisions of the sick leave scheme have changed several times over the last ten years, and in 1998 the period at the employer's expense was reduced from 28 to 14 days and the replacement rate was lifted to 80 per cent.[50] While these changes have measurably increased the propensity to take sick leave (Henrekson and Persson, 2001), they do not significantly account for the rapid growth in government expenditures, which are dominated by the sharp increase in long-term sick leave: those on sick leave for at least 6 months have gone from 86 200 in 1990 to 144 600 in 2000. This represents more than half the recipients in 2000, and one-third of those had been sick for more than a year. As would be expected, given the disability pattern, older women are disproportionately represented, and musculoskeletal disease is the leading category of illness. A recent study has also found that sickness claims increase as the expiration of unemployment benefit approaches (Larsson, 2002). Containing sickness benefits becomes more urgent given that estimates of the demographic effect (*i.e.* the increase that could be expected if the same share of each age cohort takes sickness benefit and/or disability pension as at present) suggest that this factor alone would increase the number of beneficiaries by as much as 12 per cent at the peak in 2008.

One option for addressing this upsurge is to reduce the recourse to sick leave benefits in the first place by shifting more of the cost of sickness back onto employers and employees. By international standards, the two weeks period that are the employer's responsibility in Sweden is remarkably short; it can stretch up to six months or a year elsewhere.[51] While it is difficult to determine the optimal period for giving employers the right incentives to take responsibility for

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minimising sickness, it seems likely that the time is too short in Sweden. At the same time it seems clear that some Swedish employees are too ready to take sick leave without sufficient reason. This can be demonstrated by the success of certain employers (*e.g.* Stora Ensor) who have managed to reduce absence rates sharply simply by demonstrating an active interest in the well-being of absent employees. A range of other possible measures have been under discussion in Sweden, including health accounts, working environment certification, and experience-rated payroll taxes.

A second strategy for reducing sick leave would be to place more emphasis on getting people off sick leave and back to work. This could be accompanied by a firmly enforced time limit to sickness benefits and a clear case management plan. Only if all rehabilitation efforts failed would disability pension be considered. The Swedish system already provides for rehabilitation, but it is remarkably little used and ineffective. Only 46 000 persons out of 262 000 beneficiaries received any rehabilitation in 2000, despite the requirement for employers to submit a rehabilitation analysis to the regional social insurance office within the first eight weeks of sickness. In practice only one in three employers do so, and there is no sanction on non-compliance.

In sum, sickness and disability schemes together contribute to a significant reduction in labour supply. Adopting measures that would one way or another limit access to those who are truly unable to support themselves for health reasons, and encourage the others back into the workforce would not only boost labour supply but also ease the pressures on public finances. Looking ahead, this is a key source of additional labour supply that could be tapped to raise the living standards of all Swedes. The government is actively studying policy reforms to improve the situation, and is expected to propose new measures in the autumn.

Raising participation through more efficient education

Sweden stands out for the slow passage through the education system and into the workforce: Swedish five year-olds can expect to spend longer in initial education than students in any other OECD country. The education system is examined in some detail in Chapter III and a number of inefficiencies are identified. From a labour-supply point of view, these inefficiencies mean that resources are withheld from the labour force longer than necessary, or young people spend a period in the labour force with a lower skill level before getting access to tertiary education. The importance of completing education early is reinforced by the fact that the returns to investment in education decline quite sharply with age and the number of years of working life remaining. This poses a dilemma, since educational attainment is much lower for older workers[52] and the country espouses a strong commitment to lifelong learning.

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The Adult Education Initiative (AEI) is a major programme designed to redress the skills gap in Sweden and is aimed primarily at adults who are unemployed or who lack full three-year upper secondary qualifications. It has set aside 100 000 full-time adult education places per year between 1997 and 2003 to enable those people to upgrade their skills. This, together with active labour market policies, keeps around 4 per cent of the working age population out of the labour force although the AEI programme is being scaled back this year. As noted in the previous *Survey*, active labour market policies need to be carefully targeted on those who really need them and the courses monitored to ensure that they deliver value for money. Active labour market programmes have now been subject to close scrutiny and quite extensively evaluated, and while they help to maintain labour market attachment, only job subsidies have any positive effect on long-term employment prospects (Sianesi, 2002).[53] Such assessment has not yet been undertaken for the AEI, although it is now being examined by the Office for Labour Market Evaluation (IFAU). In any case, both the AEI and active labour market programmes could be scaled back further in the present tight employment situation, especially considering that the backlog of unskilled who are both capable and willing to upgrade their skills has now largely been catered for. Returning these people to the job market would ease the labour supply constraint, whereas extending such programmes would only add to it.

In this context, the proposal for individual learning accounts (see Chapter III) currently before the parliament goes in the wrong direction by providing a modest state subsidy to encourage workers to take time out of the workforce for training. Sweden already has a workforce with a high average skill level and low variance of skills, by international standards (Lynch, 1998). It also already has a relatively high rate of participation in training outside formal education.[54] From a labour-supply point of view, further training and education could only be justified if it would yield a clear return in greater productivity as a result. However, if that were the case, then employers should be willing to fund such skill acquisition either through direct financing or by paying a greater wage premium for more productive and better-performing staff. Allowing greater wage dispersion to develop would send clearer signals about where skills are in short supply and where education and training are truly justified in terms of their contribution to higher living standards over time. It should be noted that Sweden already provides extensive non-vocational adult education, which serves to meet leisure and cultural demands without compromising labour supply.[55]

Hours worked and tax evasion

The contribution of labour to measured GDP depends on both how many people are in the workforce and the average hours they work. Although average hours worked per person in employment rose during much of the 1990s, by 2000

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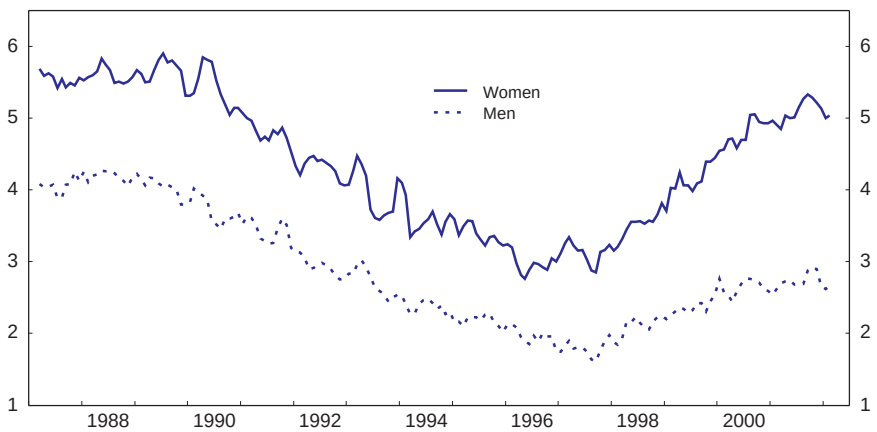
they had started to fall again (see Chapter I). Furthermore, there is a significant groundswell of support for further reductions in working time, and the issue remains on the political agenda. As noted above, there is also a significant gap between average hours worked by men and women, with a high proportion of women working part-time. These trends further reduce the overall capacity of the economy, and therefore the amount of output finally available for distribution among the population as a whole. One factor explaining the decrease in overall hours worked is the increased absence for sickness, which appears to be returning to the high levels pertaining in the late 1980s and early 1990s, especially for women (Figure 30).[56]

Figure 30. **Sickness rates**
Per cent[1]



1. 3-month moving average, seasonally adjusted by the OECD.
Source: Statistics Sweden, Labour Force Survey.

The difference in hours worked outside the home between women and men is to a large extent mirrored by the division of services provided within the household. For example, in 1990-91 among households headed by those aged between 20 and 64, women spent 33 hours per week on domestic activity and only 27 hours in paid work, whereas men spent 20 hours in domestic duties and 41 in paid work. Overall, women took only slightly less leisure time than men. More recent survey data from 2000 is still being processed, but it is unlikely to show dramatic shifts in the distribution of overall activity within the household. In any

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case, it seems unlikely that Swedish adults take more leisure than households in other countries: if anything, the very limited cross-country data available suggests that Swedish households may take slightly less (OECD, 2001e).[57]

Households indeed undertake an unusually large amount of non-market activity, basically carrying out many household maintenance and care tasks themselves. For example, one study of Swedish do-it-yourself activities on household repairs and maintenance in 1997 found that Swedes carried out 80 per cent of minor repairs themselves compared with slightly under 70 per cent for Danes, while for major repairs, Swedes undertook almost 60 per cent themselves compared with less than 40 per cent of Danes (Pedersen, 1998). The value of such work undertaken by Swedish households themselves was around 2¾ per cent of GDP or the equivalent of 60 000 full-time jobs. While some Swedes clearly enjoy such DIY work and would prefer to do it themselves in any case, others would not. The problem becomes acute when economic incentives induce a highly skilled person to work shorter hours in paid work so as to have time to carry out tasks at which they are less adept and that they do not enjoy. This has two economic costs. First, it means that labour resources are being used inefficiently across the economy as a whole and second, the non-market work is untaxed, reducing the tax base and requiring higher taxation on taxable work as a result.

In fact the Swedish tax system may provide a significant part of the explanation for why so much of Swedish activity is carried out within the household instead of through the market, although international comparisons do not show a strong correlation between the total tax burden and the size of the shadow economy. Nevertheless, a Swedish household has to work significantly more hours to be able to pay someone else to carry out work for them than households do in a number of other countries (Table 22). For example, someone earning the average production worker wage (APW) in Sweden would have to work an extra 1½ hours to earn the equivalent income to pay for an hour's labour for someone willing to work for 67 per cent of the APW, 2½ hours to pay a tradesman wanting to earn the equivalent of the APW, and 4¼ hours to pay a tradesman the equivalent of 167 per cent of the APW.

Against this background, it would not be surprising to find that the shadow economy, *i.e.* activity kept outside the tax net, was quite significant. Estimates compiled in Sweden based on National Accounts indicate that the black economy may only amount to around 5 per cent of GDP (National Tax Board, 2001). However, some international estimates using different methods have suggested that it may be as large as 20 per cent of the measured economy (Schneider and Enste, 2000).[58] Whatever the true size of the informal sector, the incentives for the household to attempt to evade taxes are significant, since this reduces the number of extra hours worked to pay someone the APW to between 1 and 1½ hours, depending on how the household and worker agree to split the savings between them, *i.e.* cutting the cost to the household by around half.

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Table 22. **Hours of work required to pay for household services**
2000

	Earned income of 0.67 of APW wage[1]			
	Casual labour		Tradesman	
	Low wage	Average wage	Average wage	High wage
Sweden	**2.2**	**3.2**	**4.0**	**6.7**
Australia	1.5	2.2	2.4	4.0
Canada	1.6	2.5	2.6	4.3
Denmark	2.0	3.0	3.8	6.3
Finland	2.2	3.3	4.0	6.7
France[2]	1.7	2.8	3.4	5.6
Germany	2.7	3.4	4.0	7.6
New Zealand	1.3	1.9	2.1	3.5
United Kingdom	1.6	2.4	2.8	4.8
United States	1.5	2.3	2.3	3.8
	Earned income of APW wage[1]			
	Casual labour		Tradesman	
	Low wage	Average wage	Average wage	High wage
Sweden	**1.4**	**2.1**	**2.6**	**4.3**
Australia	1.0	1.5	1.6	2.7
Canada	1.3	2.0	2.2	3.5
Denmark	1.4	2.0	2.5	4.2
Finland	1.6	2.4	3.0	4.9
France[2]	1.2	1.9	2.3	3.8
Germany	1.8	2.3	2.7	5.1
New Zealand	0.8	1.3	1.4	2.4
United Kingdom	1.1	1.6	1.9	3.2
United States	1.0	1.5	1.5	2.6
	Earned income of 1.67 of APW wage[3]			
	Casual labour		Tradesman	
	Low wage	Average wage	Average wage	High wage
Sweden	**1.1**	**1.6**	**2.0**	**3.3**
Australia	0.8	1.2	1.3	2.1
Canada	0.7	1.0	1.1	1.8
Denmark	1.1	1.6	2.0	3.4
Finland	1.1	1.6	2.0	3.3
France[2]	0.8	1.3	1.6	2.6
Germany	0.9	1.2	1.4	2.7
New Zealand	0.7	1.0	1.1	1.8
United Kingdom	0.6	0.8	1.0	1.7
United States	0.8	1.1	1.1	1.9

Note: APW = Average production worker; casual labour includes both occasional and regular employment by the household; VAT is assumed to be paid at the standard rate on work carried out by a tradesman. These calculations are illustrative only and do not attempt to take account of all country-specific factors.

1. Calculated for a two-earner household with 2 children, where the principal earner earns 100 per cent of the APW wage and the spouse earns 67 per cent of the APW wage.
2. Calculations do not include tax credits on employer social security contributions, which apply to certain types of household work.
3. Single person, no children.

Source: OECD calculations.

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However, this tax evasion is costly because it erodes the tax base, which puts upward pressure on rates and eventually creates a vicious circle. The nature of this can be seen in comparing the current situation with estimates for 1978, which indicated that the shadow economy amounted to only around 13 per cent of recorded GDP (Schneider and Enste, 2000). More concretely, the National Tax Board surveyed public opinion on the specific question of whether using illicit work on a summer house should be punished and those agreeing fell from 40 per cent in 1995 to only 27 per cent in 2001 (National Tax Board, 2001). Furthermore, 8 per cent of Swedish residents surveyed in 2001 admitted that they had at least once during the previous year hired someone to do illicit work on their behalf: and 23 per cent of those earning a monthly income above SEK 30 000 per month (approximately 67 per cent above the average production worker wage) had done so.[59] The problem does not seem to be confined to households employing "black labour": 14 per cent of all firms reported employees requesting non-declared salary payments, while 16 per cent of companies claim they face significant competition from other companies in their sector that are evading tax (Table 23). The Swedish public consider that the most likely reason for tax fraud is that taxes are too high, followed by a belief that the better-off do not "follow the norms in society" (Table 24). However, the perceived ease of evasion also seems to be an issue,[60] suggesting that tighter controls and increased anti-fraud measures might in any case be warranted.

Table 23. **Tax evasion in the business sector**

	Per cent of all companies in sector
A. Percentage of companies that face significant competition from others evading tax	
Construction	37
Restaurants	38
Taxis	31
Haulage contractors	43
Cleaning	54
Hairdressers	64
All companies	16
B. Employees requesting "black" salary payments	
Agriculture, forestry and fishing	23
Mining, manufacturing	13
Construction	21
Wholesale and retail trade	6
Hotels and restaurants	35
Transport	35
Real estate and business services	9
Education, health, etc.	16
All	14

Note: 30 per cent responded "don't know".
Source: National Tax Board.

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Table 24. **Reasons for tax fraud**
Public opinions surveyed, 2001

	Agree	Disagree
Taxes are too high	67	10
Persons in high positions do not follow the norms in society	63	9
Solidarity in society is low	51	13
Tax income is wrongly spent	45	23
Taxpayer speculation: testing if evasion will be detected	42	14
Sanctions/punishments are inefficient	36	17
Possibility of being caught is low	34	17
Tax rules are complicated	34	27
People believe that "everybody else" is cheating	31	25
Other reasons	12	5

Source: National Tax Board.

Tax policies

Income taxes are indeed high in Sweden, notwithstanding the significant rate reductions made over the last three years. The average tax wedge, *i.e.* the difference between the labour cost to employers and the net income received by the worker, for a single worker with no children was almost 50 per cent for Sweden at the average production worker wage (APW) in 2000, the fourth highest in the OECD (Figure 31), while the marginal tax wedge at the APW was 51.3 per cent, rising to 62.7 per cent for someone earning 167 per cent of the APW (Figure 32). This marginal wedge would increase further for those who have reached the second step of the state income tax rate, payable on taxable earnings above SEK 390 400 in 2001.

The government's main priority for tax reform has been to reduce marginal tax rates through tax credits for employees' social security contributions. This is a four-step programme, and the third step, increasing the deduction from 50 per cent to 75 per cent, was implemented in 2002. This has reduced average tax rates for all earners, but it only reduces marginal tax rates for those below the ceiling for social security contributions (approximately SEK 300 000 per year) making the income tax scale more progressive as a result.[61] However, the government has also raised the threshold for payment of state income tax in order to reduce to 17 per cent the number of taxpayers facing this tax, in line with its objective of gradually reducing those taxpayers incurring this tax to 15 per cent.

Nevertheless, for certain families, marginal effective tax rates (METRs),[62] which combine the effect of income tax rates, social security contributions and the abatement of income-linked housing allowances, are very high. The marginal excess burden, *i.e.* the welfare loss to society associated with raising an additional kroner of tax revenue, rises sharply as the METR increases. According to IMF

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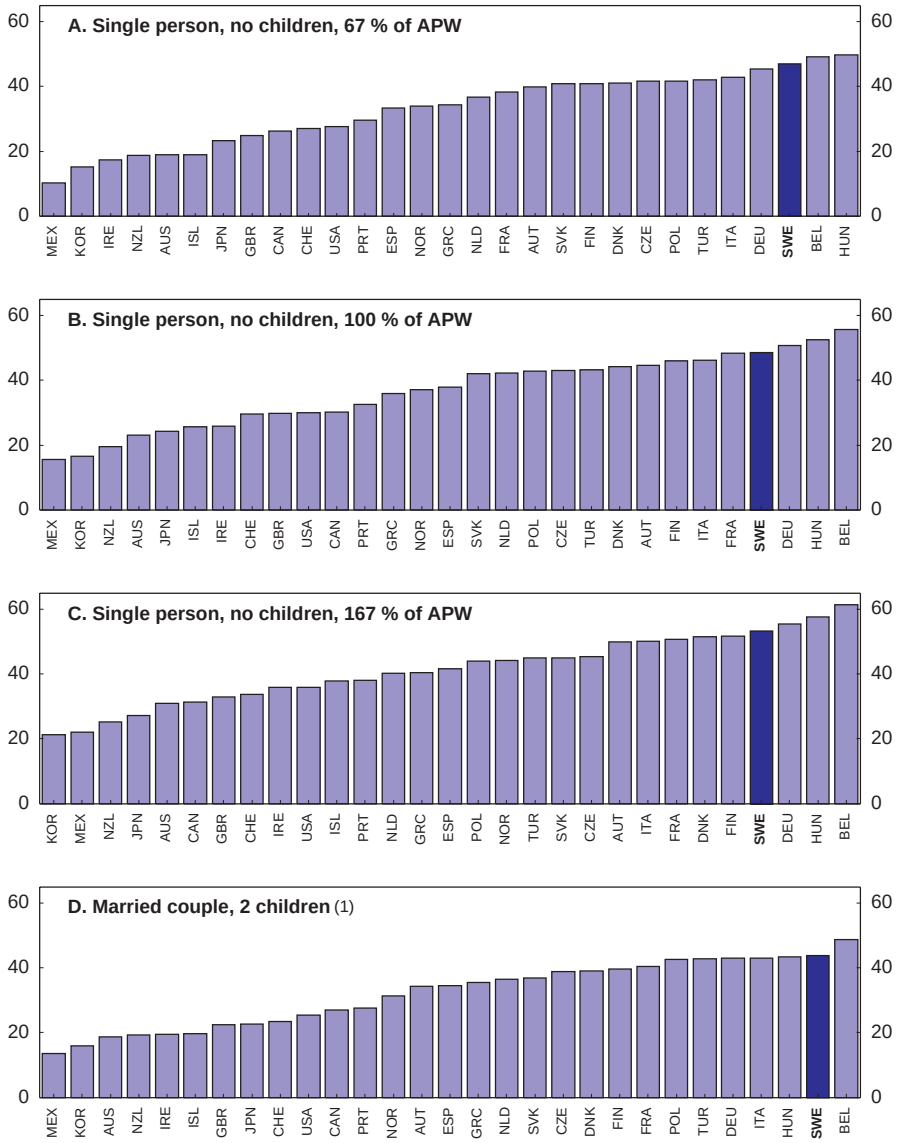
Figure 31. **Average tax wedges**
Per cent of labour costs, 2001



1. Two-earner family, where the principal earner earns 100 per cent of APW and the spouse 67 per cent of APW.
Source: OECD.

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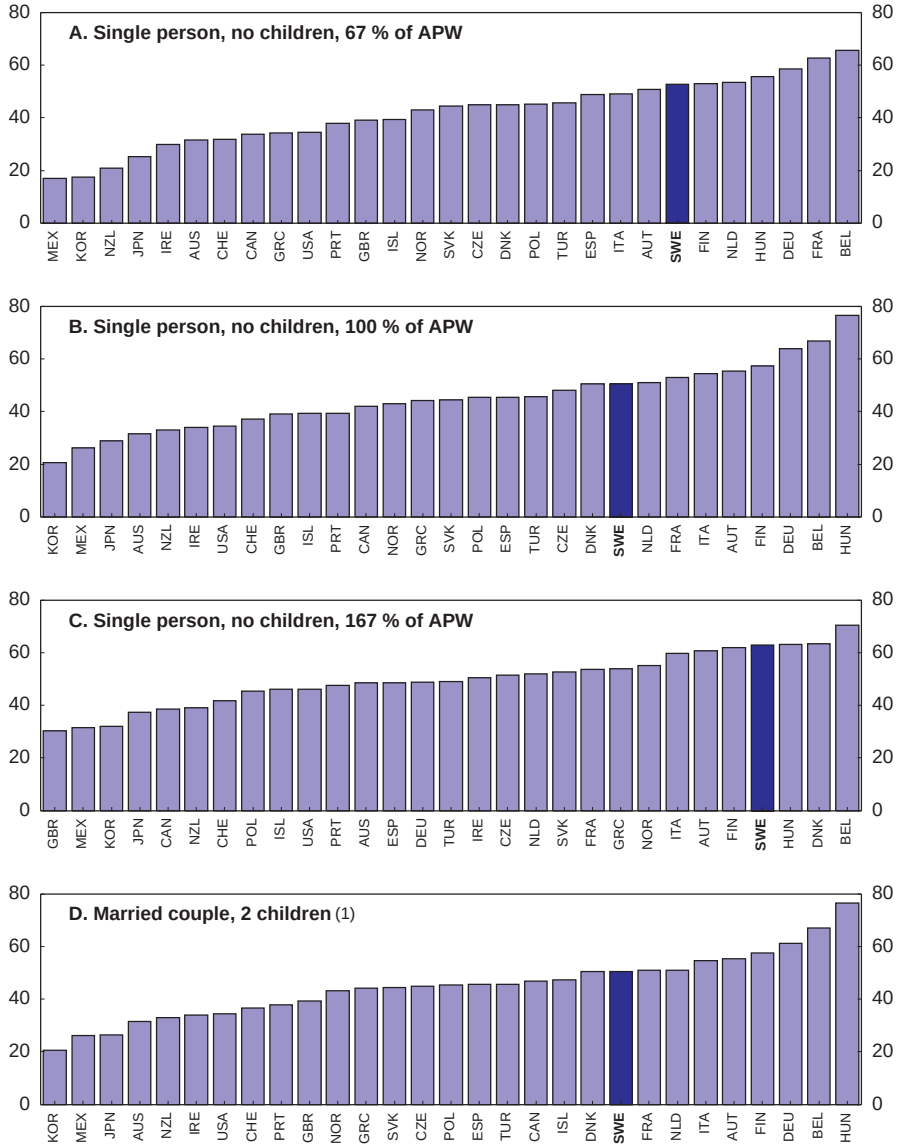
Figure 32. **Marginal tax wedges**
Per cent of labour costs, 2001



1. 1. Two-earner family, where the principal earner earns 100 per cent of APW and the spouse 67 per cent of APW.
Source: OECD.

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estimates for Sweden, the marginal excess burden at an METR of 35 per cent would be plausibly in the range of 3 to 15 øre[63] for each additional SEK of revenue raised, for an METR of 60 per cent it could lie between 8 and 57 øre; and by 80 per cent it could be between 23 øre and 12.5 krona (IMF, 2001). Reducing METRs would, therefore, generate significant gains to society. There are four main household types with different METR profiles (Figure 33):

- For households without children, assuming the average municipal tax rate, METRs vary between around 24 per cent and 35 per cent, at different income levels up to the point where state tax must be paid. Above this income, METRs rise to 50 per cent and then 55 per cent.
- For single parent households receiving the housing allowance, METRs rise to as high as 55 per cent at SEK 117 000, which is around half the APW wage. The housing allowances then start to abate at a 20 per cent rate and METRs climb to around 70 per cent at earned income levels only slightly above the APW wage, before dropping back again to 50 per cent once the housing allowances are eliminated.
- For two-parent households with children, the allowance starts abating at a rate of 20 per cent but from a lower level of SEK 58 500 per year for either earner so that they face METRs of above 50 per cent over most incomes above SEK 58 500.
- For single people under 28 there are special housing allowance provisions which abate at 33 per cent as income increases, from a lower annual threshold of SEK 41 000. This produces a very high METRs of around 64 per cent up to SEK 70 000 and 57 per cent up to SEK 80 000.

The main formula for calculating housing allowances (see Box 9) includes an income abatement rate of 20 per cent, which must be added to whatever marginal tax rate(s) the household faces. At the same time these same households also receive child benefits which are neither income dependent, nor taxable. A more straightforward approach, which would eliminate both the impact of the housing allowance abatement on METRs and the current administration costs, could be to gross up the child benefits and make them taxable. Such a proposal was put forward by the IMF last year. For those families currently receiving the housing allowance, it could at a stroke reduce METRs by 20 percentage points, which in terms of excess burden would be a considerable enhancement to economic welfare. If the benefits were made taxable, then for households with above average earnings, a larger portion of the benefits would be clawed back.[64] However, child allowances are paid to many households that do not receive housing allowances, so that providing universal coverage *via* child benefits at the level that would avoid reducing incomes for those currently receiving the housing allowance could prove financially expensive and would reverse the trend of reducing the number of households eligible for these payments.

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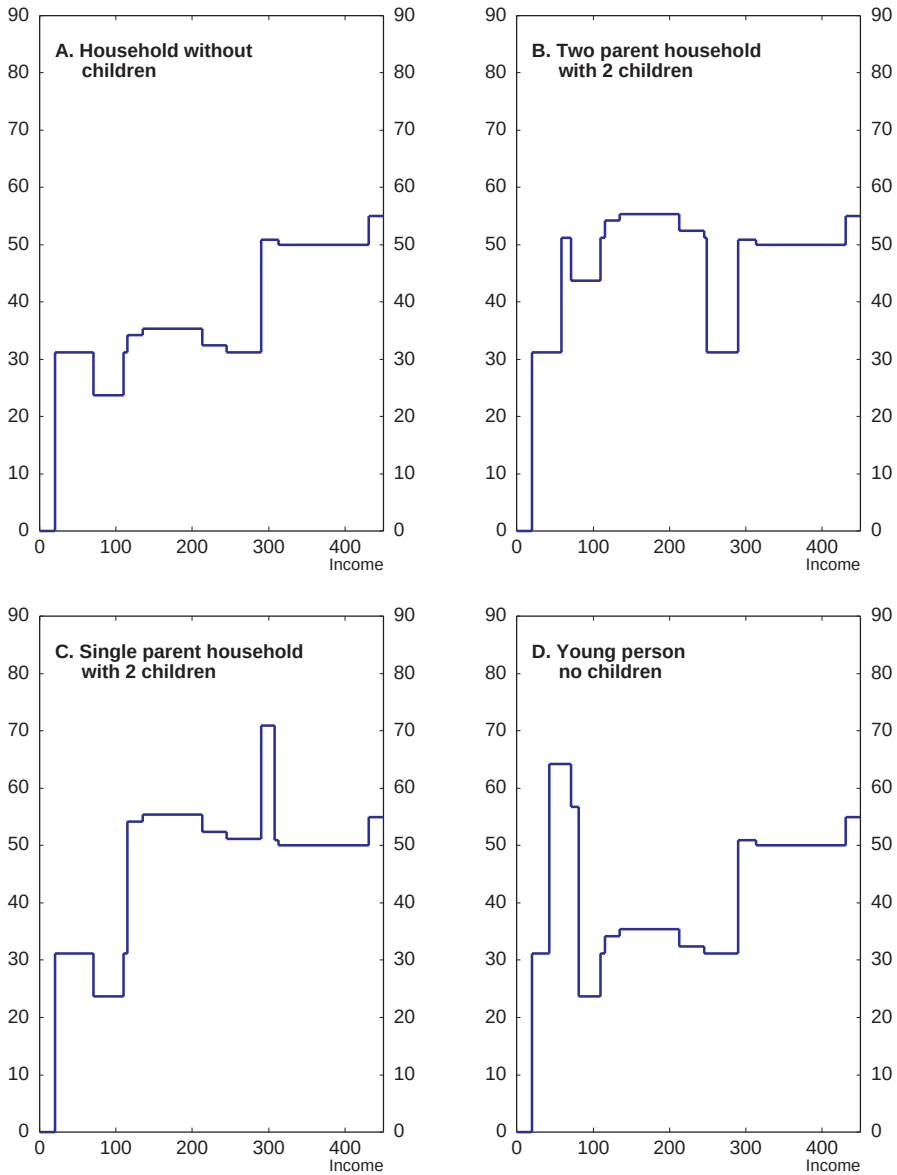
Figure 33. **Marginal effective tax rates**

Per cent



Source: Ministry of Finance and OECD calculations.

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Box 9. Calculating housing allowances

The housing allowances are mainly provided to assist families with children, and to young people, but they deliver financial support in a very complicated fashion. They involve a formula that takes into account the age of the recipient, the number of children, housing costs and income.

Since 1997, the new system for verifying income requires applicants to estimate what they will earn over the following year and a preliminary housing allowance is paid on that basis. At the end of the year, projected incomes are cross-checked with taxed income, the final housing benefit entitlement established and a balancing adjustment made. Those who earned more than they estimated are required to pay back the balance, while those that underestimated receive the difference together with interest on it.

Estimated incomes are on average 93 per cent of taxable incomes, and each reconciliation generates a large number of settlement payments in each direction. Payments were made to an estimated 328 000 households in 2001, at an average sum per household of SEK 12 500, with the bulk of payments being made to single-parent households. The formula is designed so that a married or cohabiting couple get less if the income is unevenly distributed between the partners; this was done to promote gender equality.

A less distortionary alternative to the housing allowance could help to reduce the effective marginal tax rates faced by certain low-income households. An immediate priority would be to target the allowance more tightly on single parent families. One option could be to provide a supplement to the child benefit for single parents, but this would need to be carefully designed to avoid inadvertently encouraging single parent status. Another option could be to fold the housing allowance into the existing maintenance support systems. The present maximum maintenance support level could be raised to take account of the loss of housing allowances and the same income and needs tests currently applied to establish the maintenance obligation of the other parent could serve dual duty, with the balance paid by the state, as already occurs. This approach may still lead to some disincentives on contributing parents to earn more money, but in principle, at least, it should not be any worse than those already embodied in the present maintenance support system. In any case, further study of alternatives is warranted. Housing allowances for young people without children however, seem to be something of an anomaly and could be phased out altogether, especially as this support may provide a strong disincentive to fully engage in the workforce at entry levels. Current recipients could reasonably be expected to rely more on their own resources, as they do in many countries, and to the extent that there are

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concerns about youth poverty, these could be addressed in ways that are de-coupled from housing and that strengthen incentives to work (for example, an earned income tax credit).

The basic allowance is a particular quirk of the Swedish income tax system. The basic allowance has an odd profile at the lower end of the income scale, which distorts METRs. In 2001, the minimum allowance was SEK 10 000, then for earnings between SEK 68 700 and SEK 106 400 it gradually rises to a maximum of SEK 19 500, before gradually tapering off again back to the minimum level at SEK 206 900. At the every least, the basic allowance could be simplified. An even better approach would be to abolish the basic allowance and convert it to a tax credit or establish a zero rate for the first tax bracket. Either of these approaches would give the same deduction to all taxpayers instead of the present allowance that is worth more to higher income earners.

The state tax has two rates, 20 per cent for incomes from SEK 290 100 and 25 per cent on earnings above SEK 430 900 in 2002. These rates apply in addition to the proportional municipal and county taxes, and result in METRs of 50 and 55 per cent, respectively, assuming average local tax rates. These taxes could be significantly reduced for very little revenue loss, even if no account is taken of a possible labour supply response. For example, raising the threshold by SEK 18 600 in 2002 is estimated to reduce tax revenue by SEK 2.4 billion; this is around two-thirds of the cost of the decision to reinstate the deduction of trade union dues. Eliminating the 25 per cent top rate would incur a maximum loss of government revenue of around SEK 3 billion, which amounts to 0.3 per cent of general government revenues. Going further requires a trade-off between raising the threshold, so as to reduce the numbers facing state taxes or concentrating instead on lowering the state income tax rate. The government's strategy is to concentrate on the former, with the objective of gradually reducing the number of taxpayers subject to state taxes to 15 per cent. However, given that the total revenue from state income taxes amounts to less than 1½ per cent of GDP, the economic advantages of abolishing the state income tax altogether should be considered.

Such a reduction in government revenue could be offset by increasing the effective VAT rate. Although the official VAT rate is 25 per cent, one of the highest in the OECD, the effective rate (*i.e.* VAT revenues as a percentage of private consumption) is only around 17½ per cent. Raising the effective rate by only 1 percentage point would generate around some SEK 10 billion additional revenue (½ per cent of GDP) as well as reducing the degree of distortion in the consumption choices of households arising from the impact of VAT on relative prices favouring some products and services at the expense of others (Joumard, 2001). However, the government's decision to reduce the VAT payable on books and periodicals from 25 per cent to 6 per cent in the Budget for 2002 goes in the opposite direction, and is estimated to cost SEK 1.3 billion. Although ostensibly done to promote reading, it

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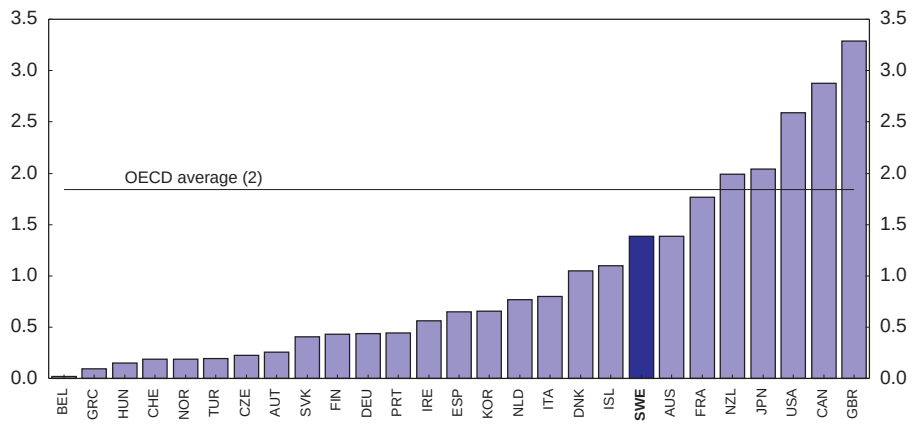
is unclear why this would be the most economically efficient way to achieve this goal and it carries a large dead-weight loss by simply providing books and periodicals more cheaply to those who would buy them anyway. It also risks increasing pressure from other groups seeking special VAT treatment for their sector.

Real estate taxation is another area where reductions have been made. Property is taxed on an assessed value approximately equal to 75 per cent of the market value. With the sharp increases in house and apartment prices (see below), property owners' tax bills have increased considerably where prices have risen the most. To lower these tax payments in 2001, the Parliament lowered the tax rate on houses from 1.5 per cent of assessed value to 1.0 per cent and the tax on apartment buildings from 1.2 per cent to 0.5 per cent. In addition the government has proposed a limitation rule such that households will pay no more than 5 per cent of income in real estate tax and has foreshadowed new rules that will delay the linkage between higher tax assessed values and the real estate tax actually levied.

These moves may be popular but they are not well-grounded in economic logic, which would suggest that property taxes should generally be strengthened primarily because real estate is the least mobile of all tax bases (Van den Noord and Heady, 2001). Well designed taxes on real estate also do less to distort economic behaviour than do many other taxes including taxes on labour income. Indeed Swedish property taxes were already lower as a per cent of GDP than in many countries (Figure 34). These latest measures would take it under 1 per cent

Figure 34. **Recurrent taxes on immovable property**
Per cent of GDP, 2000[1]



1. 1999 for Australia and United States.
2. 27 countries; weighted by the 1997 GDP at PPPs.
Source: OECD, *Revenue Statistics.*

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of GDP. Raising these revenues to 2 per cent of GDP, *i.e.* around the OECD average, would generate an additional SEK 22 billion in tax revenue, which could in turn be used to reduce taxes on earned income. It would also reduce distortions *vis-à-vis* taxation on other capital assets. Furthermore, the imposition of the maximum payment as a percentage of income creates perverse incentives, by encouraging the acquisition of high value housing relative to income. For someone close to the property tax ceiling, this adds an extra 5 percentage points to the marginal effective tax rate on labour income, presenting a further negative inducement to additional work.[65]

The housing market

A well functioning housing market with a diversified supply of different kinds of tenure is likely to be important for overall economic performance, in particular by fostering labour market mobility and encouraging construction activity in response to demand in growth regions. Optimal resource allocation for housing also depends on market-based price setting and good regulation. Any social objectives should preferably be pursued in ways that do not distort the price mechanism.

Swedish housing policy falls short in these respects. It has traditionally been a key policy objective to provide "affordable" and good-quality dwellings for everybody, irrespective of income. Thus, distributional concerns as well as security of tenure and prevention of segregation have all been important in shaping housing policies. The main instruments applied have been rent regulation, extensive tenure rights and – until the early 1990s – large public subsidies. The 1991 tax reform significantly reduced the tax subsidies for owner-occupied and co-operative dwellings, and the previous, very generous interest allowances were largely abolished, starting in 1993 (Table 25). The result was a sharp increase

Table 25. **Direct government housing subsidies, 1988-2000**

	1988	1990	1992	1994	1996	1998	2000
	Billion SEK						
Interest allowances	15.2	22.9	33.8	32.6	27.8	10.8	3.9
Rent allowances	2.7	3.1	5.9	8.7	8.4	5.7	4.6
Total	**18.0**	**26.0**	**39.8**	**41.3**	**36.2**	**16.6**	**8.5**
Per cent of GDP	1.6	1.8	2.7	2.6	2.1	0.9	0.4
	Per cent						
Memorandum item:							
The housing component's weight in the consumer price index	17.3	21.1	26.9	29.0	30.3	29.5	29.5

Source: Statistics Sweden.

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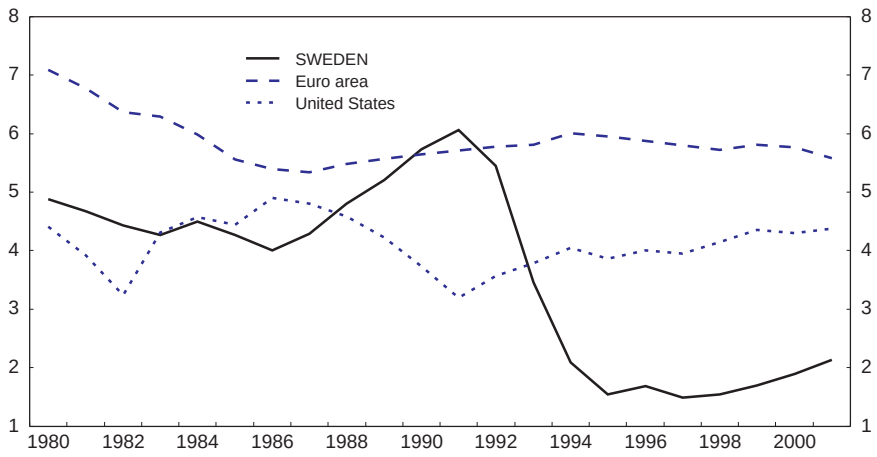
in the user costs for all tenures, manifest, for example, in the fact that the weight of the housing component in the consumer price index rose from 21 per cent around 1990 to 30 per cent six years later.[66] The withdrawal of subsidies was immediately apparent in falling real estate prices and a collapse in residential investment over the first half of the decade.

There is no doubt that housing subsidies had previously been overly generous and had led to over-investment, particularly in public rental housing, in certain low-growth regions. Excess housing capacity is still common in sparsely populated parts of the country. However, the upswing since 1997, which has been driven in particular by growth in the urban areas, has resulted in a remarkable dichotomy on the housing market. The demand for housing in the growing city areas has increased rapidly, which is manifest in surging house prices, rationing of cheap rental dwellings and spreading black-market activities. These are all signs of mounting pressure or outright overheating. Yet the supply response has been surprisingly weak, and despite some pick-up of late, residential investments remain extremely subdued by historical and international standards (Figure 35). This section seeks to explain the background for this situation and points to a number of economic problems that could emerge or intensify if it persists. A number of policy measures that could help to unwind the current housing market deadlock are then proposed.

Figure 35. **Residential investment in Sweden, the euro area and the United States**
Per cent of GDP



Source: OECD.

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The rental housing market

There is strong evidence that severe imbalances have indeed emerged in the rental sector:

- Discrepancies have built up between the supply and demand of housing across the country as inter-regional migration flows have intensified over the past decade. The net flow has been from north to south and, in particular, from sparsely populated parts of the country to the larger metropolitan areas and university cities.[67]
- The rent negotiation system (see Box 10) is not geared to accommodating big demand shocks stemming from such regional disparities, because of the rigidity of the cost-determined average rent. In areas with net emigration, many municipal housing companies still struggle with high vacancy rates, and they are increasingly demolishing dwellings, thereby very clearly exposing the costs of misallocation of resources (Figure 36). In contrast, rationing is becoming more widespread in regions with increasing demand, reinforced by the fact that very little construction activity is going on.
- In areas with increasing overall demand for housing, rents are typically set further below the market-clearing level in the inner cities than in the peripheries. This has been the case particularly in Stockholm. In principle this could be rectified locally through the negotiation system, but none of the actors have any incentive to do this.

The artificially low rents in the high-growth regions resulting from the collective rent setting system distorts the functioning of the housing market in several ways, in some cases through a complex interplay with other regulatory shortcomings:

- *First*, it reduces the return on investing in rental dwellings in the areas where these are most needed (see below).
- *Second*, there is little or no incentive for those favoured with cheap accommodation (*i.e.* priced below its market value) to give up this privilege, even if the dwelling does not strictly match their underlying demand. This tends to reduce turnover and impede entry to the rental market, with detrimental effects on labour mobility. In any case, the allocation of low-rent dwellings tends to resemble a lottery.
- Along the same line, search costs (for example, in terms of time spent) obviously increase, and even pecuniary moving costs may increase if black market activities spread. Anecdotal evidence and media reports suggest that such activities are becoming a concern, particularly in Stockholm and the issue has even been broached by the housing minister.[68] Existing tenants have strong and protected rights of possession

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Box 10. Rent setting in the rental housing market

Rental housing accounts for approximately one-third of the total stock, 60 per cent of which is owned by municipal housing companies. Rent setting in the public housing sector is regulated through a legally-imposed collective negotiation system under which annual bargaining takes place between local tenants' organisations and local municipal housing companies (MHCs), which are organised as independent limited-liability companies. Although not operating on a strict non-profit basis, there are narrow limits on the profits MHCs are allowed to make. Therefore, total rent revenues have to follow total costs quite closely for each individual company, which means that an important part of the negotiations is about the rent structure.

According to the Rent Act, rents are intended to reflect the so-called *use value* of the dwelling, which is to be understood as the value the median tenant would attach to it. Rents in the private rental sector are also set through negotiations, in this case between the local tenants' organisation and the local association of private landlords, and by the *use value* principle. This means that private dwellings are compared with those in the social housing sector and that rents in the latter effectively determine the level in the private sector as well. The *use value* principle applies even when an otherwise owner-occupied dwelling is rented out. Tenants have an unrestricted right to have the appropriateness of the rent determined by the public rent tribunal.

One way to describe this process of rent negotiation is that the insiders determine the rent structure around a cost-determined average, while the valuations and willingness to pay of the outsiders (potential entrants) play no role. The system effectively prevents any individual negotiation over rents. There are at least two reasons why rents set this way could deviate from what would result under market-based rents. *First*, it will generally not be the case that MHCs costs evolve in parallel with the trend in local demand. *Second*, it would be equally unlikely that the rent structure set by the insiders would take account of the preferences of outsiders.

relative to owners, and sub-let apartments are relatively common. Although the rent regulation also applies to sub-let apartments, this is not being effectively enforced, and a large gap between the controlled rents and the market rent provides a strong incentive for tenants to circumvent the rules.

– *Finally*, the rent regulation encourages private landlords to convert rental apartments to condominiums. The fact that the price setting for owner-occupied and co-operative housing is unregulated creates an economic rent, which can be split between the landlord and the incumbent tenant. This economic rent even goes untaxed, which would

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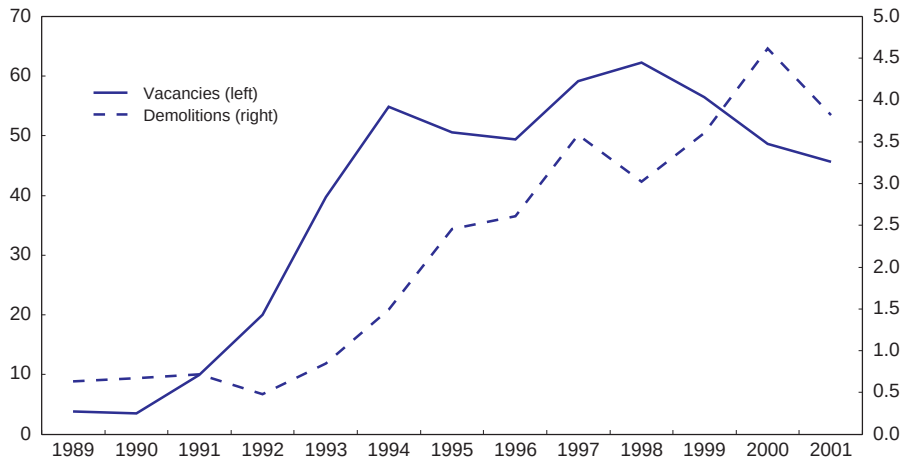
Figure 36. **Vacancies and demolitions in the public housing sector**

Thousands



Source: Statistics Sweden.

appear very difficult to justify. Dwellings owned by MHCs can also be converted into condominiums or co-operative ownership, but the economic incentive for the municipalities is less obvious, as the capital must remain in the MHCs. There is no overall recording of the scale of conversions of rental dwellings, but in Stockholm it concerned some 31 000 dwellings over the course of the 1990s with a sharp acceleration in the most recent years.[69]

Residential construction and suppressed housing demand

Despite vigorous growth in GDP and rapidly rising house prices since 1997, housing investments have remained subdued at below 2 per cent of GDP throughout (Figure 37). This is also extremely low by international standards; the average level in the OECD area has been stable at around 5-6 per cent of GDP for many years and – with the exception of Norway – no other OECD country has been devoting less than 3 per cent of GDP to housing investment (Figure 38). These differences cannot be explained by demographic developments: the Swedish authorities have estimated that 25-30 000 dwellings need to be completed each year in order to accommodate the underlying demographic needs, determined primarily by the inter-regional migration pattern. But currently only around 15-18 000 dwellings are actually completed per year.

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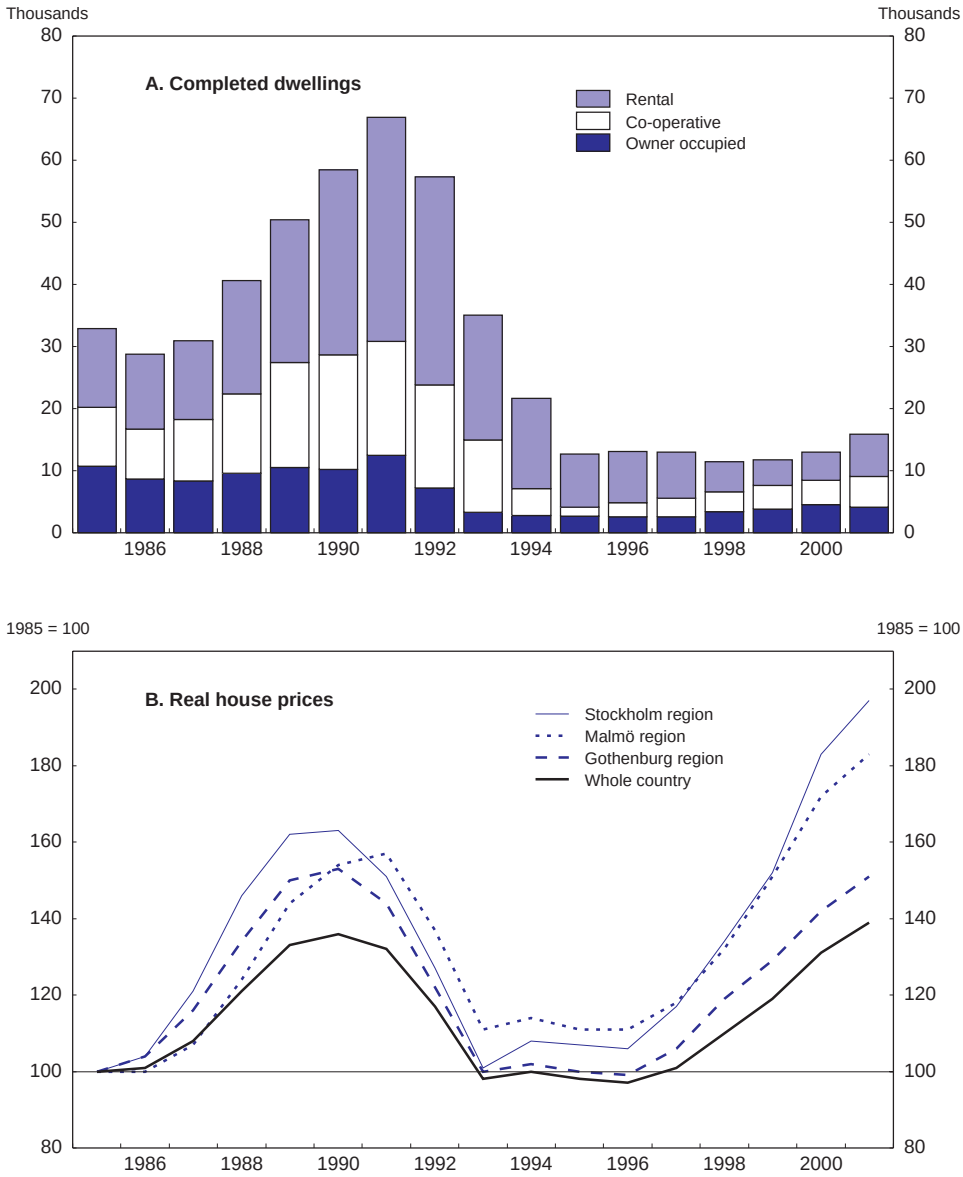
Figure 37. **Completed dwellings and real house prices**



Source: Statistics Sweden; OECD.

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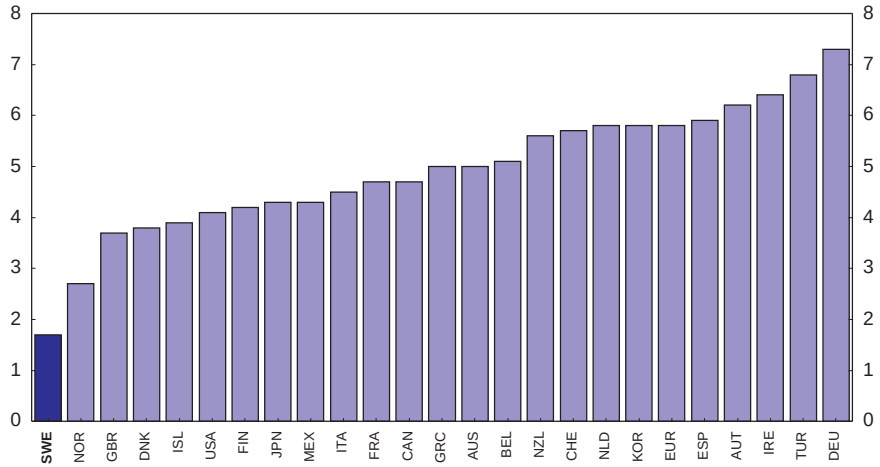
Figure 38. **Residential investment in OECD countries**
Per cent of GDP, average 1995-2001



Source: OECD.

The housing markets in the greater metropolitan areas, notably Stockholm, are by now characterised by excess demand.[70] The rapid increase in housing demand around the biggest cities is fuelled by the fact that expanding industries, often in the private services sector, tend to locate themselves in the proximity to university cities, as they typically demand highly-skilled staff. This is a contributing factor behind the demographic surplus (*i.e.* net inflow of people) of ¾ per cent per year in these regions. The excess demand situation would not be a cause for concern if construction activity rose in response but it has not done so, and demand may be suppressed. This would, in turn, have detrimental effects on two counts.

- *First*, it would impede growth by making it more difficult and expensive for companies to attract the staff they need. In particular, the shortage of accommodation facing potential newcomers may easily cause labour mobility to suffer, and disparities in employment and unemployment rates across regions may persist unnecessarily.
- *Second*, if construction activity remains below the underlying demand, upward pressure on house prices is likely to intensify, which in the worst case might turn into a bubble. If that were to happen, it could cause already-high inflation in construction costs (including wages) to accelerate further. Moreover, it might prompt an unsustainable decline in households' saving rate through the wealth effect. The subsequent unwinding of such imbalances might well be painful and disruptive.

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Options for reform

The government has so far abstained from reforms that could improve the efficiency of allocation in the rental sector. It has acknowledged that the low level of residential investment is problematic, but it has not, as yet, embarked on fundamental reforms. Instead, it has allocated SEK 2½ billion in construction subsidies to be used until 2004. Although priority is given to the growth regions, such action, which is reminiscent of policies from the past, is not a solution. Instead, a menu for reform should include:

- Liberalisation of the rent regulation, as a top priority. At present, private investment in rental housing is unprofitable in the growth centres due to the simple fact that investors need to pay market prices for land sites and cover construction costs but cannot charge market rents. A first step would be to allow market-based rent-setting for those dwellings to be completed in the future. This would be an important step towards eliminating the distortionary effect on new construction. However, a better allocation of the existing housing stock also needs to be fostered by a more comprehensive liberalisation. This should involve a reconsideration of the current extensive tenure rights, including tenants' rights to sublet dwellings. The distributional arguments for maintaining the strict regulation of rents are relatively weak. The cheap dwellings in attractive areas do not necessarily benefit low-income groups more than others, and in any case they are compromised by the spreading use of subletting and black-market activities, which tend to harm low-income groups. Moving towards market-based rents would probably be capitalised into the selling prices of rental dwellings and any economic rent that landlords would obtain should be taxed at a high rate.
- It may require more than abandoning rent regulation to make private investment in rental housing profitable. Further analysis is required to assess whether other rules, for example in the tax system, discourage such investments. Particular attention should be given to incentives on pension funds to invest in rental dwellings. Finally, if there are any problems of availability of capital from the financial sector, the sources of these should be identified and the issues involved be addressed.
- The planning process, which is fully within the purview of the municipalities, may also be part of the problem. While the municipalities have a legal responsibility "to provide adequate housing", the government has criticised them for not supplying enough suitable land sites. One interesting issue in this context is the fact that Sweden is unusual in not having a municipal property tax. Introducing such a tax could strengthen municipalities' incentives to parcel out land sites, even if such a tax base were integrated to some extent in the inter-municipal equalisation scheme.

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High construction costs are widely seen as a barrier for attracting capital to residential investment, and such costs have risen as much as 20 per cent in just the last three years. Part of the problem seems to be relatively high nominal wage increases in the construction sector; since 1998 hourly earnings in this sector have risen ½ percentage point faster per year than for the economy as a whole. But unemployment among construction workers, at almost 10 per cent in 2001, is more than twice the average unemployment rate, providing a clear sign of structural weaknesses in the wage formation process. Regional data on construction workers' unemployment rate is not available. However, one possible hypothesis is that unemployment is particularly high in low-growth areas, where construction activity was high until the early 1990s, but that differences in living costs and generous unemployment benefits (not least in terms of duration) give very little incentive to move to work in high-growth areas. If so, unemployment generosity would need to be reconsidered. In addition, weak competition in the construction sector and the building materials industry probably contributes to the high level of construction costs. Labour productivity has declined since the mid-1990s, contributing to average increases in unit labour costs above 4 per cent per year. The concentration of activity in these sectors is high, and entry of new firms – domestic or foreign – is rare. The possible solutions to this problem are not obvious, but a first step would be to assess thoroughly the issues involved. Part of the problem might be the absence of sufficiently big players on the demand side that could put downward pressure on prices. Pension funds might be able to play that role if they were given adequate incentives to invest in housing.

Conclusion and policy recommendations

Sweden faces a major challenge in raising its labour supply to maintain growth in living standards in the face of increasing dependency ratios associated with an ageing population and to meet the costs of a generous social welfare system (see Chapter III). This is to some extent a gender issue: women are less likely to participate in the work-force than men, across virtually all age groups, while those who do work, generally work lower hours. At the same time, Sweden has a high proportion of informal work and it would appear that black market activity is becoming an increasing concern.

Boosting labour market participation requires action on several fronts. Raising the effective retirement age should be an urgent priority and the widespread public perception that older workers should retire before 65 should be firmly rebutted. Since the sickness benefit and disability pension exit routes are so often taken, access to these schemes should be significantly tightened and their effective generosity reduced. Raising participation in the work-force could also be achieved by truncating the time spent in acquiring initial education so that Swedish young people can enter the job market with their qualifications at an age closer to the OECD average, while taking adults out of the labour force for further education should be limited to situations where there is a clear, demonstrable

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gain in productivity. Active labour market policies are no longer required to maintain attachment in the present labour market situation and should be scaled back. The Adult Education Initiative should also be subject to rigorous evaluation and extension should not be contemplated. The proposed individual savings account is unhelpful and seems to go in the opposite direction by encouraging withdrawal from the labour force for training of what may be unclear merit. Greater wage dispersion would help to identify where training is worthwhile, as well as provide stronger incentives of persons to undertake such training.

Sweden is facing declining average hours of work, which reduces the available labour supply. The public discussion needs to recognise the adverse consequences of further reductions for national output and thus living standards, and unrealistic expectations that hours could be cut further in coming years should be discouraged. However, the incentives leading to downward pressure on hours also need to be addressed. This mainly requires addressing the high taxation of labour, which makes "doing-it-yourself" so much less expensive for the household than using market-based services, even though contracting out would represent a more efficient use of resources overall. Furthermore, Sweden has a non-negligible "black economy", which is eroding the tax base. Tax reforms need to concentrate on reducing the incentives to devote less hours to market-based work, essentially by reducing marginal effective tax rates (METRs) where they are highest. Once the last step of the current tax reform programme has been taken, further efforts should concentrate on reducing the damaging incentive effects from the income-tested housing allowances and lowering the state tax rate or raising its threshold.

The housing sector presents significant challenges and will require a multi-pronged approach. The top priority is to liberalise the effective rent regulation, starting with allowing investors in newly completed buildings to set market rents. This would immediately provide a stronger incentive for expanding the stock of private rental accommodation. Progressively expanding market-based rents to the rest of the housing market would lead to a better allocation of the existing housing stock. Although it is difficult to estimate how much rents might rise, given the current extent of sub-letting and black market rents, windfall gains by current landlords should be taxed at a high rate. Other obstacles which inhibit the housing market from functioning efficiently, including tax rules on housing investment, availability of suitable sites and high construction costs all merit further examination.

Overall, the Swedish economy has reaped the benefits of earlier structural reforms, but the pace of reform has slackened. Some recent moves have gone in the opposite direction and may undermine economic performance in the future. In some areas the Swedish government is pursuing its objectives in rather inefficient ways and significant gains in economic welfare could be achieved by implementing policies in a more rational manner. Previous surveys have included recommendations across a wide range of policy areas. Progress on implementing such reforms and an updated summary of recommendations are contained in Table 26.

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Table 26. **Structural policy recommendations**

This table follows up on proposals from earlier *Surveys* and summarises new recommendations

	Recommendations	Actions taken
	Labour markets	
1999	Lower replacement rates in UI to allow the wage structure to adapt to differences in unemployment risk.	Effective replacement rates have been raised instead of lowered.
2001	Identify and implement ways of limiting the damage to third parties from industrial action.	No action.
2001	Ease Employment Protection Legislation further.	No action.
2001	Reduce generosity of part-time unemployment benefits.	Some tightening of administrative controls, but no action on benefit generosity.
2001	Enforce the Activity Guarantee rigorously, including firm sanctions for non-compliance. Add a time limit to the activity guarantee.	No action.
2001	Significantly reduce the use of ALMPs outside the framework of the Activity Guarantee and ensure a sizeable overall downscaling. Evaluate programmes rigorously and eliminate poorly performing ones.	Programmes are being evaluated by IFAU, but further downscaling of ALMPs remains necessary.
2001	Strengthen basic-skills acquisition at compulsory school level, and make further efforts to stimulate quality improvements without increasing unit costs.	Additional public funds have been allocated to primary schooling, and pre-school classes will be made available to 4 and 5 year olds from 2003.
2001	Encourage quicker completion of tertiary education through less generous grants and promoting the acceptability of higher wage premiums for increased educational attainment.	Tertiary completion rates seem to be falling. Grants have not been trimmed and wage premiums for educational qualifications remain low.
2001	Resist reductions in working time.	The issue is still under consideration by a government commission. Meanwhile, the three-year collective agreements from 2001 embodied annual working time reductions of 0.5 per cent in the private sector.
2002	Reconsider the proposed introduction of individual learning accounts; encourage greater wage dispersion for skills instead.	–
	Social benefits	
1999	Improve the incentive structure for sickness benefits by placing more responsibility on employers and employees.	No action.
1999	Introduce upper limits to the duration of sickness and unemployment insurance benefits.	No action.
2002	Integrate sickness and disability schemes, strengthen administrative controls and place more emphasis on rehabilitation and returning beneficiaries to the workforce.	–

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Table 26. **Structural policy recommendations** (*cont.*)

This table follows up on proposals from earlier *Surveys* and summarises new recommendations

	Recommendations	Actions taken
2002	Reduce the effective replacement rate on sickness and disability that arises *inter alia* from housing supplements and payment of pension contributions on top of benefits.	–
	Tax policies	
1999	Remove wealth taxation.	Thresholds have been raised, significantly reducing the incidence of wealth taxation.
2001	Average marginal tax rates should continue being reduced, as part of a broad package of measures covering taxation of earned and capital income. In the current conjuncture, net reductions should also be matched by expenditure cuts.	Third step of four year programme to provide deductibility for employee social security contributions was implemented in 2002, but without offsetting expenditure cuts.
2001	Raise threshold at which the state earned income tax rate applies.	State tax threshold has been raised slightly, shifting around 3 per cent of taxpayers from above to below the threshold.
2001	Broaden the tax base by restoring, and eventually increasing, the property tax level.	Property tax has been reduced, instead of raised.
2001	Examine ways to minimise potential distortions to the allocation of capital embodied in the tax system.	No change to arrangements but tax authorities are aware of the trade-offs involved.
2002	Simplify the basic allowance by making it the same for all income ranges. Consider replacing it with a tax credit or initial zero bracket.	–
2002	Reduce the adverse effects on METRs arising from the housing allowances for families with young children and young people.	–
2002	Raise the effective rate of VAT to make room for greater income tax cuts.	–
	Product markets and competition	
1999	Develop a privatisation programme aimed at significantly downsizing state-ownership of market activity within a reasonable time-frame.	No action.
1999	Allow owners to charge market rents for new housing and progressively strengthen municipalities' incentives to supply suitable land sites for housing construction, for example through instituting a municipal property tax.	No action.
2001	Continue efforts to dilute incumbent power in electricity and telecommunications, and in particular, achieve "unbundling" of the local loop for telecommunications.	Consumers now have full choice of telephone operator including the local loop. National Post and Telecom agency has determined that three companies have significant power in inter-connection charges and is investigating further.

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Table 26. **Structural policy recommendations** (*cont.*)

This table follows up on proposals from earlier *Surveys* and summarises new recommendations

	Recommendations	Actions taken
2001	Strengthen the scope of the Competition Act at the expense of the Municipal Act. Follow through on earlier recommendation, to ensure that effective competition applies to municipal entities.	Government has proposed new legislation to promote neutrality for both municipal and central government entities, to appoint an expert on these operations to the Market Court, and to tie the Competition Council to the Competition Authority.
2001	Ensure that block exemption is abolished. Resolve the outstanding obstacles to implementing the EU directive for building materials, and encourage municipalities to facilitate competition in construction.	Block exemption on retail chains has been superseded by the EU standard. Little progress is apparent in the building materials sector.
2002	Address the factors that are inhibiting construction activity, including weak competition.	–
	Promoting environmentally sustainable growth	
2001	Ensure that rigorous cost-benefit analysis is systematically used to evaluate environmental policy options.	Not yet achieved.
2001	Reinforce the economic incentive to install NO_x abatement equipment on Baltic shipping by raising fairway dues on those ships operating without the equipment, to cover some of the cost of the subsidy to convert.	No action, but data collected indicates reductions in emissions ranging from 82-98 per cent on ships that have installed selective catalytic cleaning equipment.
2001	Restructure energy and carbon taxes so that marginal abatement costs are equalised across the economy while taking appropriate measures to address competitiveness concerns, such as tax credits or grandfathered tradable emission rights.	Marginal abatement rates have become more unequal as industries have been exempted from the increases in electricity and CO_2 taxes announced in the 2002 budget.
2001	Consider the possibility of using a domestic cap-and-trade approach to meeting Kyoto targets, instead of, or as well as, using environmental taxes. Use emissions-trading, Joint Implementation and the Clean Development Mechanism provisions under the Kyoto Protocol to meet targets in the most cost-effective manner.	Government has rejected the use of flexible mechanisms to achieve domestic emissions reductions target (which is stricter than required under Kyoto). Emissions trading at the EU level from 2005 has been proposed by the European Commission. A parliamentary delegation is developing a proposal for a Swedish domestic GHG trading system.
2001	Re-examine energy efficiency promotion to ensure that measures generate net social benefits and do not simply strive to achieve maximum engineering efficiency.	No action.
2001	Examine carefully the policies to promote renewable energy sources to ensure that they do not overstep the mark and become, *de facto*, industrial policy. Allow market signals, adjusted for environmental externalities, to play a greater role in determining the appropriate mix of energy supply. Build sunset clauses into research and development projects.	Sweden is scheduled to introduce green certificates from 2003 to promote renewable energy *via* market signals.

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Table 26. **Structural policy recommendations** (*cont.*)

This table follows up on proposals from earlier *Surveys* and summarises new recommendations

	Recommendations	Actions taken
2001	Ensure that the competition drawbacks of encouraging a switch from individual to district heating are fully addressed.	No action.
2001	Align energy taxes with energy content and apply uniformly across all energy consumers.	A commission reviewing the energy tax system will report in December 2002.
2001	Examine the merits of either adopting a minerals accounting approach and taxing nitrogen losses (*i.e.* residual balances) to provide an economic incentive to reduce the damage from agriculture or shifting to an environmental-outcomes-incentive charge for farmers. Evaluate costs and benefits compared with present arrangements.	A commission investigating the current taxes will analyse alternative taxes and cap-and-trade systems and will report in November 2002.
2001	Reconsider the emphasis placed on recycling and identify which items are worthwhile recycling on the basis of cost-benefit analysis. Evaluate the relative merits of extended producer responsibility in the light of international experience with alternative approaches to recycling.	No shift in emphasis has taken place and recycling continues to be pursued with vigour. Looking into easing the cost for households by shifting to kerbside collection. A comprehensive cost-benefit analysis of extended producer responsibility has been undertaken and will be considered in 2003.
2001	Consider moving to a weight-based general waste collection system to provide a stronger economic incentive to reduce waste.	Gradually taking place at municipal level.
2001	Undertake cost-benefit analysis before proceeding with the planned bans on landfill of combustibles and organic waste.	Some cost-benefit analysis has been carried out. No reassessment has been made and bans are due to go ahead.

Source: OECD.

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Notes

1. According to the information from the public employment service, vacancies have jumped quite sharply since the beginning of 2002. However, the vacancy statistics provided by Statistics Sweden (compiled since the third quarter of 2000) give a less buoyant picture.
2. The national measure of unemployment does not include persons who are enrolled in full-time education, even if they are actively seeking and available for a job.
3. The business cycle has been fairly well in step with that in the euro area in the second half of the 1990s, implying that differences on this count are unlikely to be important for the observed difference. However, a *caveat* is that composition effects due to sectoral changes might influence the figures.
4. The projection was finalised in April and presented in *Economic Outlook* 71.
5. These figures are from April 2002. At the peak of the ICT cycle in the spring of 2000, Ericsson shares alone made up some 25 per cent of the market value of all listed shares.
6. In fact, Sweden's broadest index has been strongly correlated with the ICT-dominated NASDAQ index in the United States. Greater volatility is also visible in price-earnings (P/E) ratios, which rose more precipitously in Sweden up to mid-2000 than elsewhere, but then also fell much more sharply in the subsequent downturn. The greater amplitude of the stock market cycle in Sweden than elsewhere is a distinctive feature not only of the recent cycle. In the past, the average P/E ratio of shares in Sweden has fluctuated more than in both the euro area and the United States and the peak level reached in Sweden in the spring of 2000 was only moderately above the levels observed in 1983 and 1994.
7. The three-months interest rate was 4 per cent in Sweden in the fourth quarter of 2000, which was 1 percentage point lower than in the euro area and 1¾ percentage points lower than in the United States.
8. Interventions took place in five operations between 15 and 25 June. In total, the Riksbank sold dollars and euros for an amount of SEK 12 billion. In a separate protocol from the board meeting on 30 November 2001 the Riksbank published an account of the action taken in June emphasising that an important part of the motivation for the intervention was a need to tighten monetary policy. In February 2002 the Riksbank published a clarification of its policy in the area of direct intervention under the current monetary policy regime. It stressed that, with an inflation target and a floating exchange rate, the repo rate is the primary instrument of monetary policy. It also indicated that interventions will continue to be used with restraint.
9. Applying the correction for timing effects suggests that the cyclically-adjusted net primary balance was largely unchanged in 2001.

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10. As a rule of thumb, a 1 percentage point deviation in output increases ceiling-restricted outlays by some SEK 4 billion (½ per cent of total spending), while a 1 per cent increase in the general price level adds at least SEK 5 billion to total expenditure.
11. The Commission on Stabilisation Policy for Full Employment if Sweden joins the Monetary Union was set up by the government in October 2000. Its main report (SOU 2002:16) was preceded by the release of a background report in February, with contributions from a number of Swedish and foreign academics and representatives of the social partners.
12. This could be facilitated, for example, by strengthening the degree of co-ordination or reducing the duration of collective agreements, *i.e.* more frequent bargaining.
13. The arguments are that under centralised bargaining the incentives to aim for sustainable (moderate) wage increases are significant, independent of the monetary policy framework, while in a decentralised system all agents are too small to affect the aggregate outcome and therefore unlikely to take monetary policy responses into consideration.
14. These authors find that a structural surplus of 1 per cent of GDP is required to comply with the Stability and Growth Pact with a three-year time horizon, while a 2.4 per cent surplus is needed with a five-year horizon.
15. Net cash social expenditures are adjusted to exclude direct taxes and social contributions, which are paid on income benefits in some countries but not in others (Adema, 2001). These data do not include tax breaks for social purposes, which amounted to 1.9 per cent of GDP in Germany and 1.6 per cent of GDP in the United States in 1997.
16. Only 11 municipalities had more than 100 000 inhabitants at the beginning of 2001, and 73 had less than 10 000 residents. Although this may suggest that some municipalities are too small to be viable, this is mitigated by a degree of inter-municipality co-operation, which appeared to be on the rise in the 1990s (Häggroth *et al.*, 1999).
17. The government accounts (*ex post*) are already prepared on a full accruals basis.
18. Until this year, the expenditure ceiling for the third year was effectively established in the Spring Fiscal Policy bill, when Parliament debated the current economic situation and perspectives for coming years along with proposals for the orientation of budgetary policy, including local government activities. However, as this debate has increasingly covered detailed issues concerning expenditure, the annual extension of the ceilings will now be presented instead in the autumn Budget bill. This latter bill provides the main vehicle for policy changes to revenues or expenditures, along with estimates of central government revenues, taking into account any proposals for changes in taxes and charges, and details of proposed spending.
19. In addition to the tasks undertaken directly by the Chancery, much of the work involved in preparing for a government bill is done by a government-appointed *ad hoc* commission of enquiry. There are some 250 to 300 commissions underway in any one year, which usually run for one to two years.
20. In some countries, the process of appointing senior officials is entrusted to particular agency, which recommends an appointee to the government. This approach is used in New Zealand, for example, where the State Services Commissioner is responsible for the selection of chief executives of government departments and some other agencies. He also plays a role in monitoring their performance against the delivery contract established between the chief executive and the minister. A different process is used in the United Kingdom, where the appointments are made by the minister, but usually after an open competition and clearance with civil service heads. But the capacity for

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select committees of parliament to scrutinise appointments or dismissals provides a degree of transparency that appears to work quite well in maintaining the integrity of the process and matching skills and competence to the job.

21. Since 2000, local governments have been required to balance their operating budgets and are no longer allowed to borrow except for capital investment projects.

22. This limit is estimated to reduce the effective replacement ratio by around 7 per cent for a single mother with one child under the age of two years, in Uppsala (Fredriksson and Runeson, 2002).

23. Analysis of the introduction of school choice in three states of the United States showed a clear improvement in the performance of state schools (Hoxby, 2002a).

24. The OECD's Programme for International Student Assessment (PISA) is a collaborative process to assess how far students approaching the end of compulsory education have acquired some of the knowledge and skills that are essential for full participation in society. For example, reading literacy requires students to perform a range of tasks from retrieving specific information to demonstrating a broad understanding, interpreting text and reflecting on its content and features. See *www.pisa.oecd.org/*.

25. Nationwide information about class sizes has not been collected since 1994, when the average class size was 22.1 pupils in grades 1 to 9. It is not clear what the current average class size is, but 1994 was the low point in real expenditure per pupil for primary and lower secondary schools (Krueger and Lindahl, 2002).

26. An upsurge in births in the early 1990s produced a demographic bulge that is currently passing through the compulsory school system, so that in 1998 there were 615 000 children aged 5 to 9 years old, 25 per cent more than in 1990. However, births are falling, and demographic projections from Statistics Sweden show the 0 to 4 year-old group falling from its peak in 1993 of 609 000 to 452 000 in 2001 before expanding again but at modest rates.

27. Swedish 5 year olds can expect to spend 16.7 years in full-time education and 3.6 years in part-time education, compared with an OECD average of 15.4 years full time and 1.2 years part-time (OECD, 2001c).

28. See, for example, Krueger and Lindahl (2002) and Woessmann and West (2002).

29. Sweden has nevertheless moved up in OECD rankings to around the average for the percentage of 25-34 year olds possessing mathematics and science qualifications.

30. Gaining admittance to university is a difficult procedure with several weaknesses that encourage wasted education. Basic eligibility is obtained by the completion of upper secondary school and passing 90 per cent of the credits of the programme. If there are more applications than places, then at least one third of places must be allocated on the basis of upper secondary grades and one-third on the basis of the national scholastic aptitude test. These rules are identical, regardless of the upper secondary courses studied or the university programme in question, although the government has recently proposed that individual institutions should be able to decide on the grounds of selection for 10 per cent of admissions. The admissions process also involves those students wishing to return after a break in studies and those who wish to change courses.

31. There were approximately 300 000 pupils pursuing upper secondary courses as adult students, including some 100 000 Special Adult Education Initiative students; it is not clear how many of the remainder are repeat students endeavouring to raise their grade average.

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32. A new general masters degree was introduced in 2002 and is intended to be an important element of lifelong learning by making it attractive for those graduates already in employment to return to higher educational studies.
33. Several elements affect the private returns to tertiary education, including tuition fees (negatively) and publicly funded student support. In Sweden's case these two factors help to offset the relatively low wage premium by international standards (OECD, 2001d).
34. The present grades and/or national aptitude test could conceivably be used here and since the most damaging effects of the present admissions process seem to arise from its role in determining access to limited places.
35. Private insurance currently plays only a very minor role, covering less than 1 per cent of total health costs, and is limited to non-acute care. Only around 120 000 people have such coverage, usually provided by employers wishing to reduce absences (Hjortsberg and Ghatnekar, 2001).
36. Household help is mainly shopping, food preparation, cleaning and laundry.
37. For Sweden, conservative estimates suggest that relatives spend at least twice as many hours providing nursing and care to the elderly living at home as are provided by municipalities (Swedish Association of Municipalities, 1999).
38. This compares with the lowest pension of around SEK 4 600 per month. Older women who were housewives rather than in the workforce are the group most likely to have minimal resources.
39. It should be noted that the cost function for community care rises with the degree of disability. Moderately handicapped people may be cheaper to care for in the community, but for the severely disabled, such as those with dementia, institutional care may be a more efficient option (Jacobzone, 1999).
40. France, for example, provides some assistance to families indirectly though the tax system, where the household is the taxation unit and two children reduce the household taxable income by one-third, compared with the same household without children. In addition, means-tested child benefits are paid. Equivalence elasticities, defined as the increase in net family income for an additional household member compared to a single person with no children, calculated for 1997 (OECD, 2002d) indicated that several countries offered more support than Sweden for the first child, and Belgium, France, and Luxembourg offered considerably more assistance for large families.
41. Parents may also take an additional 120 days and receive a basic benefit. Of the 390 days, 60 days are not transferable from one parent to the other, so that a maximum of 330 days are available to one parent.
42. For example, Swedish patients are not allowed to wear their own clothes in hospital, ostensibly for hygiene reasons; these concerns do not seem to be matched elsewhere except for operating theatres, etc.
43. More than 35 per cent of women and almost 50 per cent of men surveyed in the 35 to 49 age group said that although they recognised that the new system provided a stronger link between years worked and their pension, this closer relationship would not influence their thoughts on when to retire (National Social Insurance Board, 2000).
44. This study found that employers would search among older staff for potential candidates, with the assistance of the company's medical practitioner. Where "dismissed" workers would be able to combine disability pension with severance payments and achieve a compensation level more than 100 per cent of foregone earnings, unions were often willing to waive the seniority rule.

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45. Sweden can award quarter, half, three-quarter and full disability pensions, but 75 per cent of all pensions are full pensions, 18 per cent are half pensions and only around 4 per cent are quarter pensions.

46. For disability benefits as a whole, an average of 42 per cent are allocated to women in OECD countries (OECD, 2002e). This may reflect the universal coverage in Sweden, whereas countries where benefits require prior labour force participation generally have a majority of men.

47. Housing supplements were granted to 112 000 disability pensioners in December 2000 at an average value of almost SEK 23 000 per year.

48. One element of the Activity Guarantee approach applied to the long-term unemployed is a requirement to report daily, which amongst other things, makes it more difficult for the person to engage in inappropriate activities, including in the unemployment case, the black economy.

49. One of the lessons of the early 1990s was the importance of maintaining attachment to the labour force in facilitating the rapid reduction of unemployment when economic activity recovered.

50. The current replacement rate is not entirely linear: for the first 2 to 14 days it is 80 per cent, and borne by the employer; from 15 to 90 days it is 80 per cent as sick-leave benefit, plus a 10 per cent top-up from the employer. After 90 days, it reverts to 80 per cent through the benefit only.

51. For example, Germany requires up to 6 weeks, Austria up to 12 weeks, and Switzerland can be up to 6 months. In the Netherlands employers bear full costs for 28 weeks, and in the United Kingdom it extends to 1 year. However, the experience in the Netherlands and the United Kingdom with very long periods is that re-insurance can blunt the incentives on firms to invest in prevention.

52. This perhaps adds to the perception noted above that older workers are less productive and less attractive to employers.

53. Other programmes had either no effect or actually led to lower employment prospects. This may however be the result of the use of active labour market policies during much of the 1990s as a route for re-qualifying for unemployment benefits.

54. Half of all Swedes aged 25-64 years are estimated to participate in some form of training in any given year, although data showing the hours involved is not available (OECD, 2001c).

55. This includes the 332 000 "study circles" organised by the adult education associations, with an estimated 1.5 to 2.0 million individual participants and 185 000 cultural programmes. These programmes receive funding from the state adult education appropriation.

56. This is not associated with caring for sick children for which separate leave provisions apply.

57. Limited cross-country data is available for time use within families comprising couples with a child under five years of age.

58. These estimates have been compiled using two different methods. The first measures the number of participants in the informal economy as a percentage of the labour force, while the second uses the currency demand approach. Unusually, in Sweden's case, these two estimates give the same result whereas for most countries the estimates differ by several percentage points.

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59. Of all respondents, only 81 per cent said they had not employed anyone illicitly at all, a slight decline since 1998.

60. It should be noted that the National Tax Board is not remaining passive and, for example, has launched a "subcontractor chain analysis" project to link and track transactions within a building project. However, most of the policy measures recommended by the National Audit Office in 1998 to reduce undeclared work remain unimplemented.

61. However, progressivity was reduced in 1999 when the state income tax rate was cut from 25 to 20 per cent for incomes between SEK 219 300 and SEK 360 000.

62. Until this year, the marginal effective tax rates would normally have included income-linked child care costs. However, since this element's impact on METRs has now been largely addressed, it has been omitted from this analysis.

63. The lower figure of the range assumes a very conservative compensated wage elasticity of 0.05, while the higher figure assumes an elasticity of 0.25. It should also be noted that the effective distortion to labour supply decisions, and therefore welfare, is greater if there are significant variations in METRs across households than if all households faced the same METR.

64. It should be noted that such a proposal would not necessarily provide more after tax revenue to lower income households than higher ones, because of the fall in marginal tax rates as incomes increase over parts of the income spectrum.

65. For example, a home-owner with an assessed property value of SEK 1 million would have a property tax liability of SEK 10 000. The cap on this property tax would be at an income of SEK 200 000. For incomes less than 200 000, the property tax would be reduced proportionately so that for example, with a taxable earned income of SEK 190 000, only SEK 9 500 would be paid in property tax. This means that if earnings increased to SEK 10 000, an additional SEK 500 property tax would be due. This would be a spike in the METR, since earnings beyond the level at which full property tax were due, would be completely unaffected, unless house prices rose.

66. This increase even understates the impact of the reduced subsidies, inasmuch as market interest rates declined over this period.

67. The population in the three big metropolitan areas (Stockholm, Gothenburg and Malmö) has increased by ¾ per cent per year over the past decade, and while most other regions have experienced a fairly stable number of inhabitants, there has been an average annual reduction of 0.3 per cent in the six most northern counties.

68. The housing minister issued a press release in April this year, which emphasised the illegal character of such activities, encouraged better enforcement and urged all players to show responsibility. This suggests that political awareness about black-market activities is increasing.

69. The number of dwellings converted from municipal ownership rose to more than 4 000 in 2000, up sharply from 680 in 1999. The vast majority of these took place in Stockholm.

70. According to a survey done by the National Board of Housing, Building and Planning in the spring of 2001, one out of five municipalities representing 45 per cent of the population, reported a shortage of housing.

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Annex I

The STEMU committee's agenda for reforms of the fiscal policy framework

The Committee on Stabilisation Policy for Full Employment if Sweden joins the Monetary Union was commissioned by the government to table proposals that may strengthen the role and efficiency of fiscal policy in stabilising short-term economic developments *contingent* on accession to the euro. This might include adjustments within the current settings or recommendations for changes in the framework for fiscal policy itself. The suggestions put forward by the committee are listed below.

- Parliament should determine the broad principles for fiscal policy in the case of participation in the currency union along the following guidelines.
  - The objective of fiscal policy should be to prevent major deviations of output from its potential level in the short and medium term. Assessments of the size of the output gap should consider a broad range of indicators but particularly emphasise wage and price developments.
  - Discretionary measures should be reserved for situations with large output gaps (2 per cent or more), while smaller disturbances should be addressed only through the automatic stabilisers.
  - The target for the cyclically-adjusted net government lending should be increased from a surplus of 2 per cent of GDP to 2½ or 3 per cent.
  - The safety margin under the ceiling for central government expenditure should be split into a conjunctural margin and a planning margin. The former should be 3 per cent of the ceiling-restricted outlays and serve as a cushion against unforeseen cyclical developments. The purpose of the planning margin should be to absorb forecast uncertainties other than those stemming from the business cycle. It should also be a reserve for financing new initiatives.
- A Fiscal Policy Council (FPC) should be established as an advisory body. It should be entrusted with putting forward recommendations for fiscal policy based on analyses of the macroeconomic situation (subject to the above principles outlined by the parliament).
  - The activities of the FPC should be determined in a separate law, and it should be independent from the government in its operations. The council should report twice a year, in March and August, thereby providing input to the spring and autumn budget processes. The government should form a view on the recommendations given by the FPC and explain publicly the motivation for any deviations from them.

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- The government and the parliament should decide in advance on a small number of suitable (general) policy instruments that could be activated in case of large macro-economic shocks. The purpose is to shorten the decision-making process as much as possible.
- Local government revenues should be stabilised over the business cycle in order to strengthen the automatic economic stabilisers.
  - This could be achieved by calculating their tax base as the average of taxable income over a number of years or alternatively by offsetting cyclical fluctuations in the tax base via the block grants from the central government.

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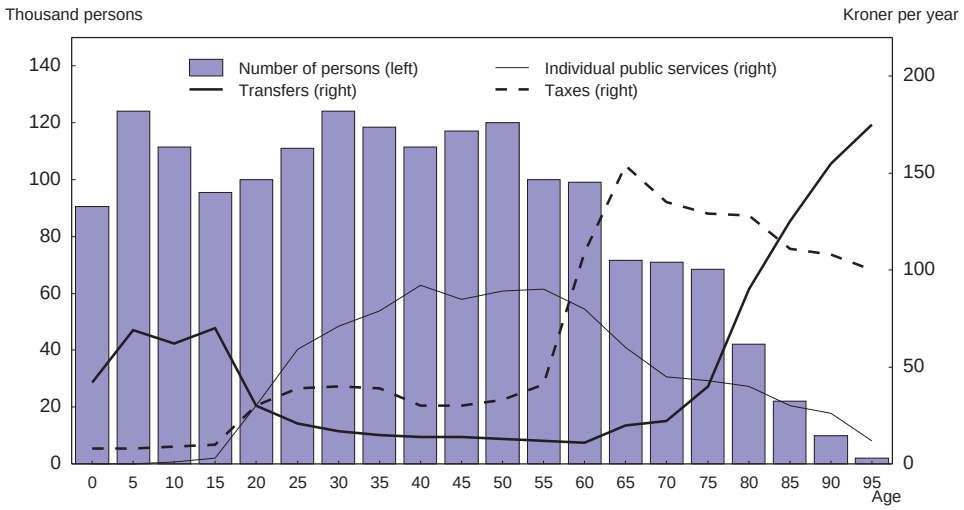
Annex II

Income distribution of taxes and public expenditure

Some income distribution aspects of taxation and public expenditures are set out in this annex. The distribution of taxes, transfer and individual public consumption varies significantly by age group (Figure A1). Most taxes are paid during working life, although retirement income is also taxed. The heavy concentration of expenditure in older age groups is evident in both transfers and especially consumption of services.

Figure A1. **Age distribution of taxes, transfers and public services**



Source: Statistics Sweden.

Public expenditures also go some considerable way to evening out income differences across different household types (Figure A2). Although couples without children have the highest disposable income, even when standardised for household composition, the gap in disposable income between this household type and single parent with children, the lowest income household type, is reduced by half when individual public consumption is added.

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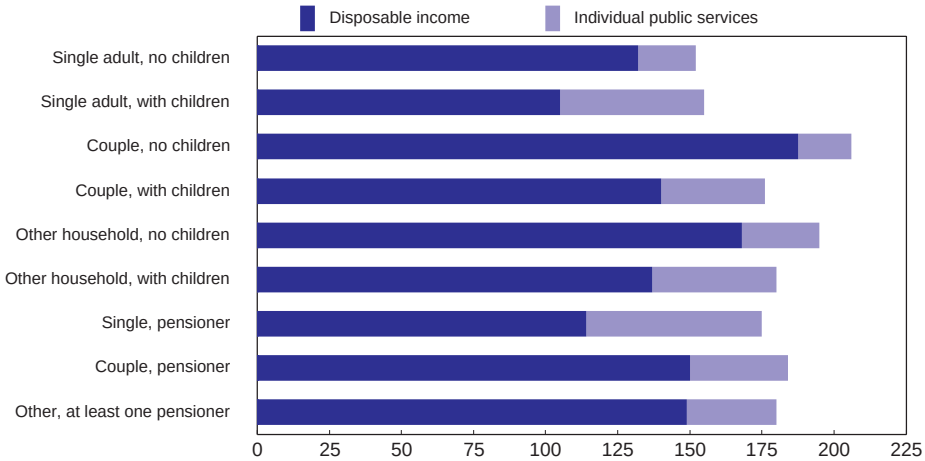
Figure A2. **Disposable income and individual public services by household type**
1999, thousand kroner per year



Source: Ministry of Finance.

The redistributive effect can also be measured by comparing income by quintiles (Table A1). The top 20 per cent of adults earn 45 per cent of factor incomes, whereas the bottom 20 per cent earn only 4 per cent. However, the gap is narrowed considerable once taxes and transfers are taken into account, and the disposable income ratio of the top quintile to the bottom quintile falls to 3.4. Consumption of individual public services further reduces the ratio to 2.3. The impact of public expenditures on the GINI co-efficient amounts to more than 5 percentage points, reducing it to 0.20 (Table A2).

Table A1. **Impact of taxes, transfers and public consumption by quintile**

Income quintile	Factor incomes	Disposable income[1]	Disposable income and public consumption[2]
1	4	10	14
2	10	15	16
3	17	18	18
4	24	22	21
5	45	35	31
Total	**100**	**100**	**100**
Ratio 5th quintile/1st quintile	10.3	3.4	2.3

1. Adjusted for household composition.
2. Individual public consumption.
Source: Ministry of Finance.

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Table A2. **Impacts on GINI coefficient**
1999

	GINI coefficient	Change in GINI coefficient
Factor incomes	0.49	
Transfers	0.33	–0.16
Disposable income adjusted for household composition	0.26	–0.07
Adjusted disposable income plus individual public consumption	0.20	–0.05

Source: Ministry of Finance.

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Annex III

Equalisation – "the same standard for the same price"

While decentralisation of responsibilities to local authorities is widespread in OECD countries, Swedish local authorities are unique in having complete independence in setting tax rates.[1] Unusually by OECD standards, the local tax base is earned income rather than property, although there is no legal constraint on other local taxes (for example, a local authority could, if it wished impose a tax on automobiles). In 2001, local tax rates varied from 27.15 per cent to 33.17 per cent, with most of the variation coming from municipal taxes.[2] However, Sweden also puts great stress on equalising both the tax base and assessed expenditure needs across the country, with the objective of enabling all municipalities and county councils to offer the same standard of service at the same price anywhere in the country. This principle of equalisation is widely supported in Sweden, although there have been many discussions about how far equalisation should go and what formulae to use.

The present system was implemented in 1996 and is designed to be self-financing across the local government sector. It operates in two parts (and separately for municipalities and counties). The revenue equalisation involves those with a higher-than-average taxable income per person making a transfer to those with a lower-than-average per capita taxable income, according to a formula that involves the gap with average taxable income multiplied by 95 per cent of the previous year's average local tax rate across the country as a whole. The expenditure equalisation involves an adjustment for differences in "expenditure needs" and costs of different regions, based on evening out differences in demographics, density and climate. Those municipalities deemed to have advantageous structural characteristics pay to those below average. Both equalisation systems are designed to be completely self-financing within the municipality and county sectors although the state determines the parameters on the spending side. The system has the advantage of discouraging competition between authorities to attract higher-than-average earners with low needs, since this would be penalised through equalisation. But at the same time, the incentive to attract residents by improving the quality of services or being more efficient has been significantly reduced.

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Notes

1. During two periods in the 1990s, Parliament regulated local tax rates – between 1991 and 1994, taxes were frozen at existing levels, and between 1997 and 1999, half of any tax increases were clawed back *via* reduced block grants. However, local freedom to set tax rates has since been reaffirmed by the courts.
2. The lowest tax rates are generally found in suburbs of large cities, while the highest rates tend to be applied in the rural north and municipalities affected by industrial decline (National Tax Board, 2001).

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Annex IV
Individual learning accounts

The government has presented a so-called guideline bill on individual learning and skills development to the Riksdag and aims to present a supplementary bill during the autumn of 2002, in which the system will be developed in more detail and proposals for legislation presented. The system is planned to enter into force on 1 July 2003.

The main components of the proposal:

- The individual will be given the opportunity to set aside a maximum of 25 per cent of a base amount (approximately SEK 9 500) per year, including a tax reduction, to an individual learning account.
- The income on the balance of the individual learning account will be liable to full capital income tax (30 per cent).
- Funds withdrawn for learning and skills development will be liable to income tax. However, special stimulation will be given to withdrawal *via* a skills and learning premium. This will take the form of a tax deduction. The skills and learning premium consists of the following elements:
  - The maximum premium will amount to 2.5 per cent of a base amount (approximately SEK 9 500).
  - The full premium is paid on one-year's full-time study (= 200 study days). When a lower number of study days is used, the maximum premium is proportionally reduced. However, no premium is paid for learning and skills development that takes less than five days.
  - The actual premium may not exceed 50 per cent of a withdrawal from an individual learning account.
  - The skills and learning premium is strengthened with a fixed amount – a basic sum – of SEK 1 000 applying irrespective of the number of study days.
  - The premium will take the form of a tax deduction. The possibility for special tax adjustment will be investigated so that this stimulation will benefit the individual during the course.
  - Special rules will be designed to ensure that abuse does not occur.
- Individuals saving in a learning account will later be able to withdraw savings without having undergone learning and skills development. In this case, withdrawn funds will be liable to full income tax.
- Employers depositing funds in an employee's learning account receive a tax deduction corresponding to a reduction of the employer contribution by 10 percentage points. An equivalent reduction will be given to individual business operators and partners in trading partnerships.

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– To enable the rapid introduction of the system, savings will initially be made in accounts administered by a government agency. Later, the possibility of saving with different financial institutions such as banks and insurance companies will be considered.

Financing

Stimulation to individual learning and skills and development will be financed within the framework given in the 2000 Budget Bill. The framework amounts to SEK 1.15 billion per year and will be financed by increased energy tax revenue. The funds on the account at the National Debt Office in anticipation of the new reform will be used to cover the deficit during the years in which the system will be built up (at the close of 2002, this account amounts to SEK 3.65 billion, including deposits for 2002). In the longer term, the system will be in financial balance.

Source: Ministry of Industry, Employment and Communications.

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Annex V

Old-age pensions

Present system

The public pension comprises two elements.

- The basic pension is provided to all Swedish residents, with reductions for years spent outside the country. It is not linked to any earnings history, but is instead paid as a fixed sum, tied to the "basic amount" (which is SEK 37 900 per year in 2002).
- The supplementary pension (ATP) is calculated using the best 15 years of individual's earnings history and the number of years of pension contributions, with 30 years qualifying for a full pension. Those with little or no ATP pension qualify for a supplement on the basic pension.

The average public pension is around SEK 120 000 for men and SEK 70 000 for women. The normal age for the pension entitlement is 65 years, but the pension can be taken as early as 61 years with a permanent downward adjustment or as late as 70 years with an upward modification.

In addition, pensioners are entitled to special tax treatment: although pensions are taxed as earned income, there are special rules concerning the basic deduction for tax purposes that apply to old-age pensioners. The actual marginal effective tax rate (METR) of moving from work to retirement is however quite complicated because of the structure of the basic allowance as it applies at different earned income levels.

There are also housing supplements paid to those receiving the old-age pension (and disability pensions, although those taking old-age pension before 65 do not qualify while on early retirement). This is based on the cost of accommodation and the income and assets of the individual, up to a maximum of SEK 3 600 per month.

New system

The new public pension system applies partially to those born between 1938 and 1953, and completely for those born in 1954 or later. It has three parts: the income pension, the premium pension, and a guaranteed pension for those on low or no income. The income pension is pay-as-you-go (PAYG) and the premium pension is based on the returns from contributions invested in the funds of the contributor's choice. Contributions are 18.5 per cent of a person's income up to a ceiling. Contributions are paid not only on earned income, but also on sick leave and various cash benefits. The income pension scheme receives 16 percentage points of contributions, and the rest is invested.

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Pension rights can be earned from 16 years of age onward, and lifetime earnings will be used to calculate the income component of the pension, while returns on the invested funds will be converted to an annuity. The retirement age will be flexible, with an actuarially fair adjustment of pensions for early or late retirement. The guaranteed pension can only be drawn from age 65.

An unusual feature is the automatic balance mechanism, designed to ensure that the income pension scheme remains financially sustainable (Settergren, 2001). It works by establishing virtual assets for the system based on "expected turnover duration" and basing the estimated liabilities on the growth in average income. If the liabilities exceed the virtual assets, then the indexation of the liabilities is switched to an approximation of the system's internal rate of return on the virtual assets, until financial stability is re-established. A consequence of this approach is that the value of pensions may vary over time, making the system a modified defined benefit plan, where any adjustment to benefits will be shared by everyone, in a pre-defined manner.

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Annex VI
Calendar of main economic events

2001

January

Collective agreements are reached, covering practically the whole labour market either directly or indirectly. Most private-sector agreements run for three years, *i.e.* until the first quarter of 2004, and typically imply a total increase of hourly wages over the period of 8 to 9 per cent. A part of this increase results from a reduction of average working hours by ½ per cent per year in manufacturing and by ¼ per cent per year for the business sector as a whole. Wage talks at the enterprise level are likely to add additional pay increases to these centrally-negotiated agreements.

April

The spring budget for 2002 is presented following a political agreement between the government, the Green Party and the Left Party. The ceiling on central government expenditures (excluding interest payments) for 2004 is set at SEK 877 billion, an increase of 3.9 per cent over the previously set ceiling for 2003. Higher spending in a number of areas is announced, amounting to SEK 8¼ billion in 2002 and increasing to SEK 17½ billion in 2004. Amongst other initiatives, additional resources are reserved for extended parental leave, increased social security benefits and residential investment subsidies.

The government sets the objective of reducing the number of social benefit recipients by half between 1999 and 2004.

July

The Riksbank raises the repo rate by 0.25 basis points to 4.25 per cent.

September

The Riksbank cuts the repo rate by 0.50 basis points to 3.75 per cent.

The budget for 2002 is presented, following a political agreement between the government, the Green Party and the Left Party. The budget contains:

- Projected spending in 2002 at just below the expenditure ceiling and no major new expenditure initiatives.
- The third step of the four-year tax-cut programme announced in the budget for 2000. Thus, an additional quarter of employees' pension contributions is offset through individual tax credits as from 2002, and the threshold for the 20 per cent state income

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tax is raised, thereby reducing the proportion of taxpayers facing it. The tax cuts announced in the budget amount to SEK 23 billion (1.0 per cent of GDP). This also includes tax cuts for pensioners; reinstatement of tax deductibility of union membership fees; and a reduction in the property tax from 1.2 to 1.0 per cent of tax assessment values for owner-occupied housing, and from 0.7 to 0.5 per cent on rental housing.

– The second step in the ten-year "green tax-swap programme" initiated in 2001; environmental taxes, mainly on CO_2 and electricity are raised by SEK 2 billion and offset by an increase in the basic personal tax allowance.

2002

January

The prime minister raises the possibility of holding a referendum in spring 2003 on whether Sweden should adopt the euro.

March

The Riksbank raises the repo rate by 0.25 basis points to 4.0 per cent.

The report from the government-appointed commission on stabilisation policy in the economic and monetary union publishes its report, which recommends the introduction of a fiscal policy council and an increase of the surplus target for public finances from 2 to 2½ or 3 per cent of GDP, if Sweden decides to adopt the euro.

April

The Riksbank raises the repo rate by 0.25 basis points to 4.25 per cent.

The 2002 spring budget is presented. Following an earlier parliamentary decision to postpone the determination of the three-year-ahead expenditure ceiling to the autumn, the spring budget does not include a ceiling for 2005. Instead, it reiterates previously taken decisions and provides an update of the near-term prospects for the real economy as well as for public finances.

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